



TOPIC

1

INTRODUCTION TO ECONOMICS

Topic 1 syllabus outcomes tested

- ◆ **P1** demonstrates understanding of economic terms, concepts and relationships
- P2** explains the economic role of individuals, firms and government in an economy
- P4** compares and contrasts aspects of different economies
- P5** analyses the relationship between individuals, firms, institutions and government in the Australian economy
- P7** identifies the nature and causes of economic problems and issues for individuals, firms and governments
- P9** selects and organises information from a variety of sources for relevance and reliability
- P10** communicates economic information, ideas and issues in appropriate forms
- P12** works independently and in groups to achieve appropriate goals in set timelines

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Economics in the Media

Sydney Morning Herald: www.smh.com.au

The Economist: www.economist.com

The Australian: www.theaustralian.com.au

Australian Broadcasting Corporation: www.abc.net.au

Australian Policy Online: www.apo.org.au

The Conversation: www.theconversation.com/au/business

Economic Indicators

Human Development Reports: www.hdr.undp.org

International Monetary Fund country info: www.imf.org/external/country

World Bank: www.worldbank.org

Organisation for Economic Co-operation and Development: www.oecd.org

The Heritage Foundation (Index of Economic Freedom): www.heritage.org/index/

What Is Economics About?



Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

1 Which of the following is a major aim for businesses?

- A To maximise profit
- B To minimise tax payments
- C To buy capital goods
- D To maximise spending in the economy

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2 Question 2 relates to the information in the table below.

Production possibility schedule				
Water bubblers	90	60	30	0
Recycling bins	0	60	120	180

What is the opportunity cost of producing one water bubbler?

- A 6 recycling bins
- B 3 recycling bins
- C 2 recycling bins
- D $\frac{1}{2}$ a recycling bin

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3 What is the opportunity cost of producing one recycling bin?

- A 6 water bubblers
- B 3 water bubblers
- C 2 water bubblers
- D $\frac{1}{2}$ a water bubbler

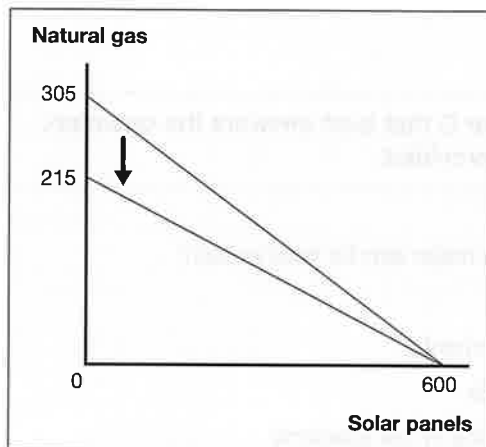
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4 Which of the following best describes individual wants?

- A The economic choices made by individuals are strictly defined by the goods and services available in the economy
- B Individuals will only ever want what costs them the least
- C The desires of each individual are affected by their tastes and income level
- D Once an individual satisfies a desire for a material good, they are completely satisfied

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- 5 Assume that an economy only produces wool and wheat. A new insecticide is developed which reduces the volume of wheat lost each season to pests. What happens to the country's production possibility frontier?
- A The production possibility frontier shifts inwards
- B The opportunity cost per unit of wheat decreases
- C The opportunity cost per unit of wheat increases
- D The production possibility frontier becomes curved
- 6 What could have caused a movement in the production possibility frontier below?



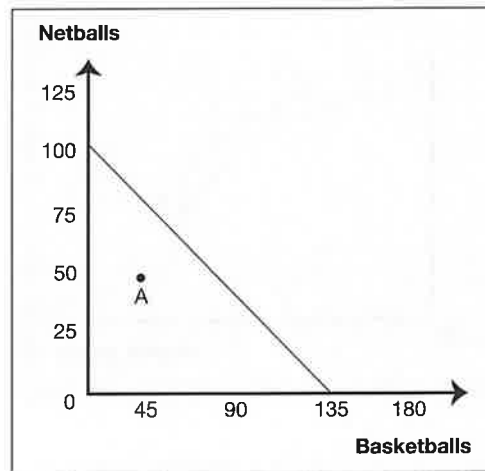
- A Government subsidies for solar panels
- B Reduced unemployment amongst natural gas engineers
- C The release of a report on the benefits of natural gas
- D Tighter government regulation of natural gas extraction
- 7 Question 7 relates to the information in the table below.

Production possibility schedule					
Pens	100	75	50	25	0
Pencils	0	5	10	15	20

Which of the following statements is correct?

- A At this point in time, it is not possible for this economy to produce 25 pens and 10 pencils
- B The most efficient combination of goods for this economy to produce is 50 pens and 10 pencils
- C The opportunity cost of 1 pencil is 5 pens
- D As the number of pencils produced increases, the opportunity cost of pens decreases

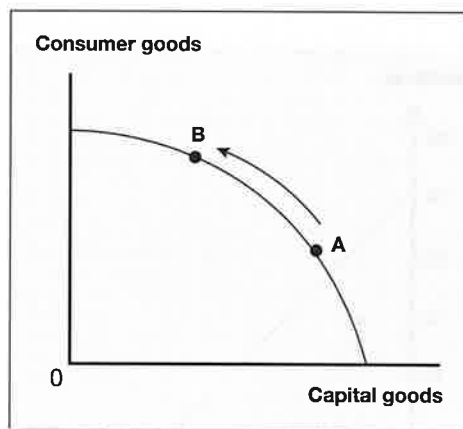
- 8 The following diagram is for a hypothetical economy. Assuming the production level of the economy is at point A, which of the following is most likely to be true for that economy?



- A It is not possible to increase production of both netballs and basketballs
- B Netball production is efficient but basketball production is inefficient
- C There are resources not being utilised within the economy
- D The economy is operating at full capacity
- 9 Which of the following best illustrates the economic principle of opportunity cost?
- A A school builds new classrooms but does not have any students
- B The money paid for a good or service
- C A government allocates its resources to constructing hospitals rather than building bridges
- D A teenager purchases a new smartphone for \$800
- 10 Which of the following is an example of increased government intervention in an economy?
- A Reducing the company tax rate for small businesses
- B Introducing a new emissions trading scheme to reduce greenhouse gases
- C Lowering the tax rebate for private health insurance from 15 per cent to 7.5 per cent
- D Removing laws regarding foreign direct investment

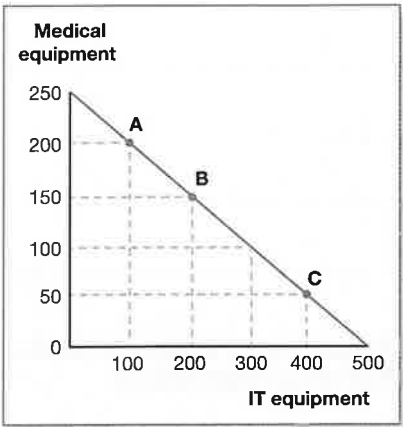
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Use the diagram below to answer questions 11, 12 and 13.



- 11** What is happening in the economy shown in the diagram as it moves from point A to point B?
- A Increased production of capital goods, reduced production of consumer goods
 - B Increased production of consumer goods, reduced production of capital goods
 - C Reduced production of both consumer goods and capital goods
 - D Increased production of both consumer goods and capital goods
- ☐
- 12** What is the most likely consequence of the movement from point A to point B shown in the diagram?
- A Inward shift of production possibility frontier in the long term
 - B Inward shift of production possibility frontier in the short term
 - C Outward shift of production possibility frontier in the long term
 - D Rising unemployment in the short term
- ☐
- 13** What is a possible cause of the movement from point A to point B shown in the diagram?
- A Reduced demand for consumer goods
 - B Reduced demand for capital goods in the economy
 - C Reduced immigration into the economy
 - D Increased taxes on consumer goods
- ☐
- 14** Which of the following statements is correct?
- A Local swimming pools are an example of a collective want and goggles are an example of an individual want
 - B Mobile phones and laptops are complementary wants
 - C Collective wants are limited, while individual wants are unlimited
 - D Needs and wants are limited by income
- ☐

15 Question 15 is based on the following graph.



Consider the production possibility frontier (PPF) for an economy that can produce specialised medical equipment and information technology (IT) equipment. Which of the following statements best explains what is happening in the economy shown?

- A The opportunity cost of producing IT equipment is constant
- B The opportunity cost of producing medical equipment is greater at B than C
- C The opportunity cost of producing medical equipment is lower at A than B
- D The economy is more efficient at producing IT equipment at A than C



Short Answer Questions

Write your answer in the space provided.

Question 1

(10 marks)

“To increase household disposable income and support the economic recovery, the Government will retain the low and middle income tax offset (LMITO) in 2021–22 to provide \$7.8 billion in targeted support to around 10.2 million low- and middle-income earners. The LMITO provides a further tax cut of up to \$1080 for individuals or \$2160 for dual income couples, with the maximum benefit going to individuals with taxable incomes between \$48,000 and \$90,000. Treasury estimates that extending the LMITO will boost GDP by around \$4.5 billion in 2022–23 and will create an additional 20,000 jobs by the end of 2022–23.”

– Budget 2021–22, Budget Paper No.1 Strategy and Outlook, 11 May 2021.

(a) Outline the difference between individual wants and collective wants.

(2 marks)

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- (b)** With reference to the quote above, explain how a tax cut can help individuals satisfy their wants.

(2 marks)

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- (c)** Using an example, identify an opportunity cost faced by the Government by retaining the low and middle income tax offset (LMITO).

(2 marks)

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- (d)** Define the economic problem and discuss how this relates to individual and collective wants.

(4 marks)

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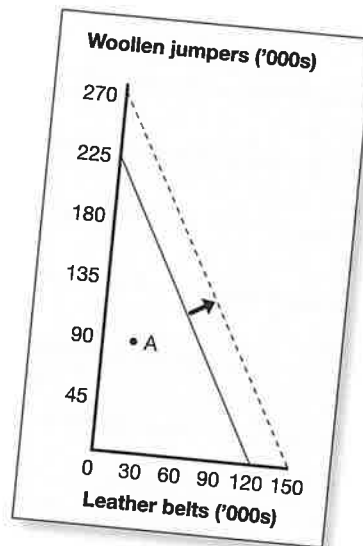
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Question 2

(10 marks)



- (a) Calculate the opportunity cost of producing one leather belt.

(1 mark)

- (b) Describe the consequences of producing leather belts and woollen jumpers at point A in the diagram.

(2 marks)

- (c) Explain how an economy will decide what combination of jumpers and belts to produce.

(2 marks)

- (d) Outline how the outward shift in the production possibility frontier, as illustrated in the diagram, could have occurred.

(2 marks)

- (e) Outline what would happen to the production possibility frontier if the supply of wool fell sharply, and how this would affect the opportunity cost of jumper production. (3 marks)

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Question 3

Annabelle must decide whether to spend her allowance on hiking gear or on drawing equipment. (10 marks)

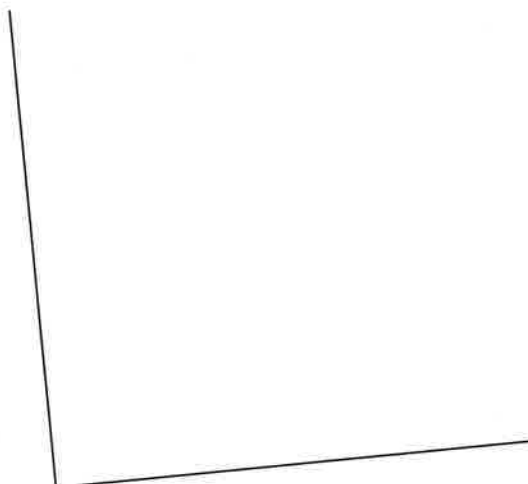
Annabelle's spending possibilities						
Hiking gear	20	16	12	8	4	0
Drawing equipment	0	100	200	300	400	500

- (a) Calculate the opportunity cost of Annabelle deciding to purchase one item of hiking gear. (1 mark)

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- (b) Using the data above, construct a diagram to represent Annabelle's choices. Place drawing equipment on the horizontal axis and hiking gear on the vertical axis. (2 marks)



- (c) A new technological advancement has made it cheaper to produce hiking gear and the price comes down. Outline what impact this would have on the diagram.

(2 marks)

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- (d) Annabelle cannot decide whether she should continue spending her allowance or begin to save money. Discuss the economic factors an individual must consider as well as the potential economic benefits of saving their allowance.

(3 marks)

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- (e) Briefly discuss the effects of a shift from producing consumer goods to capital goods.

(2 marks)

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er extended response

- 1 Account for the four key economic questions and discuss how the choices of individuals, businesses and governments can influence the issues that arise from these questions.
- 2 Evaluate the influence of governments over economic choices. Discuss the advantages and disadvantages of long-term savings and financial planning for future needs.
- 3 Outline how the production possibility frontier can be used to demonstrate opportunity cost, and examine the effects of unemployment and technological change on production in the economy.



Economic Terms

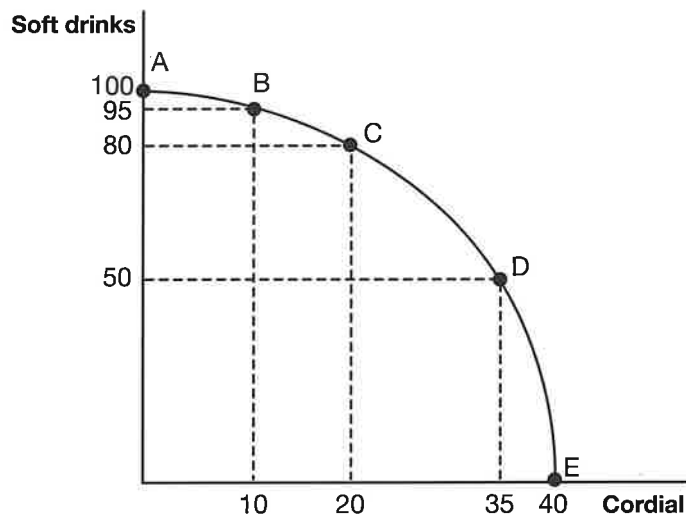
Match the terms below to the correct definition, and where possible, provide two examples of each term. If you want to make this activity more difficult, try to write in the term without looking at the list below.

- ☐ Capital goods ☐ Individual wants ☐ Economic problem ☐ Government subsidy ☐ Needs
☐ Opportunity cost ☐ Recurrent wants ☐ Tax ☐ Unemployment ☐ Utility

Economic term	Definition	Examples
	Goods and services required to satisfy the basic necessities of life	• •
	A situation where resources in the economy are not being used to their full potential	• •
	Wants that are the desires of each person, usually dependent on personal tastes and preferences	• •
	How a society is able to satisfy its unlimited wants with a limited quantity of resources	• •
	Wants which must be satisfied over and over again	• •
	A benefit given by the government to groups or individuals, usually in the form of a cash payment or tax reduction	• •
	A want which is forgone in order to satisfy another want	• •
	A compulsory payment of money that the government imposes on firms or individuals	• •
	The satisfaction or pleasure an individual receives from consuming goods and services	• •
	Items not produced for immediate consumption, but used for the production of other goods	• •

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Calculate the opportunity cost of moving between points on the following production possibility frontier.



1 Moving from point A to point B

2 Moving from point C to point D

3 Moving from point B to point E

4 Moving from point E to point A

2

How Economies Operate

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 Question 1 relates to the following information about an economy.

Savings	Taxation	Imports	Investment	Government spending	Exports
100	70	?	120	30	80

If the economy is in equilibrium, what is the value of imports?

- A 30
- B 40
- C 60
- D 230

- 2 Which of the following best describes the impacts of lower investment levels in the economy?

- A Higher production of goods and services in the long run, due to opportunity cost of choosing investment over consumption
- B Decreased production of capital goods, which results in less production of final goods and services over time
- C Decreased production of capital goods, but greater resources in the economy
- D Higher incomes received, due to increased household spending instead of capital goods

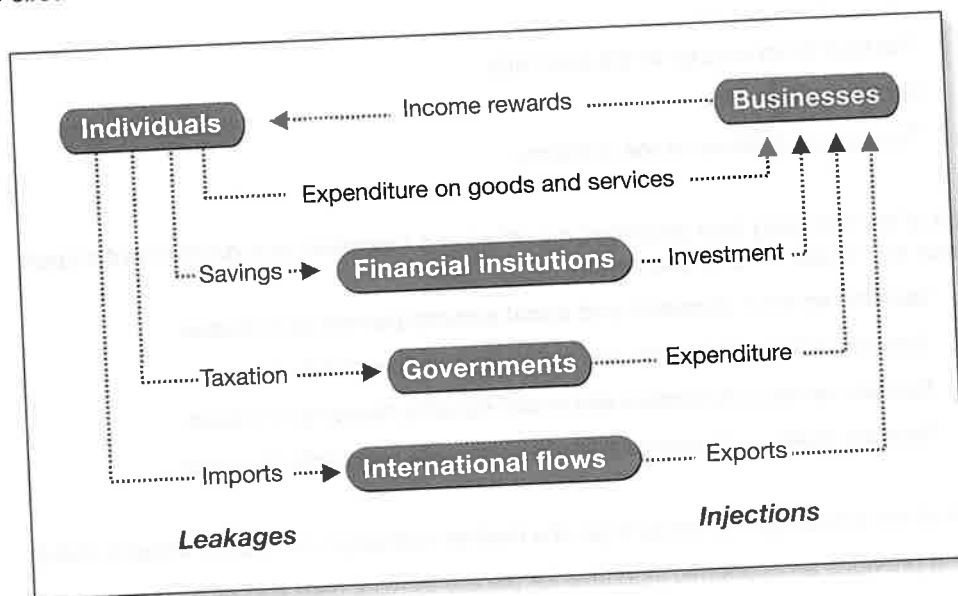
- 3 Which of the following is the main source of household income in Australia?

- A Wages, paid as a reward for labour
- B Interest, paid as a return on capital
- C Profit, paid as a reward for enterprise
- D Rent, paid as a return on natural resources

- 4 In a market economy, what is the most important factor in determining how scarce resources are allocated?
- A Consumer spending patterns
 - B The level of innovation in the economy
 - C Entrepreneurial skill
 - D The supply of labour in the economy
- 5 Which of the following best describes the effect of a recession on a government's taxation revenue and social security payments?
- A Taxation revenue increases and social security payments decrease
 - B Taxation revenue increases and social security payments increase
 - C Taxation revenue decreases and social security payments increase
 - D Taxation revenue decreases and social security payments decrease
- 6 Which of the following is an advantage of a market economy's method of income distribution?
- A It provides an economic incentive for people to work hard and be innovative
 - B It rewards all workers with fair and equal income
 - C It results in no difference to income levels across various sectors of the economy
 - D It provides no income to those who are unable to contribute to the production process
- 7 Which of the following statements about the circular flow model is correct?
- A Capital imports increase productivity and economic growth
 - B If government expenditure is greater than taxation, the economy is in recession
 - C When injections exceed leakages, the economy is experiencing economic growth
 - D The circular flow diagram shows the flow of goods and services through the economy



- 8 Which of the following best describes the relationship between individuals and governments in the circular flow of income?



- A Individuals spend welfare payments received from the government on imports
 B Individuals pay taxation to the government, which injects spending into the economy
 C Individuals supply labour and enterprise to businesses and receive income rewards
 D Individuals put savings into financial institutions, which lend money to the government
- 9 Question 9 relates to the following information about an economy.

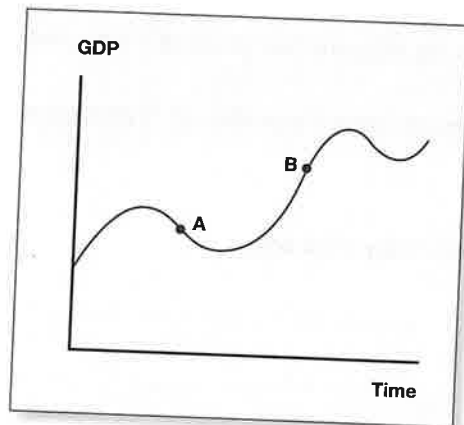
	Year 1	Year 2
Taxation revenue	\$400bn	\$412bn
Government expenditure	\$400bn	\$406bn

- Which of the following will most likely occur in year 2?
- A There will be an upturn in economic activity because expenditure has grown more rapidly than taxation revenue
 B There will be a downturn in economic activity because compared with year 1, the government is spending too much money
 C There will be reduced economic activity because tax revenue has grown more rapidly than government expenditure
 D There will be no change in economic activity because leakages and injections are equal
- 10 How can the government decrease economic activity?
- A Increase leakages through higher expenditure
 B Increase leakages through higher tax
 C Increase injections through lower tax
 D Increase injections through higher expenditure

- 11 All other things being equal, how might an increase in imports affect the level of economic activity?
- A The level of economic activity will increase
 - B The level of exports will grow until imports and exports are in equilibrium
 - C It will increase injections in the circular flow of income
 - D The level of economic activity will decrease



Questions 12 and 13 relate to this diagram for a hypothetical economy.



- 12 What economic conditions are most likely for the economy at point A in the business cycle on the diagram?
- A Falling unemployment and rising income levels
 - B Increasing unemployment and greater reliance on social security payments
 - C Falling quality of life and increasing production of goods and services
 - D Decreasing government intervention to promote economic growth
- 13 Which of the following is most likely to occur at point B on the diagram?
- A Increasing employment and increasing production of goods and services
 - B Falling income levels and falling unemployment
 - C Increased consumption and investment plans postponed
 - D Falling production and rising unemployment
- 14 Which of the following is best illustrated by the economic cycle?
- A Changes in the value of the factors of production
 - B How resources are allocated in the economy over time
 - C Fluctuations in economic growth over time
 - D Fluctuations in taxation rates over time
- 15 What best describes the role of financial institutions in the economy according to the simplified circular flow of income?
- A Banks and credit unions seek to maximise economic growth
 - B Financial institutions encourage consumers to spend rather than save
 - C Financial institutions are intermediaries between business that save and consumers looking for capital
 - D Financial institutions are intermediaries between consumers that save and businesses looking to invest



Short Answer Questions

Write your answer in the space provided.

(10 marks)

Question 1

“Wages growth had remained around historically low levels, and many firms still had wage freezes in place. Wages growth was low across a broad range of industries. While a faster pick-up in wages growth was possible, [Reserve Bank Board] members continued to expect a gradual increase in the following few years as spare capacity in the labour market was steadily absorbed.”

– Minutes of the Monetary Policy Meeting of the Reserve Bank Board, June 2021.

- (a) Define *equilibrium* in the circular flow of income.

(1 mark)

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- (b) Identify two factors that affect the level of wages received by workers.

(2 marks)

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- (c) With reference to the above quote, outline how government expenditure can increase economic activity.

(3 marks)

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- (d) Explain the role of savings and investment in the circular flow of income.

(4 marks)

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Question 2

(10 marks)

The following table shows data for a hypothetical economy.

Year	Saving	Investment	Taxation	Government spending	Imports	Exports
2022	10	25	60	50	50	45
2023	15	30	65	—	25	45
2024	20	20	40	20	50	75
2025	20	30	50	55	40	45

- (a) Identify which years the above economy is in equilibrium.

(1 mark)

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- (b) Calculate the level of government spending if the economy is in equilibrium in 2023.

(1 mark)

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- (c) Based on the economic activity in 2025, explain what is likely to happen to the equilibrium level of income after 2025.

(2 marks)

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- (d) Describe the impact of an increase in a country's exports on economic activity. (2 marks)

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- (e) Describe the relationship between individuals and businesses in the circular flow model. (4 marks)

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(10 marks)

Question 3

- (a) Define the business cycle.

(1 mark)

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- (b) Outline how the business cycle is related to living standards in an economy.

(2 marks)

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- (c) Outline the role of government in influencing the allocation of resources in the economy. (3 marks)

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- (d) Explain the effects of an economic recession on the circular flow of income. (4 marks)

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er extended response

- 1 Describe the role that each factor of production plays in the economy, and explain how the problem of scarcity is addressed in a market economy.
- 2 Analyse how changes in the circular flow of income lead to fluctuations in the business cycle.
- 3 Discuss the role of the government in influencing the business cycle and addressing unequal distribution of resources.



Economic Concepts and Relationships

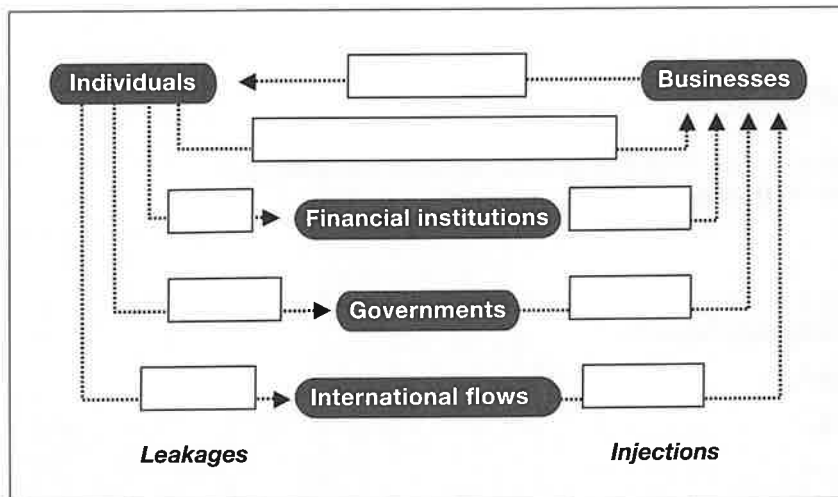
In this skills revision exercise, you will be presented with an economic scenario taking place in a five-sector circular flow of income model. The exercise involves two steps. Firstly, identify whether the presented activity is a leakage or injection, and what is the effect of the activity on total leakages or total injections. Secondly, consider whether as a result of the scenario, economic activity expands or contracts. The first activity has been completed as a guide.

Scenario	What is the effect of the activity on total leakages or total injections?	Does economic activity expand or contract?
The Australian dollar appreciates, causing export volumes to fall	Total injections decrease	Contracts
The government increases income taxes to help offset a budget deficit		
The RBA cuts interest rates to encourage businesses to invest		
As a result of the closure of Australia's motor vehicle production industry, import volumes rise		
Tax reforms result in a fall in tax revenue		
The government introduces a \$10bn health and education improvement package		

sr skillsrevision

Use your knowledge of the circular flow of income to answer the following questions.

Fill in the missing components of the circular flow of income.



Identify the impact of each of the following scenarios on leakages and injections and the likely impact on economic activity.

1 China, Australia's largest trading partner, experiences an economic downturn.

Leakages:

Injections:

Impact on economic activity:

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2 Investment in port and rail facilities improves Australia's export capacity.

Leakages:

Injections:

Impact on economic activity:

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3 The government increases mandatory superannuation contributions for all workers.

Leakages:

Injections:

Impact on economic activity:

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The COVID-19 pandemic ended Australia's record run of 28 years of economic growth. Recession is the stage of the business cycle in which there is decreasing economic activity and is defined as two consecutive quarters of negative economic growth. Using your textbook, the internet and other resources, research the impact of the 2020 recession and answer the following questions:

- What were the economic effects of the recession? Consider the impacts on the production of goods and services, consumption, unemployment, income levels and quality of life.
- What were impacts of the recession on each of the five sectors of the circular flow model?
- What tools did the Government use to increase the level of economic activity?

Prepare a one-page report presenting your research.

3

How Economies Differ

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 Which of the following economies in the Asia-Pacific region has the lowest Human Development Index?
A Australia
B China
C Japan
D Singapore ☐

- 2 Which of the following is most likely to be sold in a product market?
A Laser diamond-cutting machine
B Land for agriculture
C Smartphones
D Telecommunications infrastructure ☐

- 3 Which of the following is most likely to be consistent with a centrally planned economy?
A Free ownership of property
B Private ownership of enterprise
C Agricultural prices determined by the government
D Efficient allocation of economic resources ☐

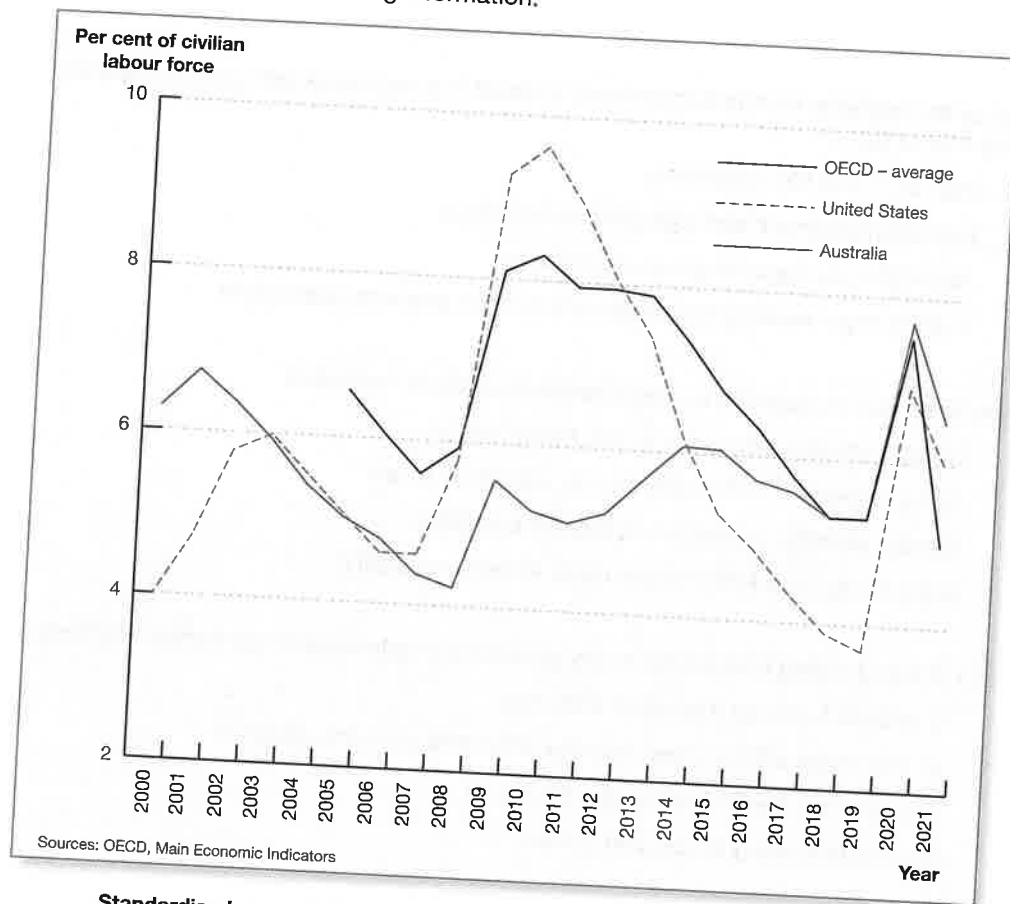
- 4 Which of the following is a distinguishing feature of a mixed economy?
A Both governments and businesses involved in allocating resources effectively
B Individuals who own factors of production make all major economic decisions
C State ownership of resources
D Leakages and injections are always equal ☐

5 Which of the following is the best example of a merit good?

- A A laptop computer
- B A university degree
- C Capital machinery
- D Pineapples



6 Question 6 relates to the following information.



Standardised unemployment: Australia, United States and OECD average

Which of the following is true about unemployment in the Australian economy?

- A Youth unemployment in Australia is below the OECD average, while general unemployment is above the OECD average
- B Unemployment in Australia over the last 10 years on average has been below that of the major advanced economies
- C Unemployment rates in Australia have always been higher than those of major industrialised economies
- D Unemployment in Australia peaked at a much higher level relative to the United States during the global financial crisis in 2008



7 Which of the following is a characteristic of a pure market economy?

- A Efficient provision of all necessary goods and services
- B Regulated monopolies
- C Income inequality, favouring those who control the factors of production
- D Progressive taxation



- 8 Which of the following best describes a progressive income tax system?
- A High-income earners pay a higher dollar amount in tax compared to lower-income earners
 - B High-income earners pay a higher proportion of their income in tax compared to lower-income earners
 - C High-income earners and lower-income earners pay the same proportion of their income as tax ☐
 - D High-income earners and lower-income earners pay the same dollar amount in tax
- 9 Which of the following factors is most likely to result in an economy with a large population having a high quality of life?
- A High GDP and life expectancy
 - B Low unemployment and high private ownership
 - C High GDP per capita and high adult literacy ☐
 - D High Human Development Index rank and government intervention
- 10 Which three factors does the Human Development Index measure?
- A Gender equality, education levels, health levels
 - B GNI per capita at PPP, health levels, education levels
 - C Gender equality, import levels, income inequality ☐
 - D GNI per capita at PPP, literacy rates, income inequality
- 11 Which of the following best explains why governments intervene in the market economy?
- A To impose taxes on the nation's citizens
 - B To encourage efficient resource allocation and economic stability
 - C To implement the federal budget each year ☐
 - D To provide funding for demerit goods
- 12 Which of the following would be an indicator of increasing government intervention in the economy?
- A Reduction of tariffs on imported electronics
 - B Increased subsidies to renewable energy producers
 - C Tax cuts to high income earners ☐
 - D The privatisation of electricity generators
- 13 Which of the following is true about Australia's energy sources?
- A Australia has remained reliant on non-renewable energy sources
 - B Australia can produce only non-renewable energy sources
 - C Australia's carbon dioxide emissions are below the high-income country average ☐
 - D Australia generates most of its energy from non-coal sources

14 Question 14 is based on the following information.

Country	GNI 2020 (US \$bn)	Ranking
United States	21,690	1
China	14,624	2
Japan	5252	3
Germany	3914	4
United Kingdom	2779	5
France	2772	6
India	2598	7
Italy	1906	8
South Korea	1644	9
Canada	1624	10
World total	87,527	
Source: World Development Indicators 2021		

The world's 10 largest economies

Based on the information in the table, which of the following statements is definitely true?

- A The United States has higher government intervention than Japan
- B The United States has higher quality of life than Japan
- C The United States has greater output than Japan
- D The United States has higher income per person than Japan

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15 Which of the following best describes a concern that a government might have about joining global climate change agreements?

- A It may take time and constitute hard work
- B Domestic policies to reduce greenhouse gas emissions are more effective
- C It may impose restrictions on its own economy which are not followed by other nations, leading to a competitive disadvantage
- D Global agreements are always ratified by every country

☐

Short Answer Questions

Write your answer in the space provided.

Question 1

(10 marks)

- (a) Outline how consumers determine what goods and services will be produced in an economy.

(2 marks)

- (b) Discuss the benefits of competition for consumers.

(2 marks)

- (c) Outline ONE weakness of a pure market economy.

(2 marks)

- (d) Compare and contrast the features of a centrally planned economy and a market economy.

(4 marks)

Question 2

(10 marks)

The following table shows the size and destination of government expenditure in the 2021–22 Commonwealth Budget.

2021–22 expenditure	\$ million	% of total
General public services	26,070	4.4
Defence	34,473	5.9
Public order and safety	6652	1.1
Education	42,799	7.3
Health	98,283	16.7
Social security and welfare	209,975	35.6
Housing and community amenities	7869	1.3
Recreation and culture	4532	0.8
Fuel and energy	9638	1.6
Agriculture, forestry and fishing	4483	0.8
Mining, manufacturing and construction	4354	0.7
Transport and communication	14,460	2.5
Other economic affairs	14,640	2.5
Other purposes	111,106	18.9
Total expenses	589,334	100
Source: Budget. Based on Commonwealth of Australia data		

- (a) Using the table above, identify the item of highest expenditure for the Australian Government, and explain why that was most likely the case.

(2 marks)

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- (b) Outline TWO reasons why a government may intervene in an economy.

(2 marks)

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- (c) Describe how the government aims to promote economic stability.

(2 marks)

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- (d) Evaluate the arguments for and against government intervention in the economy. (4 marks)

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Question 3

(10 marks)

Country	GNI per capita (PPP US\$ current)	GNI rank	Human Development Index (HDI), 2020	HDI rank
Australia	51,680	23	0.944	8
China	16,790	82	0.761	85
Norway	72,920	7	0.957	1
Singapore	92,270	2	0.938	11
United States	66,080	11	0.926	17
Source: UNDP Human Development Statistical Update 2020				

GNI and quality of life, selected countries

- (a) Using the table above, compare Australia's quality of life and GNI per capita to ONE other economy. (2 marks)

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- (b) Outline why GNI per capita is used to compare the income levels of economies, rather than GNI. (2 marks)

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- (c) Explain why it is possible for a country to have a high GNI per capita figure, yet a relatively low Human Development Index.

(2 marks)

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- (d) Discuss Australia's environmental quality and resource usage compared to other economies.

(4 marks)

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er extended response

- 1 Compare and contrast the characteristics of a market economy versus a mixed economy and the role of the government within each economy.
- 2 Analyse how governments aim to promote economic stability in a mixed economy.
- 3 Compare and contrast the economic performance and level of government intervention in Australia and one other economy in Asia.



Analysing economies

Japan	China	Ethiopia	Brazil	Greece	Australia
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Choosing from the countries listed above, match the name of the country with a set of statistics below. Briefly explain why you made this choice.

	Economy 1	Economy 2	Economy 3	Economy 4	Economy 5	Economy 6
Population (millions)	25	211	126	112	1398	10
GDP based on purchasing power parity (PPP) per capita GDP	52,343	16,154	42,338	2332	18,109	31,540
GDP based on purchasing power parity (PPP) share of world total	1.0%	2.5%	4.0%	0.2%	18.7%	0.45%
Inflation (%)	1.4%	4.5%	0.01%	20.4%	2.3%	0.5%
Unemployment (%)	5.0%	14.7%	2.8%	21.6%	4.0%	15.5%
Human Development Index	0.944	0.765	0.919	0.485	0.761	0.888
HDI ranking	8	84	19	173	85	32

Sources: International Monetary Fund, World Economic Outlook Database, April 2021; UNDP Human Development Statistical Update 2020

Country number	Which economy is this?	Reasoning
Country 1		
Country 2		
Country 3		
Country 4		
Country 5		
Country 6		

ca classactivity

“The government intervention debate”

Divide the class into two groups – the government’s supporters and the government’s critics – for a brainstorming session about the costs and benefits of government intervention in the market economy. The categories in the table below can be used as a guide for the relevant areas of discussion. When you have finished brainstorming, come together as a class to debate the role of government in the economy. Does the government provide the best outcome, or would the market provide the best outcome?

Scenario	The benefits of government intervention	The costs of government intervention
Healthcare		
Education		
Social welfare		
Competition and market structure		
Environmental sustainability		
Production of goods and services (encouraging and discouraging production)		



independentresearch

Comparing economies

Conduct a comparative case study between Australia and one other economy in Asia, exploring the similarities and differences between the Australian economy and the other economy you choose. When choosing an economy, keep in mind that you want to choose an economy that can be compared to Australia and that has information available to make the comparison.

You will need to compare a number of aspects of the two economies. For each area of comparison, you should try to find some statistics and general similarities or differences. Some areas will only have limited statistics available, others will have many. The areas which you should look to compare the economies are:

- Economic growth and the quality of life
- Employment and unemployment
- Distribution of income
- Environmental sustainability
- The role of the government in providing:
 - Healthcare
 - Education
 - Social welfare

Try not to just list a shopping list of statistics, but ensure that with each comparison you are telling a story of the major similarities and differences.

The websites of reputable international organisations and Australian government sites have a wealth of reliable information that will be useful for this task. Some of the better websites include:

Human Development Reports: www.hdr.undp.org

World Bank: www.worldbank.org

International Monetary Fund: www.imf.org

Organisation for Economic Co-operation and Development: www.oecd.org

The Economist: www.economist.com/countries

Commonwealth Treasury and Budget: www.treasury.gov.au and www.budget.gov.au

Reserve Bank of Australia: www.rba.gov.au

Australian Bureau of Statistics: www.abs.gov.au

TOPIC 2

CONSUMERS AND BUSINESS

Topic 2 syllabus outcomes tested

- ◆ **P1** demonstrates understanding of economic terms, concepts and relationships
- P2** explains the economic role of individuals, firms and government in an economy
- P7** identifies the nature and causes of economic problems and issues for individuals, firms and governments
- P8** applies appropriate terminology, concepts and theories in economic contexts
- P9** selects and organises information from a variety of sources for relevance and reliability
- P10** communicates economic information, ideas and issues in appropriate forms
- P12** works independently and in groups to achieve appropriate goals in set timelines

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W **weblinks**

Consumer Protection

Australian Competition and Consumer Commission: www.accc.gov.au

NSW Office of Fair Trading: www.fairtrading.nsw.gov.au

National Competition Council: www.ncc.gov.au

Choice Magazine: www.choice.com.au

Businesses in the Economy

Productivity Commission: www.pc.gov.au

Business Council of Australia: www.bca.com.au

Department of Industry, Innovation and Science: www.industry.gov.au

Export Market Development Grants: www.austrade.gov.au/Australian/Export/Export-Grants

Governmental Online Business Resources: www.business.gov.au

Consumers in the Market Economy

4

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 Which of the following is an example of anti-competitive behaviour?
- A A business intentionally produces a fridge that will only last five years
 - B A group of petrol stations agree to raise the price of unleaded petrol
 - C A mobile company releases a new phone model every year
 - D An anti-baldness shampoo guarantees regrowth with no grey hair
- 2 Alexia consumes \$800 of her weekly \$2000 income. However, if she accepts a new job offer, she will double her weekly income, of which she then expects to consume \$1200. How will Alexia's average propensity to consume (APC) change if she accepts the new job?
- A Become more elastic
 - B Increase
 - C Remains unchanged
 - D Decrease
- 3 What is meant by the term *individual demand*?
- A Each consumer's preference for higher income
 - B A particular consumer's preference for consumption compared to saving
 - C Each firm's demand for more customers
 - D A consumer's demand for a particular good or service
- 4 The equation $Y = C + S$ expresses the choice that consumers face when consuming or saving their income. Which of the following is always correct?
- A An increase in the level of income will increase marginal propensity to consume
 - B An increase in saving reflects an increase in income
 - C At a given level of income, an increase in saving requires an equal reduction in consumption
 - D An increase in income will result in a decrease in consumption

- 5 Which of the following are complementary goods?
- A Coke and Pepsi
 - B Cars and fuel
 - C Bananas and apples
 - D Laptops and tablets
- 6 Which three sectors receive the most social assistance in Australia, as measured by total expenditure on welfare payments for these cohorts?
- A Unemployed persons, families with children, and the aged
 - B The aged, Indigenous Australians, and families with children
 - C People with disabilities, unemployed persons, and the aged
 - D The aged, people with disabilities, and families with children
- 7 For an individual, if average propensity to save is less than marginal propensity to save, what happens to saving if income is doubled?
- A Average propensity to save falls
 - B Saving is doubled
 - C Marginal propensity to save falls
 - D Average propensity to save increases

Questions 8, 9 and 10 relate to the information in the table below.

Andrea's weekly savings	Andrea's average propensity to consume (APC)	Andrea's marginal propensity to consume (MPC)
\$120	0.6	0.4

- 8 According to the above information, what is Andrea's marginal propensity to save?
- A 0.6
 - B 0.8
 - C 0.7
 - D 0.4
- 9 According to the above information, what is Andrea's weekly income?
- A \$200
 - B \$630
 - C \$300
 - D \$72
- 10 Suppose Andrea's marginal propensity to consume falls to 0.2. Which of the following is most likely to cause such a change?
- A Andrea reduces her working hours
 - B Andrea decides to save for a deposit on a house
 - C Andrea decides to improve her quality of life
 - D Andrea gets promoted at work

Question 11 relates to the information in the table below.

Country	Income per capita (US\$, PPP, 2019)	Saving (%GDP, 2019)
United States	66,060	19
Denmark	62,120	31
Australia	50,540	22
Japan	43,880	28
New Zealand	42,570	21
Greece	30,620	11
South Africa	12,640	15
China	16,810	44
India	6,920	30
Source: World Bank Development Indicators 2021.		

- 11** According to the information in the table above, which of the following statements is true?
- A Japan has the highest income per capita
 - B Greece has a higher saving rate than South Africa
 - C New Zealand has a lower income per capita than Australia, but has a higher saving rate than China
 - D India has a higher saving rate than Greece, but has a lower income per capita than the United States ☐
- 12** Which of the following statements about an individual's marginal propensity to save is correct?
- A An individual's marginal propensity to save is the total proportion of their income that is saved
 - B Retiring from the workforce can significantly reduce an individual's income, resulting in a lower marginal propensity to save
 - C An individual's marginal propensity to save is lower than their average propensity to save
 - D A high income earner is more likely to have a lower marginal propensity to save than an individual on a lower income ☐
- 13** Renee has a weekly income of \$960 and spends \$385 per week. What is Renee's average propensity to save (APS)?
- A 0.4
 - B 0.8
 - C 0.6
 - D 0.2 ☐
- 14** If the price of necessities such as food, clothing and electricity were to decrease, how might this affect the population's average propensity to save?
- A The average propensity to save would decrease
 - B The average propensity to consume would increase
 - C The average propensity to consume would remain unchanged
 - D The average propensity to save would increase ☐

- 15** Which of the following would increase the average propensity to consume in the economy?
- A An increase in the national income per capita
 - B If more income was redistributed from wealthier households to poorer households
 - C Greater concern about the nation's economic future
 - D A reduction in tax on interest earned from savings accounts



Short Answer Questions

Write your answer in the space provided.

Question 1

(10 marks)

- (a)** Evelyn earns \$2000 a week and consumes \$800 of that weekly income. Suppose Evelyn receives a 30 per cent pay rise and her consumption rises to \$1560. Calculate Evelyn's average propensity to consume at her original income level and her average propensity to save at her new income level.

(2 marks)

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- (b)** Outline how tax policies influence an individual's decision about whether to spend or save.

(2 marks)

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- (c)** Explain TWO examples of business activities which can distort consumer sovereignty.

(3 marks)

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- (d)** Distinguish between a complementary good and a substitute good. Analyse how a change in the price of a complementary good might affect the individual demand for an item.

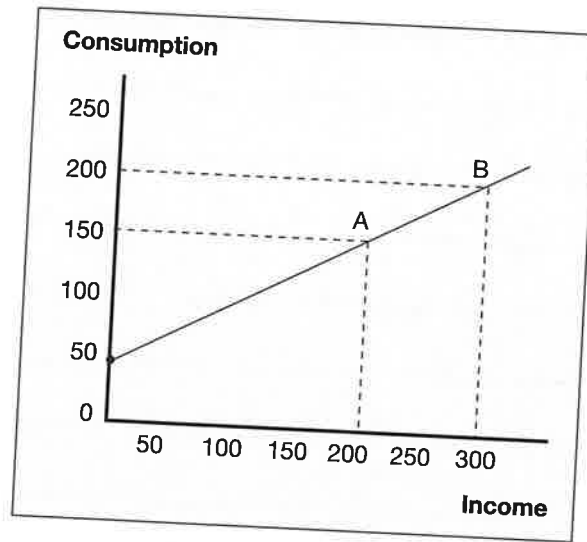
(3 marks)

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Question 2

(10 marks)



An individual's consumption function

- (a) Define the average propensity to consume.

(1 mark)

- (b) Calculate the marginal propensity to consume at point A and the average propensity to consume at point B.

(1 mark)

- (c) Outline why the curve in the consumption function does not meet the y-axis at 0 in the graph above.

(2 marks)

- (d) Describe what would happen to the curve if the marginal propensity to save increased significantly. (2 marks)

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- (e) From your understanding of the life-cycle theory of consumption, examine how the average propensity to save (APS) changes over the course of a person's life. (4 marks)

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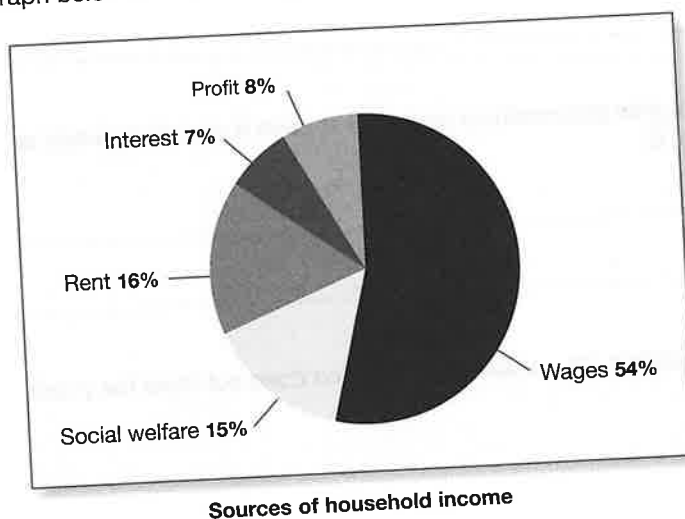
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(10 marks)

Question 3

The information in the graph below relates to a hypothetical economy.



- (a) List the FOUR main types of transfer payments which act as a source of consumer income in the Australian economy. (1 mark)

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- (b) Explain a source of consumer income identified on the graph.

(2 marks)

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- (c) Explain how the demand for a good can be affected by the price of a complementary good. (2 marks)

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- (d) Outline how a decrease in personal income tax rates might impact consumption and saving of individuals in an economy.

(5 marks)

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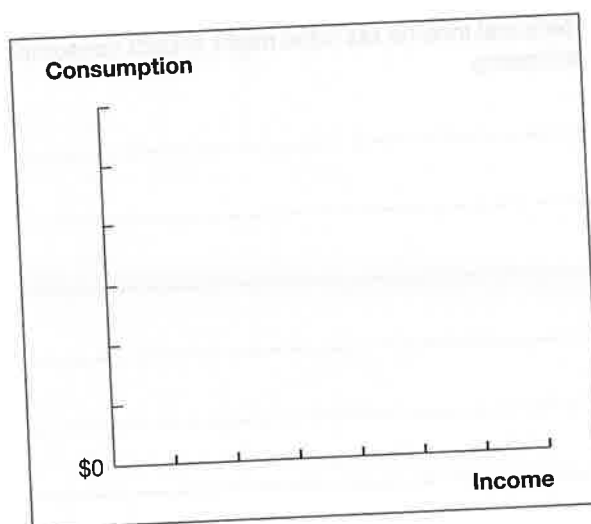
er extended response

- 1 Outline the sources of consumer income and examine the role of social welfare in the Australian economy.
- 2 Analyse the factors influencing individual consumer choice on an individual's level of spending and saving.
- 3 Discuss the factors influencing individual consumer choice and how government policies might be used to encourage individuals to increase their savings.

sr skillsrevision

The table below examines an individual's saving and consumption patterns as their income rises. Fill in the missing elements of the table and draw the curve in the consumption function below.

Income	Saving	Consumption
25	10	
50		30
75	30	
	40	60
125		75



- At an income of \$50, what is the marginal propensity to consume?
- At an income of \$100, what is the marginal propensity to save?
- Suppose that the marginal propensity to consume decreased. Draw another curve on the diagram to show what the new consumption function would look like.

ca classactivity

Consumer choice

Consumers play a central role in a market economy. Consumers receive income from many different sources. Consumers save some of their income and spend some of it on goods and services that they need and want. Consumer sovereignty means that the tastes and preferences of consumers ultimately determine what firms produce. However, there are significant means through which business practices and other constraints can reduce consumer sovereignty.

For this activity, form small groups and discuss how the following factors influence consumer sovereignty using examples where available to illustrate your points.

Factors influencing consumer sovereignty	Discussion
Advertising and direct marketing	
Anti-competitive behaviour	
Planned obsolescence	
Monopolies	
Increased information through the internet	
Distribution of income	

Business in the Market Economy

5

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 Which of the following best describes the type of specialisation which involves breaking down a production process into smaller sub-processes?
 - A Large-scale production
 - B Economies of scale
 - C Division of labour
 - D Location of industry☐
- 2 Which of the following factors is most likely to influence a firm to decrease production?
 - A An increase in unemployment
 - B The strengthening of the Australian dollar
 - C An increase in competition because of a new entrant into the market
 - D An economic recession☐
- 3 Which of the following best describes ethical decision-making?
 - A Business decisions seeking to maximise profit and meet shareholder expectations
 - B Business decisions that are influenced by the impacts they have on broader society
 - C Business decisions by not-for-profit organisations
 - D Business decisions that aim to abide by the law☐
- 4 Which of the following is an advantage of a business demonstrating satisficing behaviour?
 - A It can be easily measured by a single metric
 - B Firms will achieve higher profits and returns for shareholders
 - C Firms will achieve higher salaries for executives and staff
 - D Firms can promote their long-run interests generally without focusing on just one measure of success☐
- 5 Which of the following is most likely to increase the available quantity of labour in the economy?
 - A A reduction in income tax rates
 - B A decrease in the birth rate of the population
 - C A reduction in consumption in an economy
 - D An increase in relocation costs between states and territories☐

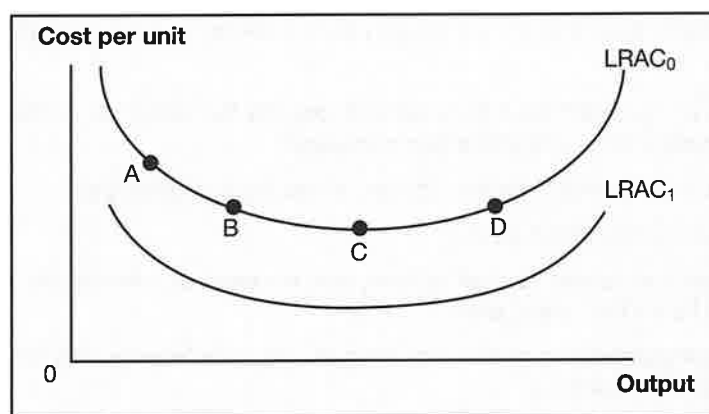
Use the following information to answer questions 6 and 7.

	Hours taken to complete all individual returns	Number of individual returns completed	Price charged to clients for an individual return
March	15	5	\$150
June	11	9	\$120
September	21	10	\$220
December	18	12	\$115

- 6 Ajinkya is a tax accountant for a small business in Newcastle who receives a sum of money for each individual tax return he completes. According to the above figures, which of the following statements is true about Ajinkya's productivity?
- A December was Ajinkya's most productive month
- B Ajinkya's productivity was higher in March than in September
- C Ajinkya's productivity was higher in June than in September
- D Ajinkya's productivity was lower in June than in September
- 7 Which of the following was Ajinkya's most successful month with respect to hourly pay?
- A March
- B June
- C September
- D December

☐
☐

Use the following diagram to answer questions 8, 9 and 10.



- 8 A pharmacy chain expands by taking over a number of small independent chemists, but when it attempts to integrate the inventory lists across all stores, it results in short-term supply breakdowns that cause many stores to be out of stock of important medication. It then spends significantly more money hiring couriers to make emergency deliveries between its stores. Which of the following points on the long-run average cost curve best describes where the company's production levels were immediately after the merger?
- A A
- B B
- C C
- D D

☐

- 9** A new interior design company called Design4You has just begun operating. It currently has only a few jobs and has spent a significant amount on equipment and supplies. Which point on the long-run average cost curve best describes the current stage of Design4You?
- A A or B
 - B C or D
 - C D
 - D B
- ☐
- 10** Suppose that $LRAC_0$ moves to $LRAC_1$. Which of the following could account for such a change?
- A The growth of an industry causing a transport bottleneck to form
 - B Over time, the firm's management finds ways to operate more efficiently
 - C The growth of output to such a level that management loses touch with the day-to-day running of the firm
 - D The expansion of a city has allowed a firm to access a greater market
- ☐
- 11** Which of the following describes what business contributes to the economy?
- A Provides employment to workers and loans to financial institutions
 - B Provides employment to workers and receives subsidies from the government
 - C Uses natural resources and capital to produce goods and services
 - D Invests profits in business growth and gives money to charities
- ☐
- 12** Which of the following is an example of an increase in productivity?
- A A growing business employs more staff
 - B An apprentice can paint a house faster now than when she started
 - C A cafe sells more ice cream in summer
 - D Staff at an accounting firm work longer hours at the end of financial year
- ☐
- 13** Which of the following would result in movement towards the technical optimum on the long-run average cost curve for a car manufacturing company?
- A A global environmental initiative requires all new cars to be electric
 - B An increase in the cost of steel
 - C The company increases its internal compliance measures, introducing a new level of approvals by middle management
 - D The company appoints a new senior executive team to improve efficiency and increase market share
- ☐

- 14** A large media and telecommunications conglomerate acquires a pay TV network. However, the efficiency of the company worsens as a result of excessive middle-management and breakdowns in internal communication. Which of the following best describes this circumstance?
- A Internal economies of scale
 - B External economies of scale
 - C Internal diseconomies of scale
 - D External diseconomies of scale
- 15** Which of the following is an example of internal diseconomies of scale?
- A The growth of a firm results in management losing touch with day-to-day operations and administration
 - B A firm receives a discount for its supplies if it buys in bulk
 - C A firm expands its level of labour resources to allow workers to specialise in particular tasks along the production process
 - D A juice bar in Wollongong can purchase fresh produce more cheaply after a fruit market opens within the same shopping centre



Short Answer Questions

Write your answer in the space provided.

Question 1

(10 marks)

Quality of labour	Total output
1	160
2	345
3	540
4	750
5	990
6	1175
7	1340
8	1450

The above table is a hypothetical firm's production function. Assume that the firm does not use any capital in production.

- (a) Define the term *marginal productivity of labour*.

(1 mark)

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- (b) Explain how the specialisation of labour may affect the marginal productivity of labour.

(2 marks)

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- (c) Identify how many units of labour are employed before diminishing returns exist in the above example.

(2 marks)

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- (d)** Explain why a firm might use a higher proportion of labour than capital in its production process. (2 marks)

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- (e)** Describe the shape of the hypothetical firm's long-run average cost curve and explain why this might be the case. (3 marks)

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Question 2 (10 marks)

- (a)** Outline ONE factor which may influence a business operator's decision regarding what to produce. (2 marks)

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- (b)** Identify TWO ways a government can support business growth and activity. (2 marks)

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- (c)** Distinguish between external economies and diseconomies of scale. (2 marks)

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- (d)** Choose TWO different industries that have been affected by the emergence of corporate social responsibility. Explain how this might affect our economy. (4 marks)

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Question 3 (10 marks)

- (a)** Define the term *internal diseconomies of scale*. (1 mark)

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- (b)** Identify TWO ways in which increased productivity can improve the living standards in an economy. (2 marks)

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(c) Discuss the impact of technology on employment.

(3 marks)

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(d) Distinguish between productivity and production.

(4 marks)

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er extended response

- 1 Outline the various goals of a firm and analyse the methods a firm may take to achieve its goals.
- 2 Discuss how ethical decision making can contribute to the creation of new industries and the demise of others. Provide examples of how governments can also influence this process.
- 3 Analyse the impact of technological change and globalisation on a firm's production methods and environmental sustainability.

SR skillsrevision

This Skills Revision consists of two parts.

The first will assess your ability to identify how much a firm should produce considering a scenario that is presented in the table below. You must respond to the presented scenario by identifying whether a firm is likely to increase or decrease production.

Scenario	Will a firm INCREASE or DECREASE production?
Market research identifies that consumer demand is growing	
Reduced availability of storage space	
The introduction of artificial intelligence reduces production costs	
The economy experiences a recession	
A new source of natural resources is discovered	
The retirement age is lowered	
ABS data reveal the population is rapidly growing	
The economy experiences a boom	

In this part, similar to above, you will be presented with examples that describe how specialisation can occur in relation to three factors of production. You must identify the presented examples by describing which factor of production is being specialised – labour, natural resources or capital.

Example	Specialisation of labour, natural resources or capital?
A car manufacturer utilises an advanced automated laser paint gun that applies perfect coats of paint to all cars	
A fast-food restaurant only trains workers to be proficient in one aspect of food production	
A number of small IT firms decide to rent a large building space near a major power station	
A large bank increases the number of job departments and job titles, preferring staff to work longer on a smaller amount of tasks	
A group of businesses submit a joint tender to build factories next to a major highway	
A growing construction company implements a new machine that automatically cuts pieces of timber so that they are ready for installation	



For this skills revision, you will be presented with a number of different situations. Classify each situation as one of the following options:

- Internal economies of scale
- Internal diseconomies of scale
- External economies of scale
- External diseconomies of scale

Situation	Classification
A jam and marmalade producer decides to relocate to a region where there are more fruit farmers	
A small regional aquarium discovers that its sea life has died as a result of toxins in the local water supply from rapid nearby development	
A business quickly expands, resulting in senior managers becoming unable to keep track of the day-to-day progress of staff	
A firm purchases a new warehouse that enables the firm to purchase materials in bulk quantities and store goods safely	
A large insurance company outsources a contract to an IT firm to develop an automated platform which can perform administrative tasks	
A cotton farmer benefits from research into glyphosate-resistant crops by the CSIRO which increases crop yields	
Population growth results in severe transport bottlenecks that increase commute times for CBD workers	
Two department stores undertake a merger, resulting in significant cost savings and reducing senior executive management costs	
An expanding firm hires 8 new directors to manage higher workflow; however, the new directors are unable to integrate within the firm and provide unclear instructions to staff	

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classactivity

Form the class into four groups for the following exercise. Each group should choose a scribe to take notes.

Managing a successful business is about understanding how to produce a good or service to satisfy customer needs and wants in ways that generate a profit. It requires an understanding of what customers want, how machines work, what technology is available, how people work, and many other features of an economy. However, business is not just about knowing a lot – it is a skill to be able to answer questions the right way and make the right strategic decisions to run a successful business.

Each group should choose one of the scenarios below. For your scenario, discuss the considerations affecting the business. Then consider some of the key business decisions affecting the operator. The scribe of the group should write down one page of bullet points that would be part of the business strategy as discussed by the group.

A pharmaceutical firm

Business considerations:

- Australians tend to be more health conscious than people in most other countries.
- Australia has a relatively large pool of skilled scientists and a significant chemical manufacturing industry.
- The Government is considering increasing subsidies for some medicines.
- Most pharmaceutical companies are based in North West Sydney.

Key business decisions:

- What to produce?
- How to produce?
- What role for new technology?



Food manufacturer

Business considerations:

- Australia has a plentiful supply of land, but most Australians live in cities.
- Australian consumers have many options for food from supermarkets and takeaway stores.
- The Australian Government enforces laws about food standards and hygiene.

Key business decisions:

- What to produce?
- How much to produce?
- How to achieve increases in productivity?



Newsagency

Business considerations:

- Most Australian newsagencies sell newspapers, magazines, and other miscellaneous items.
- Employers are allowed to pay people younger than 21 less.
- Newsagency licenses are granted by state governments and cover the delivery of newspapers to a certain geographic area.
- Many newsagencies have closed down in recent years because of a shift to consuming news on digital platforms

Key business decisions:

- What to produce?
- How to produce?
- Which goals of the firm to give priority?



A gymnasium

Business considerations:

- Gym members like a combination of free weights, gym equipment, and fitness classes.
- A small number of gym members use the gym every day, while many only visit very occasionally.
- Gym instructors need to be qualified so they can ensure the health of gym members.
- Most gyms are relatively empty during the day but very busy at night time after people finish work.

Key business decisions:

- How to produce?
- How to achieve increases in productivity?
- How to maximise profits?





TOPIC 3

MARKETS

Topic 3 syllabus outcomes tested

- ◆ **P1** demonstrates understanding of economic terms, concepts and relationships
- P2** explains the economic role of individuals, firms and government in an economy
- P3** describes, explains and evaluates the role and operation of markets
- P5** analyses the relationship between individuals, firms, institutions and government in the Australian economy
- P8** applies appropriate terminology, concepts and theories in economic contexts
- P10** communicates economic information, ideas and issues in appropriate forms
- P11** applies mathematical concepts in economic contexts
- P12** works independently and in groups to achieve appropriate goals in set timelines

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Markets and Competition

Australian Competition and Consumer Commission: www.accc.gov.au

National Competition Council: www.ncc.gov.au

Productivity Commission: www.pc.gov.au

Government in the Market

Commonwealth Budget: www.budget.gov.au

Board of Taxation: www.taxboard.gov.au

Department of Treasury: www.treasury.gov.au

Demand

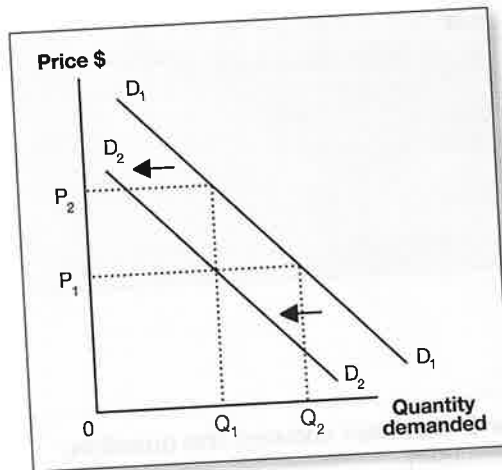
6

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 After the birth of his fourth child, Zebedee is in the market to buy a larger car. Zebedee coaches a children's soccer team and he has noticed that most other parents are now driving 4WD cars. He now decides he will also buy a 4WD. Which of the following best describes what affected Zebedee's market demand?
- A Zebedee's consumer preferences
 - B Bandwagon effect
 - C Zebedee's income level
 - D Snob effect
- 2 If the price of earphones decreases, which of the following is likely to occur?
- A The quantity of earphones demanded will remain the same
 - B The quantity of earphones demanded will decrease
 - C The quantity of earphone chargers demanded will decrease
 - D The quantity of earphone chargers demanded will increase
- 3 When the price of yoga pants increases by 15 per cent, the quantity of yoga pants demanded falls by 25 per cent. Which of the following best describes the price elasticity of demand for yoga pants?
- A Inelastic demand
 - B Unit elastic
 - C Elastic demand
 - D Perfectly inelastic demand

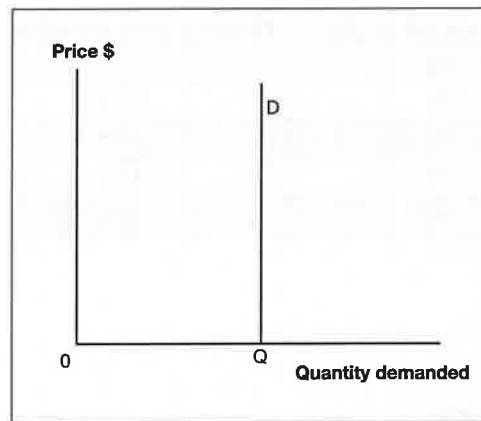
- 4 Use the following diagram to answer question 4.



The above diagram illustrates:

- A A decrease in demand
 B An increase in demand
 C A contraction in demand
 D An expansion in demand
- 5 Which of the following goods or services is most likely to be subject to a specific indirect tax?
 A Vegetables
 B Public transport fares
 C Computers
 D Cigarettes
- 6 How might the market for electric vehicles now be affected if people expect prices to fall in the future?
 A A contraction in demand for electric vehicles
 B A decrease in demand for electric vehicles
 C An expansion in demand for electric vehicles
 D An increase in demand for electric vehicles
- 7 The Fair Work Commission announces a large increase to minimum wages for Australian workers. *Ceteris paribus*, what would you expect to happen to the prices for renting apartments?
 A Prices will increase due to an increase in demand
 B Prices will increase due to an expansion in demand
 C Prices will increase but it is not obvious whether this is due to an increase or expansion in demand
 D Prices will increase due to both an increase and an expansion in demand
- 8 On a Saturday night in Sydney during June, Stadium Australia (the Homebush Stadium) at Olympic Park is hosting an NRL game, while nearby the Sydney Showground (or Giants Stadium) is hosting an AFL game. What impact might a big reduction in prices for tickets to the AFL game have on the demand for tickets to the NRL game?
 A An increase in demand for a NRL ticket
 B An expansion in demand for a NRL ticket
 C A decrease in demand for a NRL ticket
 D A contraction in demand for a NRL ticket

- 9 Use the following diagram to answer question 9.

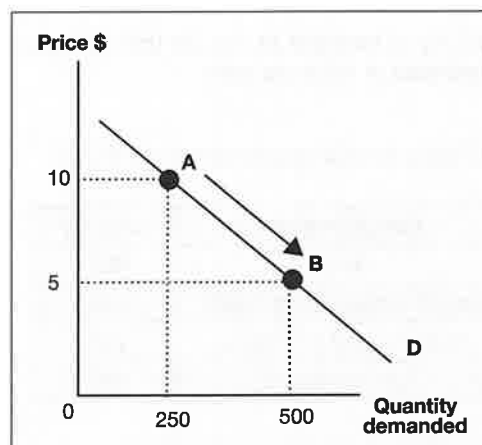


What does the diagram above illustrate?

- A Perfect demand
- B Unit elastic demand
- C Perfectly inelastic demand
- D Perfectly elastic demand



- 10 Use the following diagram to answer question 10.



The demand curve for gelato

Which of the following best explains the movement from point A to point B?

- A An increase in the number of gelato customers
- B A decrease in the price of gelato
- C More people becoming vegans and avoiding dairy products
- D An increase in the price of gelato



- 11 If the price of battery-operated torches decreased, what would happen to the demand for torch batteries?

- A An increase in demand for torch batteries
- B A decrease in demand for torch batteries
- C A contraction in demand for torch batteries
- D An expansion in demand for candles



- 12** What is the price elasticity of demand for the change in price of takeaway pizza from \$10 to \$15?

Price of takeaway pizza (\$)	Quantity demanded (units)
5	1000
10	800
15	600
20	400

- A Elastic demand
 B Unit elastic
 C Inelastic demand
 D Perfectly inelastic demand

☐

- 13** Demand for chewing gum is relatively elastic. Which pricing strategy would chewing gum retailers be most likely to use?

- A They would be more likely to lower prices, as this would result in a less than proportionate increase in volumes sold
 B They would be more likely to increase prices, as this would result in a more than proportionate decrease in volumes sold
 C They would be more likely to lower prices, as this would result in a more than proportionate increase in volumes sold
 D They would be more likely to increase prices, as this would result in a less than proportionate decrease in volumes sold

☐

- 14** The following table shows Olivia's spending for the month of July.

Good/Service	Cost (\$)
Rent	600
Paying off credit card debt	325
Supermarket groceries	220
Concert tickets	95

Which of Olivia's purchases is likely to be the most elastic?

- A Rent
 B Paying off credit card debt
 C Supermarket groceries
 D Concert tickets

☐

- 15** Which of the following best describes a contraction of demand?

- A A price rise in a good causes quantity demanded to decrease
 B A price fall in a good causes quantity demanded to decrease
 C A price rise in a good causes quantity demanded to increase
 D A price fall in a good causes quantity demanded to increase

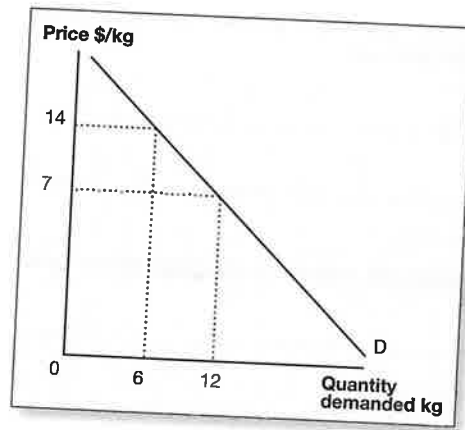
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Short Answer Questions

Write your answer in the space provided.

Question 1

(10 marks)



The demand curve for figs

- (a) According to the law of demand, which TWO economic variables are related? (1 mark)
-
-
- (b) Identify the quantity of figs demanded at \$7 per kg. (1 mark)
-
-
- (c) Identify the change in quantity demanded if the price of figs decreases from \$14 per kg to \$7 per kg. (1 mark)
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-
- (d) Describe TWO factors that could cause an increase in demand for figs. Illustrate this change on the diagram above. (3 marks)
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- (e) Describe ONE factor that could cause a movement along the demand curve for figs. (1 mark)

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- (f) Assuming that figs and dates are substitute goods, outline the likely effect on demand for figs if the price of dates decreases. (1 mark)

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- (g) Explain the relationship between the prices of complementary goods. (2 marks)

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Question 2

(10 marks)

- (a) Define the term *ceteris paribus*. (1 mark)

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- (b) Census information released by a statistics bureau reveals that the life expectancy rate of a country is increasing. Outline the likely effect of this on the demand for aged care centres, *ceteris paribus*. (2 marks)

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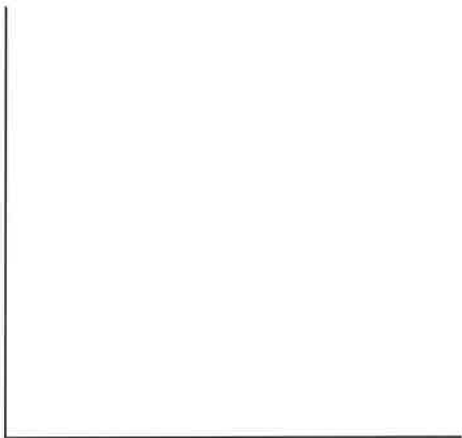
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- (c) Using the data in the table below, construct the demand curve for sneakers. (2 marks)

Price (\$)	Quantity of sneakers demanded
60	100
120	80
180	60
240	40
300	20



- (d) Illustrate a contraction of demand on the diagram above. (1 mark)

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- (e) Distinguish between a contraction of demand and a decrease in demand. (4 marks)

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Question 3**(10 marks)**

Price of necklaces (\$)	Quantity demanded (units)
40	150
90	85
140	30
190	5

- (a)**
- Define the term
- price elasticity of demand*
- .

(1 mark)

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- (b)**
- Calculate the price elasticity of demand for the change in price from \$40 to \$90.

(1 mark)

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- (c)**
- Calculate the price elasticity of demand for the change in price from \$140 to \$190.

(1 mark)

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- (d)**
- Outline what happens to the elasticity of demand for a good over time and why.

(1 mark)

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- (e)**
- Outline what is meant by a good or service having perfectly inelastic demand.

(2 marks)

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- (f) Explain the possible factors influencing the elasticity of demand for necklaces.

(4 marks)

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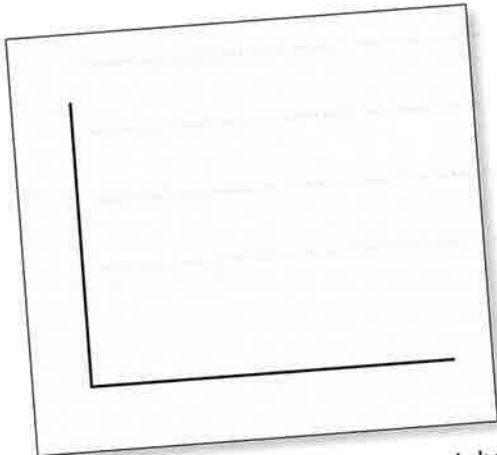
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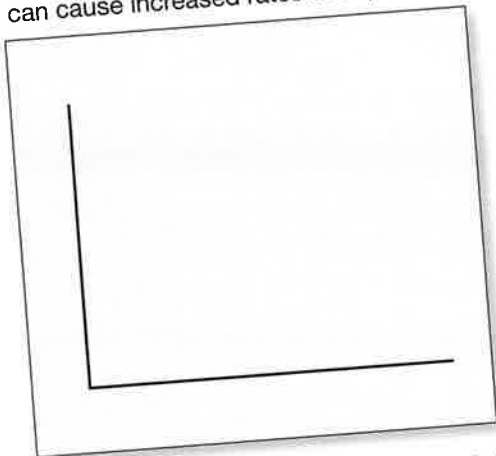
- 1 Explain what is meant by the law of demand and outline the factors affecting demand. Give an example for each factor.
- 2 Distinguish between an expansion of demand and an increase in demand. Discuss the factors that may cause an increase and a decrease in demand.
- 3 Explain what is meant by perfectly elastic, perfectly inelastic and unit elastic demand. Draw a diagram for each case. Discuss the factors that influence the elasticity of demand for a good or service.
- 4 Define the concept of price elasticity of demand and explain how it is calculated. Analyse how information about price elasticity of demand can be used by firms and governments in the economy.

sr skillsrevision

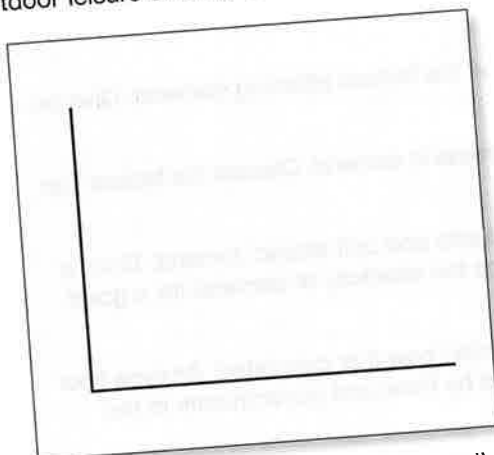
Illustrate the effects of each change on the demand curve for smartphones in the economy.



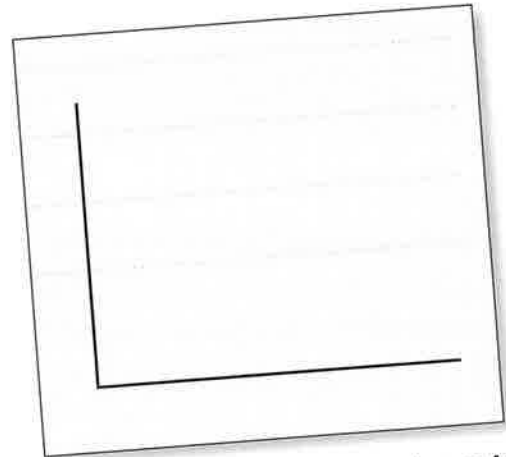
A report suggests excessive use of smartphones can cause increased rates of depression



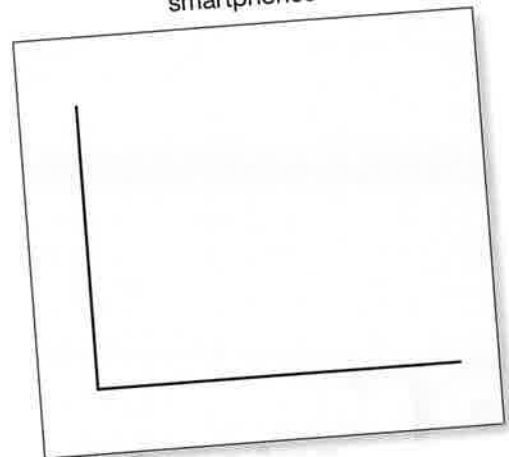
A pandemic results in people being locked down in their homes, unable to spend money on outdoor leisure or shop at non-essential stores



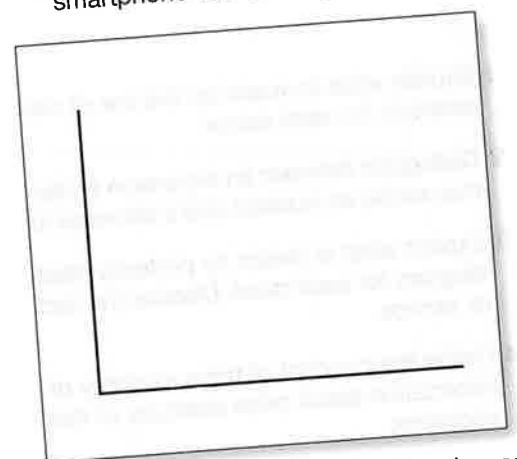
The app store adopts a new pricing policy that more than doubles the price of all smartphone apps



A ban on imports of Huawei smartphones from China is lifted, leading to a fall in the price of smartphones



The government announces a "smartphone tax" starting next year



A celebrity starts sharing photos from her new iPhone 13 on Instagram, saying it has the best camera she has ever used



Calculate the total revenue and elasticity of demand for a movement in price for each of the following.

Price (\$)	Quantity demanded (units)	Total revenue
15	185	
30	150	
60	120	
100	70	
150	20	
300	8	

Elasticity

\$15 to \$30 =

\$30 to \$60 =

\$60 to \$100 =

\$100 to \$150 =

\$150 to \$300 =

Price (\$)	Quantity demanded (units)	Total revenue
4999	20	
6999	15	
8000	10	
10,000	8	
13,000	5	
15,000	3	

Elasticity

\$4999 to \$6999 =

\$6999 to \$8000 =

\$8000 to \$10,000 =

\$10,000 to \$13,000 =

\$13,000 to \$15,000 =

Price (\$)	Quantity demanded (units)	Total revenue
6	50	
12	35	
20	21	
45	12	
75	8	
110	1	

Elasticity

\$6 to \$12 =

\$12 to \$20 =

\$20 to \$45 =

\$45 to \$75 =

\$75 to \$110 =

7

Supply

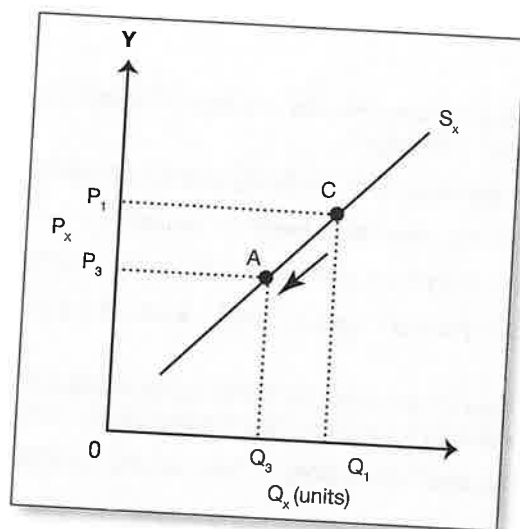
Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 Which of the following best explains how a firm's ability to store its stock might affect the elasticity of supply?
- A Holding more stock improves a firm's ability to respond to price changes, leading to a more elastic supply
 - B Holding more stock worsens a firm's ability to respond to price changes, leading to a more elastic supply
 - C Holding more stock improves a firm's ability to respond to price changes, leading to a more inelastic supply
 - D Holding more stock worsens a firm's ability to respond to price changes, leading to a more inelastic supply
- 2 If the slope of the supply curve steepens, which of the following is most likely to be true at any given price on the curve?
- A The supply of the good has become more elastic
 - B The supply of the good has become more inelastic
 - C The quantity supplied of the good will increase
 - D The quantity supplied of the good will decrease
- 3 Which of the following best explains how an increase in the minimum wage might affect market supply?
- A Higher wages increase production costs, causing firms to supply fewer goods
 - B Lower labour costs limit the ability of firms to respond to changing demand, decreasing supply
 - C Higher wages increase production costs, allowing firms to supply more goods
 - D Higher wages increase production costs, but since demand does not change, the same quantity of goods will be supplied
- 4 Which of the following can cause movements along the supply curve?
- A Changes in the price of a complementary good
 - B Change in the price of the good
 - C Favourable economic conditions
 - D Technological improvements

☐☐☐☐

- 5 What may cause a supply curve to shift to the left?
- A A fall in the general price level
 - B An increase in the quantity of resources available for production
 - C A fall in the cost of factors of production
 - D A health pandemic means that large numbers of workers are unable to work
- 6 What effect will the government deciding to impose a new tax on the sale of sugary soft drinks have on its supply?
- A The supply of sugary soft drinks will increase
 - B The supply of sugary soft drinks will contract
 - C The supply of sugary soft drinks will decrease
 - D The supply of sugary soft drinks will expand
- 7 The government decides to increase the youth minimum wage. What effect would this be expected to have on the supply of fast food?
- A A contraction in the supply of fast food
 - B An increase in the supply of fast food
 - C An expansion in the supply of fast food
 - D A decrease in the supply of fast food
- 8 Which of the following best describes the law of supply?
- A As the price of a good or service decreases, the quantity supplied will fall
 - B As the price of a good or service increases, the quantity supplied will fall
 - C As the price of a good or service decreases, the quantity supplied will rise
 - D As the price of a good or service increases, the quantity supplied will rise
- 9 Use the diagram below to answer question 9.



What does the diagram above illustrate?

- A An expansion in supply
- B A decrease in supply
- C A contraction in supply
- D An increase in supply

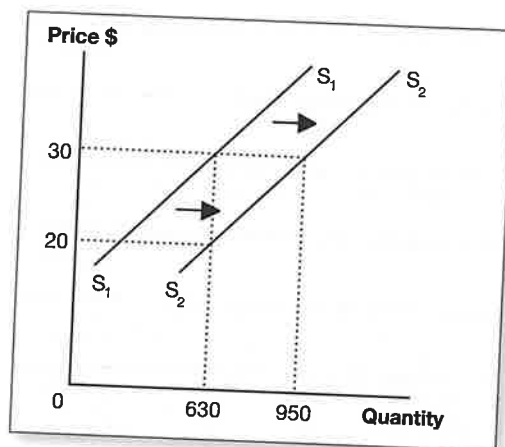
- 10** Because of concerns about chemicals entering underground water sources, the NSW Government announces a ban on “fracking” (a method of underground gas extraction). Which of the following best describes the effect that this decision will have on the supply of gas?
- A The supply of gas would decrease
 - B The supply of gas would increase
 - C The supply of gas would contract
 - D The supply of gas would expand
- ☐
- 11** Which of the following options best describes the supply of pianos as unit elastic?
- A An increase in price leads to a less-than-proportional increase in the quantity of pianos supplied
 - B An increase in price leads to a greater-than-proportional increase in the quantity of pianos supplied
 - C An increase in price leads to a proportional increase in the quantity of pianos supplied
 - D A decrease in price leads to a less-than-proportional increase in the quantity of pianos supplied
- ☐
- 12** For which of the following would supply be the most elastic?
- A Iron ore
 - B X-ray technicians
 - C Private jets
 - D Chocolate bars
- ☐
- 13** Farmers find it difficult to increase production in the short term despite a large rise in prices for pumpkins. Which of the following best describes the elasticity of supply of pumpkins?
- A Relatively elastic
 - B Unit elastic
 - C Relatively inelastic
 - D Perfectly elastic
- ☐
- 14** Which of the following best describes the way in which time lags in production influence the elasticity of supply after a price change?
- A Relatively elastic in the short term, perfectly elastic in the long term
 - B Relatively inelastic in the short term, perfectly inelastic in the long term
 - C Unitary elastic in the short term, perfectly elastic in the long term
 - D Relatively inelastic in the short term, relatively elastic in the long term
- ☐
- 15** Consider an economy where the price for carpentry services rises. Which of the following best describes the responsiveness of supply to this price change in the short run and long run?
- A In the short run price elasticity is likely to be relatively inelastic, but in the long run perfectly inelastic
 - B In the short run price elasticity is likely to be relatively inelastic, but in the long run relatively elastic
 - C In the short run price elasticity is likely to be unit elastic, but in the long run relatively elastic
 - D In the short run elasticity is likely to be relatively elastic, but in the long run relatively inelastic
- ☐

Short Answer Questions

Write your answer in the space provided.

Question 1

(10 marks)



- (a) Identify the price at which 630 units are supplied on supply curve S_1 .

(1 mark)

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- (b) Calculate the change in quantity supplied at a price of \$30 caused by the movement of the supply curve in the diagram.

(1 mark)

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- (c) Outline the difference between a decrease and a contraction in supply.

(2 marks)

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- (d) Explain how an increase in the cost of factors of production would affect market supply.

(2 marks)

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- (e) Explain TWO possible factors causing the movement in the diagram.

(4 marks)

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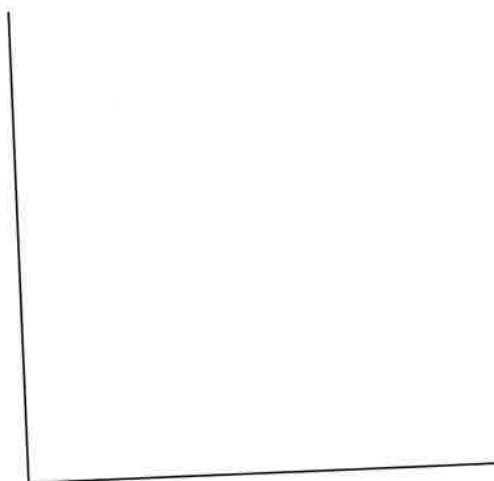
Question 2

(10 marks)

Price (\$)	Quantity supplied (000s of wireless chargers)
200	25
170	20
140	14
110	7
80	3

- (a) Using the data above, construct the supply curve for wireless chargers.

(3 marks)



- (b) Illustrate a decrease in supply on the diagram above.

(1 mark)

- (c) Describe the likely effect on the supply of wireless chargers if there is an improvement in production technology for wireless chargers.

(1 mark)

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- (d) Describe the likely effect of increased supply of wireless chargers on the supply of wired chargers.

(1 mark)

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- (e) Define the law of supply.

(1 mark)

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- (f) Explain why there is a direct relationship between price and quantity supplied.

(3 marks)

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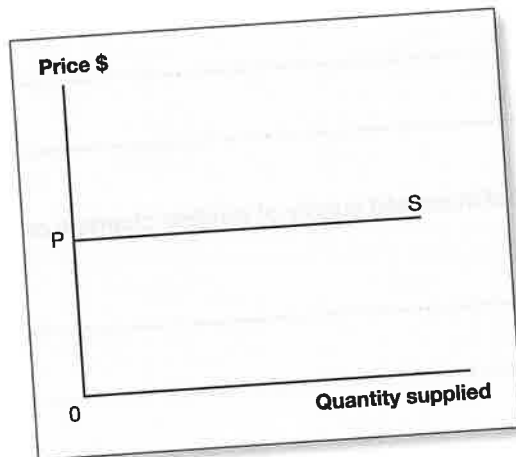
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Question 3



- (a) Define the term *price elasticity of supply*. (1 mark)

- (b) Give an example of a good or a service that could be represented in the diagram above. (1 mark)

- (c) Describe the elasticity of supply illustrated in the diagram above. (2 marks)

- (d) Explain why the price elasticity of supply is relatively inelastic in the short term. (2 marks)

(e) Describe TWO factors affecting the price elasticity of supply.

(4 marks)

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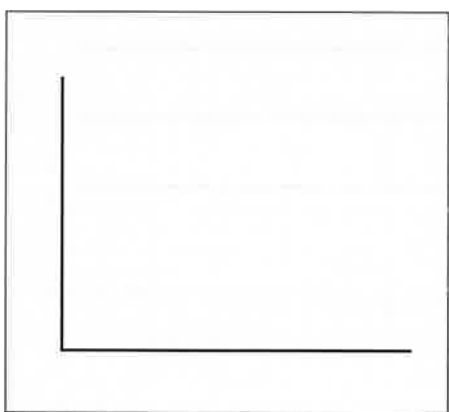
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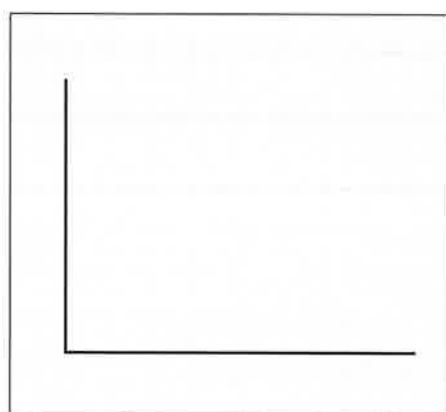
- 1 Compare the difference between a movement along a supply curve and a shift of the supply curve. Outline the factors that may cause an expansion or contraction, and an increase or decrease in supply.
- 2 Define the law of supply and outline the main factors affecting market supply of a good or service.
- 3 Define the price elasticity of supply and distinguish between perfectly elastic and perfectly inelastic supply, drawing a diagram for each case. Discuss the factors that affect the elasticity of supply.



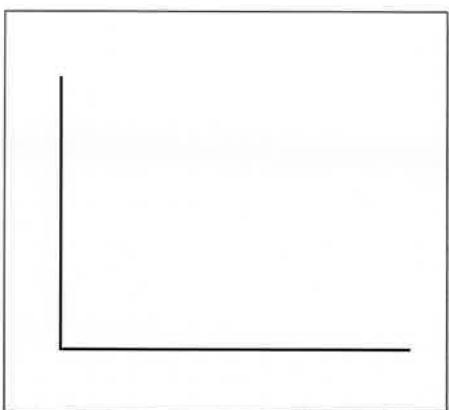
Illustrate the effects of each of the following changes on the supply curve for beef burgers in the economy.



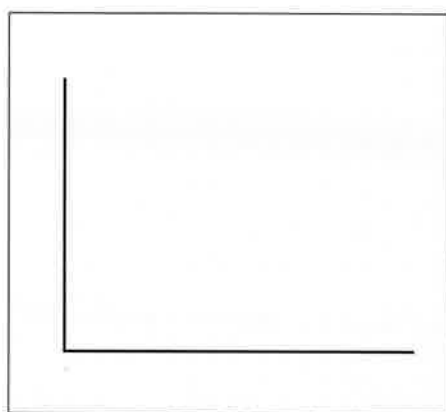
Australia signs a trade agreement that opens up its meat market to imports of meat from Brazil.



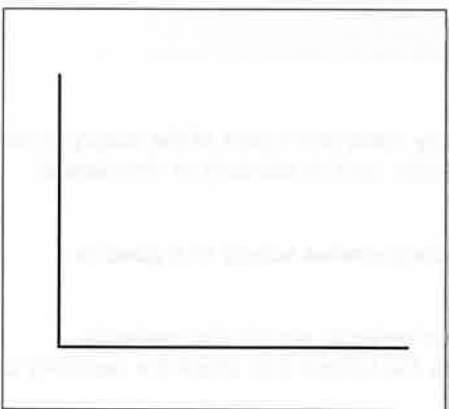
As part of its policies to reduce greenhouse gas emissions in the agricultural sector, the Australian Government announces a Great Cow Tax of \$100 per head of cattle.



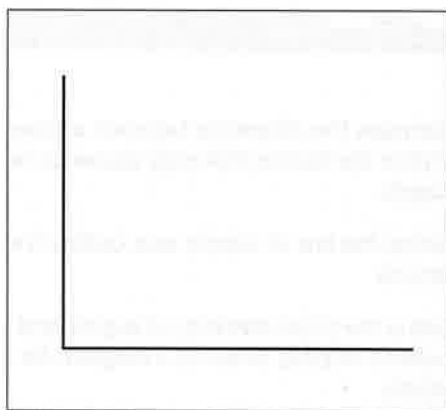
The Fair Work Commission announces large reductions in fast food workers' penalty rates (an increased rate of pay for working overtime or outside normal business hours).



A severe plague of mice throughout New South Wales reduces food supply for livestock, resulting in slower growth in cattle numbers.



A popular hamburger chain closes down after a scandal in which customers became ill from eating out-of-date burgers.



The more efficient Burger-Flipper 3000 Robot is created.

SR skillsrevision

Classify each of the following situations according to their elasticity of supply:

- Perfectly inelastic
- Relatively inelastic
- Unit elastic
- Relatively elastic
- Perfectly elastic

	Elasticity of supply
A brewery with a large warehouse for holding inventory.	
A pharmacy is forced to set a single selling price by the wholesaler. It cannot alter prices, and the wholesaler will supply any quantity.	
An ice cream seller at a cricket game whose ice creams are rapidly melting with the soaring temperature.	
A microscope supplier decides to increase quantity supplied by the same proportion as the increase in price.	
A supplier of whisky that must be aged in double barrels for 20 years before being sold.	
An art gallery seeking to sell two of its paintings by a famous artist who died in 1892.	
A road haulage firm that is experiencing a shortage of truck drivers.	

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Market Equilibrium

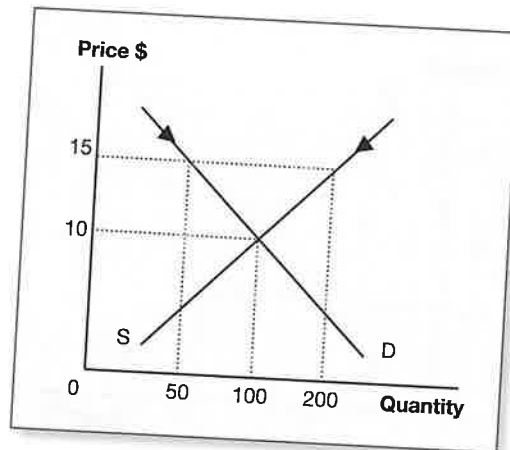
Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 What is the price mechanism?
- A A process where supply and demand interact to determine market price and quantity
 - B The buying and selling of goods
 - C A process where market price and quantity interact to determine equilibrium demand and supply
 - D The negotiation of consumers and producers to determine what goods and services are produced
- 2 In which of the following scenarios is the government most likely to impose a price ceiling?
- A A mining company announces a major expansion of a coal mine in northern Queensland
 - B The two largest pathology firms in Australia merge, creating a monopoly for blood tests in several Australian states
 - C A new study from the University of NSW finds that vaping is associated with long-term damage to people's lungs
 - D An overseas bank enters the Australian market, promising to increase competition in the home mortgage market
- 3 Which of the following is most likely to occur after a decrease in supply and an increase in demand?
- A An indeterminate effect on both equilibrium price and quantity
 - B An indeterminate effect on equilibrium price and an increase in equilibrium quantity
 - C An increase in equilibrium price and an indeterminate effect on equilibrium quantity
 - D An increase in equilibrium price and quantity

☐☐☐

- 4 Use the following diagram to answer questions 4 and 5 below.



Which of the following is the market clearing price?

- A \$0
- B \$10
- C \$15
- D \$12.50



- 5 Which of the following reflect the excess supply in the market at a price of \$15?

- A 50 units
- B 100 units
- C 150 units
- D 200 units



- 6 Which of the following best describes the likely government action and outcome when the market quantity for a good is too high?

- A The government provides a subsidy for the good, decreasing the equilibrium price and increasing equilibrium quantity
- B The government taxes the good, increasing the equilibrium price and equilibrium quantity
- C The government provides a subsidy for the good, decreasing the equilibrium price and equilibrium quantity
- D The government taxes the good, increasing the equilibrium price and decreasing equilibrium quantity

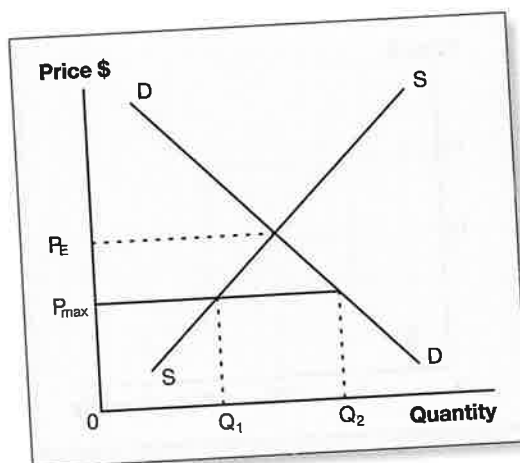


- 7 Why is the price mechanism considered to be efficient?

- A The government does not intervene in the market
- B Consumers willing to pay more than the market price will be satisfied, and producers offering to sell below the market price will be satisfied
- C Consumers willing to pay the market price will be satisfied, and producers offering to sell below the market price will be satisfied
- D Consumers willing to pay the market price will be satisfied, and producers offering to sell at the market price will be satisfied



Use the following diagram to answer questions 8 and 9.



8 What does the diagram illustrate at P_E ?

- A A price wall
- B A price floor
- C A price ceiling
- D Equilibrium price



9 What is the effect of the government intervention shown in the previous diagram?

- A A surplus equal to $(Q_2 - Q_1)$
- B A shortfall equal to $(Q_2 - Q_1)$
- C Equilibrium equal to $(Q_2 - Q_1)$
- D Equilibrium quantity remains unchanged

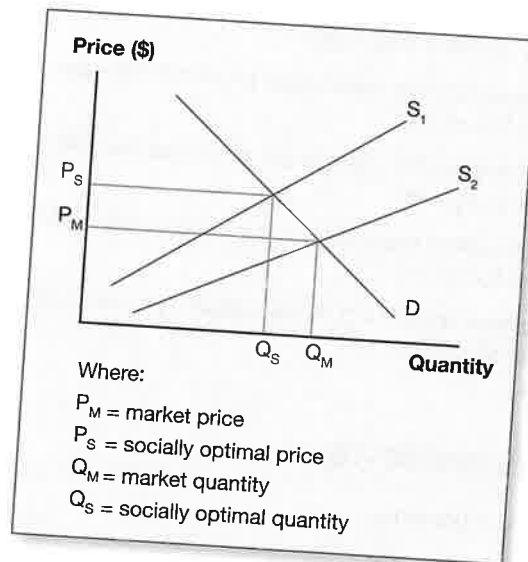


10 Consider the market for portable gas cylinders used for barbecues. Which of the following best describes the effect on market equilibrium if the price of barbecues increases?

- A There would be a decrease in demand for gas cylinders, lowering both equilibrium price and quantity sold
- B There would be an increase in demand for gas cylinders, lowering both equilibrium price and quantity sold
- C There would be a decrease in demand for gas cylinders, increasing both equilibrium price and quantity sold
- D There would be an increase in demand for gas cylinders, increasing both equilibrium price and quantity sold



Use the following diagram to answer the question below.



- 11 Which of the following is best represented by the supply curves S_1 and S_2 in the diagram above?
- A The externality and the optimum
 - B The market cost and the private cost
 - C The socially optimum price and quantity
 - D The private cost and the social cost
- 12 Why does market failure occur?
- A Demand and supply are only based on the costs and benefits for individuals and individual firms
 - B The government intervenes in the economy
 - C Price floors and ceilings fail to equate the quantity demanded with quantity supplied
 - D All markets operate in a setting of pure competition
- 13 Education and the defence force are both provided by the government. Which of the following statements is correct?
- A Both education and defence are public goods
 - B Both education and defence are merit goods
 - C Education is a merit good and defence is a public good
 - D Education is a public good and defence is a merit good
- 14 Which of the following best describes a market structure of monopolistic competition?
- A Similar products with no barriers to entry
 - B Similar products with relatively low barriers to entry
 - C Identical products with high barriers to entry
 - D Diverse range of products with low barriers to entry

- 15 Consider a scenario where a government decides to intervene in the marketplace by imposing a price floor. Which of the following best explains why a government might intervene and the effect on income distribution?
- A The government considers the equilibrium price too high and wants to redistribute money from buyers to sellers
 - B The government considers the equilibrium price too low and wants to redistribute money from sellers to buyers
 - C The government considers the equilibrium price too low and wants to redistribute money from buyers to sellers
 - D The government considers the equilibrium price too high and wants to redistribute money from sellers to buyers

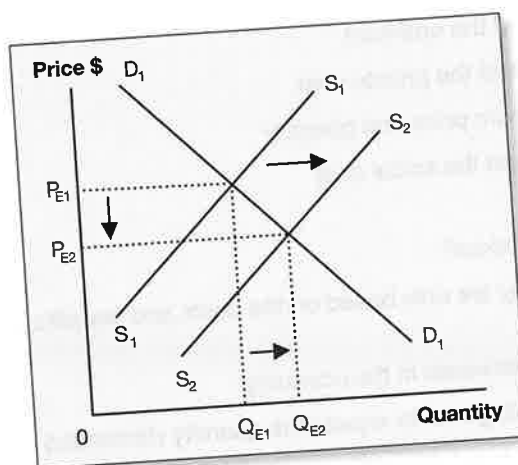


Short Answer Questions

Write your answer in the space provided.

(10 marks)

Question 1



(1 mark)

- (a) Define the term *market equilibrium*.

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- (b) Identify the change to equilibrium price and quantity from the increase in supply from S_1S_1 to S_2S_2 .

(2 marks)

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- (c) Illustrate the effect of an increase in demand on the diagram. (1 mark)

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- (d) Identify the change to equilibrium price and quantity from the increase in demand. (1 mark)

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- (e) Outline why the price mechanism is considered to be efficient. (2 marks)

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- (f) Explain how a market would move towards equilibrium if the market price is currently above equilibrium. (3 marks)

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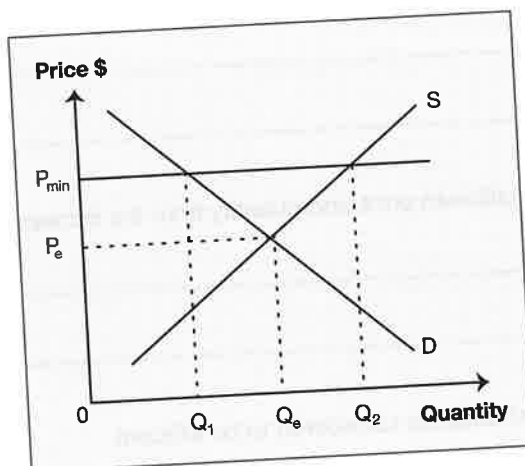
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(10 marks)

Question 2



- (a) Define the term *price floor*.

(1 mark)

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- (b) Identify the excess supply as a result of the price floor in this market.

(1 mark)

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- (c) Describe the impact of a price floor on a firm.

(2 marks)

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- (d) Explain how a government may respond to a situation where the market price for an important medicine is too high, and the effect of the government response for the price of that medicine and the quantity sold.

(2 marks)

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- (e) Explain TWO methods other than a price floor that the government can use to intervene in a market. (4 marks)

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Question 3

(10 marks)

- (a) Define the term *public goods*.

(1 mark)

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- (b) Explain why the market does not provide some goods or services.

(2 marks)

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- (c) Identify the four main market structures.

(1 mark)

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- (d) Explain why a firm operating under pure competition might be considered a 'price taker.' (2 marks)

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- (e) Distinguish between the market structures of a monopoly and an oligopoly.

(4 marks)

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er extended response

- 1** Outline how the price mechanism determines prices and output in a market. Explain how the market ensures allocative efficiency in the economy.
- 2** Examine the types of markets that may require government intervention in the price mechanism, and the consequences of such interventions on price and quantity.
- 3** Describe the different market structures and analyse the role of market power and competition in determining prices in an industry.

ca classactivity

Competition Case Study

This activity should be undertaken in small groups. Each group is to choose an industry in the Australian economy for an investigation into competition within that industry. Each group should present their findings to the class in either a written report or an oral presentation.

The level of competition within an industry will affect the nature of supply in the industry, and affect the equilibrium price and quantity. Competition has its biggest impact on the market power of firms, and their ability to influence prices and consumer sovereignty.

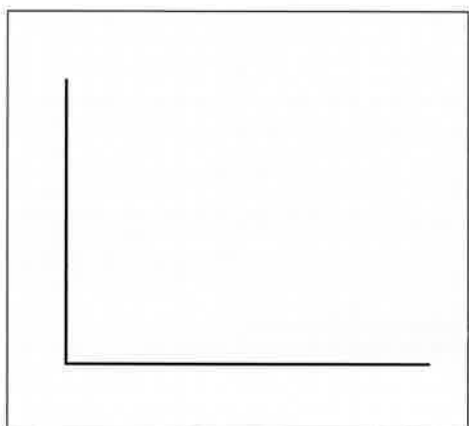
Each group should investigate the following aspects of their chosen industry:

- number of firms (if there are only a few firms, find out the largest players)
- average size of the firms
- type of firms that dominate (public companies, private companies, small businesses, etc.)
- recent activity between firms (any takeovers, mergers, new competitors)
- the level of product differentiation (including prominence of branding)
- the level and intensity of advertising
- likely barriers to entry for new firms
- any government policies that influence or regulate the competitive behaviour of firms in that industry.

In your report or presentation, try to structure each of your findings under the characteristics of market structures. Come to a conclusion about what type of competition is present in your industry.

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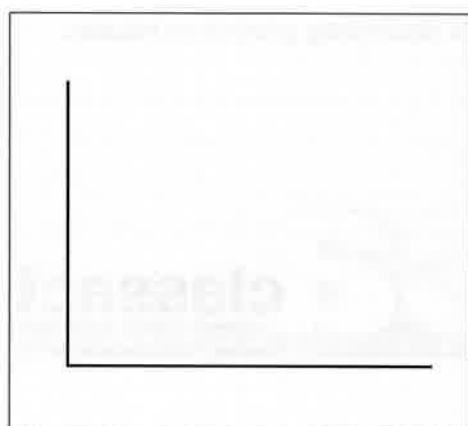
Illustrate the effects of each of the following changes using a supply and demand graph. Clearly label each graph. For each change, identify the change in equilibrium price and quantity (as an increase or a decrease).



An increase in demand

Change in price

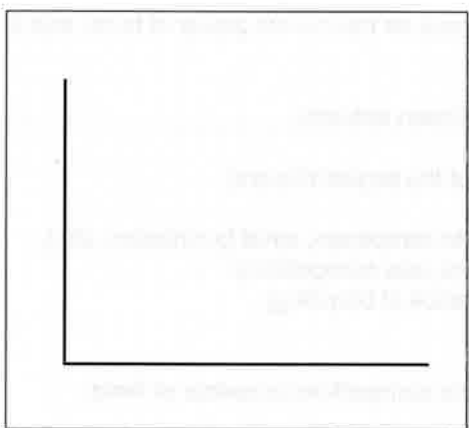
Change in quantity



A decrease in demand

Change in price

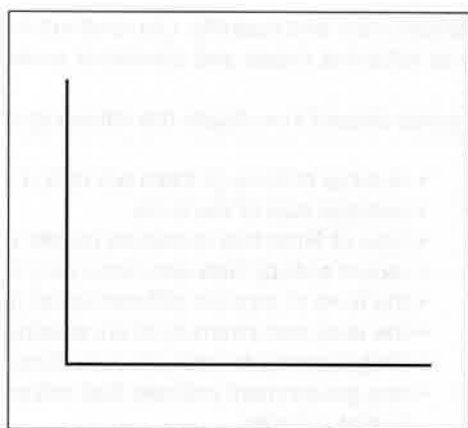
Change in quantity



An increase in supply

Change in price

Change in quantity



An decrease in supply

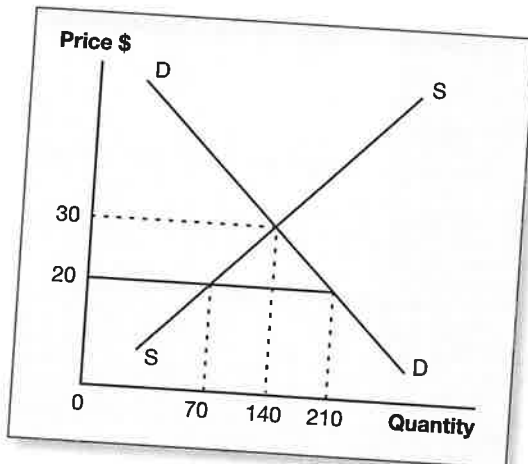
Change in price

Change in quantity

sr skillsrevision

Price Intervention

For the following diagrams, calculate the changes to revenue and expenditure when the government imposes price controls on the market. Remember that revenue is calculated by multiplying price by quantity.



Price ceiling

With no price controls (at equilibrium), calculate:

Price: \$..... Quantity:

Revenue received by suppliers

At the price ceiling, identify:

Price

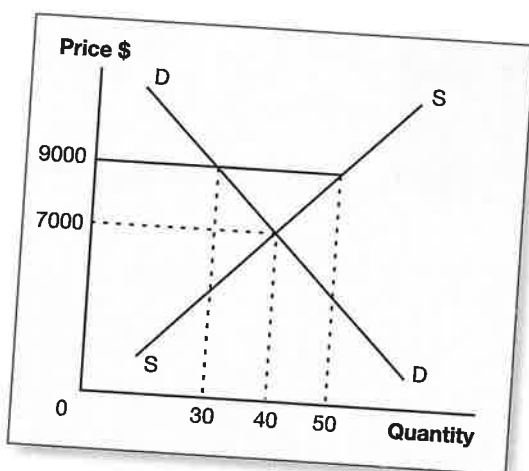
Quantity demanded

Quantity supplied

Calculate:

The shortage in the market

Supplier revenue



Price floor

With no price controls (at equilibrium), calculate:

Price: \$..... Quantity:

Revenue received by suppliers

At the price floor, identify:

Price

Quantity demanded

Quantity supplied

Calculate:

The surplus in the market

Supplier revenue (use the demand curve).....

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The following activity will test your ability to identify different market structures. After being presented with examples of market structures, you will have to classify each example as either pure competition, monopolistic competition, an oligopoly or a monopoly.

Example	Market structure
The supermarket industry, dominated by a few large firms	
The market for the personal delivery of standard letters	
Local hair salons	
The fish market in Sydney, where many producers sell seafood and consumers perceive that all seafood is of the same quality	
The budget motel industry, where firms attempt to make their service appear different through offering various packages	
The Australian domestic airline industry	
The market for water supply in Dubbo	

4

TOPIC

LABOUR MARKETS

Topic 4 syllabus outcomes tested

- ◆ **P1** demonstrates understanding of economic terms, concepts and relationships
- P2** explains the economic role of individuals, firms and government in an economy
- P3** describes, explains and evaluates the role and operation of markets
- P5** analyses the relationship between individuals, firms, institutions and government in the Australian economy
- P6** explains the role of government in the Australian economy
- P7** identifies the nature and causes of economic problems and issues for individuals, firms and governments
- P8** applies appropriate terminology, concepts and theories in economic contexts
- P9** selects and organises information from a variety of sources for relevance and reliability
- P10** communicates economic information, ideas and issues in appropriate forms
- P11** applies mathematical concepts in economic contexts
- P12** works independently and in groups to achieve appropriate goals in set timelines

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WL weblinks

Unions and Employer Associations

Australian Council of Trade Unions: www.actu.org.au
Unions NSW: www.unionsnsw.org.au
Australia Chamber of Commerce and Industry: www.acci.asn.au
Business Council of Australia: www.bca.com.au
Australian Industry Group: www.aigroup.asn.au
Business NSW: www.businessnsw.com

Government Organisations

Fair Work Commission: www.fwc.gov.au
Fair Work Ombudsman: www.fairwork.gov.au
NSW Industrial Relations: <https://www.industrialrelations.nsw.gov.au/>

Other Organisations

Australian Council of Social Service: www.acoss.org.au
The Australia Institute: www.tai.org.au
National Centre for Social and Economic Modelling: www.natsem.canberra.edu.au
National Institute of Labour Studies: www.flinders.edu.au/sabs/nils/
International Labour Organization: www.ilo.org

Labour Demand and Supply

9

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 Which of the following best describes the impact of an increase in the cost of capital on the labour market in an economy?
- A A decrease in the demand for labour, as firms find it more attractive to use capital in their production processes
 - B An increase in the demand for labour, as firms find it more attractive to use labour in their production processes
 - C An decrease in the demand for labour, as firms find it less attractive to produce in a weakening economy
 - D An increase in the supply of labour, as firms increase their investment levels
- 2 Which of the following best describes the effect on the market for skilled labour if there is a reduction in demand for handmade leather clothing due to public concerns about animal welfare?
- A The labour demand curve would shift to the right
 - B The labour supply curve would shift to the right
 - C The labour demand curve would shift to the left
 - D The labour supply curve would shift to the left
- 3 Which of the following best describes how pay levels affect the supply of labour?
- A Lower wages lead to a greater supply of supply
 - B Lower wages lead to a reduction in demand for labour
 - C Higher wages lead to a reduction in the supply of labour
 - D Higher wages lead to a greater supply of labour
- 4 NorthernDiggers is a new mining company located in a remote part of Western Australia near Broome. It is in the process of hiring a new workforce for its mining operations. Which of the following would be a factor limiting its ability to entice workers?
- A Higher pay than is available for workers with similar skills in Adelaide and Sydney
 - B The opportunity for workers to develop their skills
 - C The personal upheaval associated with moving a family from a major city to a remote area
 - D The inclusion of free accommodation and a new SUV in salary packages

- 5** Which of the following would increase the working-age population?
- A An unemployed worker finding employment
 - B An increase in the level of immigration
 - C A parent returning to work after the birth of their child
 - D A decrease in the nation's immortality rate
- 6** In which of the following situations would unemployment be most likely to decrease in the short term?
- A Aggregate demand is rising, but labour productivity is falling
 - B Aggregate demand and labour productivity are both falling
 - C Aggregate demand is falling, but labour productivity is rising
 - D Aggregate demand and labour productivity are both rising
- 7** Which of the following people is most likely to be included in the official measure of unemployment?
- A A person who is having a gap year in India after finishing Year 12
 - B A person who has had to give up their job to take care of an ill family member
 - C A full time student receiving Youth Allowance
 - D Someone who has recently completed full-time study

Use the stimulus below to answer questions 8–10.

Millions of people	Economy A	Economy B
Total population	100	150
Population aged 15 and over	95	100
Employed people aged 15 and over	50	60
Unemployed people aged 15 and over, actively seeking work	20	20
People aged 15 and over, not actively seeking work	25	20

- 8** For economy B, what is the size of the working-age population?
- A 60 million
 - B 80 million
 - C 100 million
 - D 150 million
- 9** For economy B, what is the labour force participation rate?
- A 60%
 - B 80%
 - C 75%
 - D 83%

- 10 Which economy has a larger supply of workers in the labour market?
- A Economy B, because it has a larger labour force
 - B Economy B, because it has a higher participation rate
 - C Economy A, because it has a higher labour force
 - D Economy A, because it has a higher participation rate
- 11 Which of the following is most likely to decrease the demand for labour in the legal services industry?
- A An overhaul of laws relating to competitive behaviour and marketing
 - B An upturn in economic conditions
 - C New regulations require large firms to improve their staff's awareness of anti-discrimination laws
 - D A set of court reforms that streamline the way that courts operate, so that court cases can be heard and resolve far more quickly
- 12 What does the participation rate measure?
- A The proportion of the total population that is in the labour force
 - B The proportion of the working-age population that is in the labour force
 - C The proportion of the working-age population that is employed
 - D The proportion of the working-age population that is unemployed
- 13 Which of the following best describes the impact of an economic upturn on the demand for labour?
- A Decreased demand for labour
 - B Increased demand for labour
 - C Rising unemployment levels
 - D No effect on demand for labour
- 14 Which of the following best describes the most likely impact of an increase in the size of the population on the labour force in an economy?
- A An increase in productivity
 - B An increase in the participation rate
 - C An increase in the unemployment rate
 - D An increase in the size of the Australian workforce
- 15 Who of the following would be included in the labour force?
- A An individual who was recently made redundant
 - B An 18-year-old who is currently undergoing tertiary education
 - C A child under 15 years of age
 - D An individual who is not actively seeking work

Short Answer Questions

Write your answer in the space provided.

(10 marks)

Question 1

“The big change on the supply side has been the closure of our international borders. This has contributed to labour shortages in some areas given the strong pick-up in labour demand. In turn, some workers have received sizeable wage increases. However, the spillover effects to the broader labour market have been limited to date, and wage increases remain modest for most workers...”

In terms of domestic labour force participation, we are expecting further increases, but not a repeat of the large increase since the middle of the previous decade. Increased job opportunities are expected to continue to draw more people into the labour market. In addition, the more flexible work arrangements that are a legacy of the pandemic make it easier for some people to participate in the labour market.”

– RRBA Governor Phillip Lowe, Speech for ‘The Labour Market and Monetary Policy’
Economic Society of Australia (QLD), 8 July 2021

- (a) Identify TWO factors which influence the demand of labour.

(2 marks)

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- (b) Explain how working conditions can impact the supply of labour in an economy.

(2 marks)

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- (c) Explain the effect of a decrease in the price of capital on the demand for labour.

(2 marks)

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- (d) Distinguish between the occupational and geographical mobility of labour.

(4 marks)

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Question 2

(10 marks)

The following data is for a hypothetical economy.

Total population	700 million
Population aged 15 and over	500 million
Population aged 18 and over	475 million
Employed people aged 15 and over	370 million
Unemployed people aged 15 and over, actively seeking work	60 million
People aged 15 and over, not actively seeking work	70 million

- (a) Using the data above, identify the size of the working-age population.

(1 mark)

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- (b) Calculate the labour force participation rate.

(1 mark)

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- (c) Explain the relationship between the level of economic activity and the labour force participation rate. (4 marks)

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- (d) The government announces a plan to increase Australia's skilled migration program, by allowing mining companies to bring in workers to fill skills shortages in regional Australia in both agriculture and mining. Identify the likely impacts of this policy on the labour market. (4 marks)

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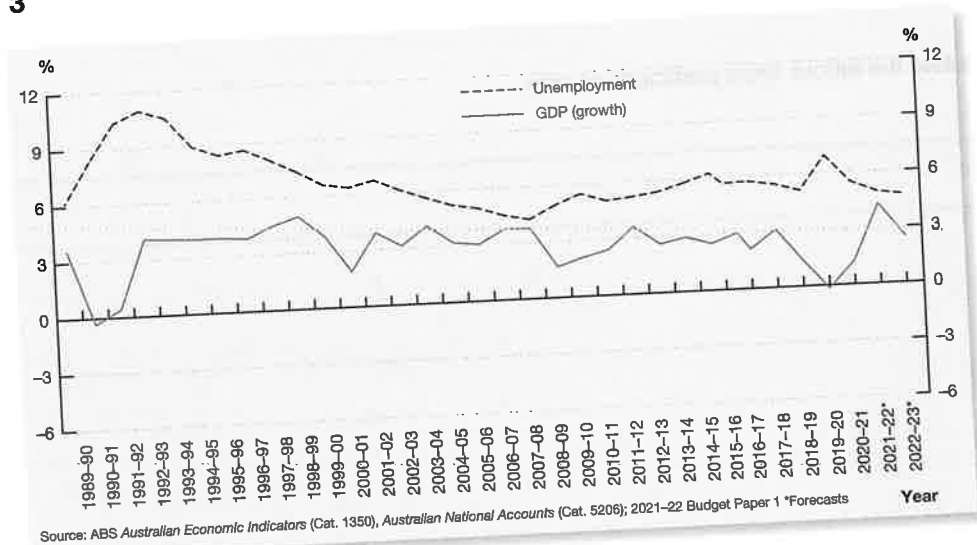
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Question 3

(10 marks)



- (a) Identify the link between GDP growth and the unemployment rate. (1 mark)

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- (b) Explain why the demand for labour is considered a *derived demand*. (2 marks)

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- (c) Account for the lag between economic activity and the unemployment rate. (3 marks)

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- (d) Discuss the relationship between the productivity of labour and the demand for labour. (4 marks)

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er extended response

- 1 Analyse the factors which influence both output and labour demand, and evaluate the role of mobility in influencing the supply of labour in the economy.
- 2 Discuss the factors that influence the participation rate and analyse the effect of population size, age distribution and education on Australia's workforce.
- 3 Explain how wages are determined in the labour market and analyse the impact of rigidities in the labour market on wages and employment in the Australian economy.

sr skillsrevision

Activity 1

Breezy Days Pty Ltd is an air conditioning supplier located in Glenfield in South-western Sydney. For each of the following situations, identify whether labour demand or supply would increase or decrease, and identify the impact on employment.

	Impact on labour demand/supply	Impact on employment
Australia's economic growth rate doubles.		
The government makes it compulsory for all students to complete Year 12.		
New building regulations reduce the size of new homes under construction.		
A collapse in the sharemarket reduces superannuation accounts and forces workers to delay their retirement.		
The Fair Work Commission increases weekend penalty rates by 25 per cent.		
Rental costs for industrial premises in South-western Sydney rise by 20 per cent.		
The government opens new childcare centres to encourage more parents to remain in the workforce.		
A law requiring energy suppliers to use more renewable energy sources increases the price of electricity.		
The purchase of new machines increases the productivity of the firm's workers.		
The government introduces policies that relax occupational health and safety standards for the production of air conditioners.		

sr skillsrevision

Activity 2

Each of the following tables shows data for a hypothetical economy. Use the information in the tables for the calculations.
Hint: Gross Domestic Product is the total output for the economy

Employed	120m
Not employed	100m
Not employed and actively seeking work	22m
Population 15 and above	220m
Gross Domestic Product	\$6300bn

Calculate:

Labour force:

Labour force participation rate:.....

Labour productivity:

Employed	180m
Not employed	200m
Not employed and actively seeking work	70m
Population 15 and above	380m
Gross Domestic Product	\$1080bn

Calculate:

Labour force:

Labour force participation rate:.....

Labour productivity:

Employed	25m
Not employed	50m
Not employed and actively seeking work	6m
Population 15 and above	75m
Gross Domestic Product	\$525bn

Calculate:

Labour force:

Labour force participation rate:.....

Labour productivity:

Employed	310m
Not employed	320m
Not employed and actively seeking work	190m
Population 15 and above	630m
Gross Domestic Product	\$2790bn

Calculate:

Labour force:

Labour force participation rate:.....

Labour productivity:

Labour Market Outcomes

10

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1** Which of the following best accounts for increased wage differentials within the same occupation?
- A Changes in the business cycle over time
 - B The shift away from centralised wage determination in Australia
 - C Increasing rate of union membership
 - D Differences in skill levels
- ☐
- 2** Which of the following is a non-wage outcome?
- A An employee receives additional pay for working on a public holiday
 - B A sole trader goes on a holiday after exceeding her profit targets
 - C A restaurant provides its head chef with a company car and a personal set of artisanal Japanese chef knives
 - D An employee is promoted to a senior manager role after five years of working at a firm
- ☐
- 3** Following a downturn in economic activity, Barbara loses her job as a bartender in a Byron Bay bar. What type of unemployment is Barbara experiencing?
- A Hidden unemployment
 - B Cyclical unemployment
 - C Structural unemployment
 - D Frictional unemployment
- ☐
- 4** Which of the following is NOT an economic cost of inequality?
- A Increased costs for the welfare safety net
 - B Lower levels of consumption
 - C Lower levels of overall utility
 - D Increased levels of labour force mobility
- ☐

- 5** Which of the following is NOT a recent trend in the Australian labour market?
- A An increase in part-time employment
 - B A movement away from centralised wage determination
 - C Falling rates of underemployment
 - D Growth in outsourcing and subcontracting
- 6** Consider an economy where growth in nominal wages is faster than inflation and productivity increases combined. Which of the following best describes the effect on a firm?
- A Labour costs decrease
 - B Labour costs remain unchanged
 - C Real wages decrease
 - D Labour costs increase
- 7** Which of the following statements is correct in relation to the distribution of income among different groups in society?
- A A higher proportion of Indigenous Australians are in the highest income group in the economy, and a lower proportion are in the lowest income group
 - B On average, skilled migrants in Australia earn below-average income levels
 - C Over time, migrants experience increasing differences in their wage outcomes compared to Australian-born workers
 - D A lower proportion of Indigenous Australians are in the highest income group in the economy, and a higher proportion are in the lowest income group
- 8** What is meant by the occupational mobility of labour?
- A The ease in which labour can move from one location to another
 - B The ease in which workers can gain an occupation in the transportation industry
 - C The ease in which labour can move from one occupation to another
 - D A statistical measure of the number of times that the average Australian worker changes jobs during their working life
- 9** Paul has recently been released from prison and is looking for a new job. However, he is struggling to become employed given his criminal record. Which of the following best describes this type of unemployment?
- A Seasonal unemployment
 - B Hard-core unemployment
 - C Underemployment
 - D Frictional unemployment
- 10** Which of the following characteristics is most likely to be true for a 23-year-old migrant from a non-English speaking background?
- A Their income will be higher than the income for a 39-year-old in the same position
 - B Their income will be higher than the income for a migrant from an English speaking background
 - C Their income will be reduced because they face higher tax rates than non-migrants
 - D Over time, the gap between their income and the income of Australian-born workers will fall

- 11 Which of the following is NOT true of gender differences in labour market outcomes in Australia?
- A Historically, women have had fewer opportunities to acquire education, skills and qualifications
 - B Many women reduce their paid work hours during periods of their working lives, because they fulfil other roles for which they are not paid
 - C When we take into account differences in skills and qualifications, women earn the same as men in similar jobs
 - D A higher proportion of women work in lower-paid industries
- 12 Which type of unemployment refers to a situation in which individuals are between jobs while they move from one job to another?
- A Frictional unemployment
 - B Underemployment
 - C Structural unemployment
 - D Hidden unemployment
- 13 Which of the following best describes an argument in favour of economic inequality?
- A Inequality gives individuals an incentive to increase their skills and move to jobs in which labour is most needed
 - B Inequality leads to increased expenditure on the welfare safety net
 - C Inequality discourages individuals from undertaking entrepreneurial risk
 - D Inequality is the best way to distribute limited income in an economy
- 14 Which of the following factors in the labour market is not reflected in the unemployment rate?
- A A person only works in summer because they are a specialist fruit picker
 - B Increased use of automation and artificial intelligence in industries is making increasing numbers of job obsolete
 - C A person is currently employed part-time but wishes to work full-time
 - D A person has been out of work for more than 18 months
- 15 Which of the following statements is NOT true of the relationship between the pay of males and females in the Australian economy?
- A Despite affirmative action policies, women are often still paid less than men for doing the same work
 - B There are differences in the working patterns of men and women
 - C Gender pay differences can be mostly explained by taking into account the differences in full-time and part-time employment
 - D Certain industries with higher levels of female employment, such as the childcare sector, have lower average rates of pay

Short Answer Questions

Write your answer in the space provided.

(10 marks)

Question 1

(1 mark)

- (a) Identify the main source of income for Australian households.

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- (b) Describe TWO recent trends in wage outcomes and the distribution of income from work. (2 marks)

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- (c) Explain how inequality in the distribution of income may have some benefits for the economy. (3 marks)

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- (d) Discuss the advantages and disadvantages of the increasing casualisation of the workforce. (4 marks)

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Question 2

(10 marks)

- (a) Explain the criteria for a person to be classified as unemployed. (1 mark)

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- (b) Explain possible reasons for differences in unemployment between states in Australia. (2 marks)

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Population 15 and above	165 million
Employed	85 million
Not employed	80 million
Unemployed and actively seeking work	20 million

- (c) Calculate the rate of unemployment using the data from the above table. (2 marks)

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- (d) Explain why an individual who is experiencing structural unemployment may struggle to find a new job. (2 marks)

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(e) Explain the limitations in the way unemployment is measured.

(3 marks)

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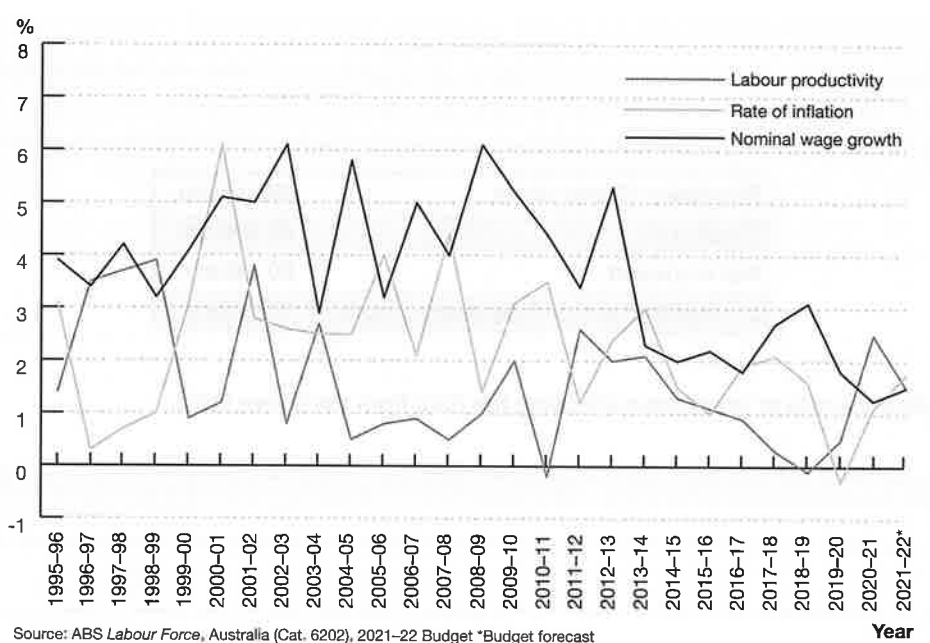
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Question 3

(10 marks)



Australian labour market outcomes

(a) Outline the difference between nominal wages and real wages.

(1 mark)

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(b) Explain how inflation influences the level of nominal wages.

(2 marks)

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(c) Discuss the impact on labour costs of a high level of growth in real wages.

(3 marks)

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(d) Examine TWO reasons for differences in wage outcomes in Australia.

(4 marks)

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er extended response

- 1 Distinguish between wage and non-wage outcomes and analyse the effects of the increasing casualisation of the Australian workforce.
- 2 Compare the economic and social costs and benefits of income inequality and evaluate the argument in favour of some level of inequality within an economy.
- 3 Outline the main types of unemployment and explain how they are linked to recent developments in the Australian labour market.

sr skillsrevision

Activity 1

Use the data in the tables to calculate the following statistics (answer to 2 decimal places).

	(millions)
Population	950
Population 15 years and above	800
Persons employed full-time	350
Persons employed part-time	100
Persons not employed	350
Persons not employed but actively seeking work	50

Labour force

Labour force
participation rate

Unemployment rate

	(millions)
Population	30
Population 15 years and above	25
Persons employed full-time	12
Persons employed part-time	6
Persons not employed	7
Persons not employed but actively seeking work	4

Labour force

Labour force
participation rate

Unemployment rate

	(millions)
Population	165
Population 15 years and above	150
Persons employed full-time	86
Persons employed part-time	23
Persons not employed	41
Persons not employed but actively seeking work	19

Labour force

Labour force
participation rate

Unemployment rate

sr skillsrevision

Activity 2

Each of the following situations describes one type of unemployment. In each example identify the type of unemployment that applies.

	Type of unemployment
Archibald is fired from his job as a rugby league coach because of a downturn in revenues for rugby league matches, due to the increased popularity of rugby union. Archibald tries to retrain as a rugby union coach, but he can never remember the differences in the rules of rugby union compared to rugby league.	
Saskia is fired from her job as a cosmetics salesperson after verbally abusing the customers. Her employers said she is unable to control her temper and so could not possibly work in the retail industry.	
Ameira is currently a part-time chef at a local restaurant. She wants to work more hours and desires to become a full-time chef, but full-time work is not available.	
Marcia is fired from her job as a concierge when the hotel chain she works for collapses due to a global recession. Other hotels are retrenching staff due to reduced tourism numbers, and she is unable to find a job.	
Pradeep is an expert outdoors snow and ice sculptor and is unable to find work during the Australian spring and summer.	
Elena worked as a machine toolist in a fibreglass factory. However, the factory closed down in January 2021 and moved production overseas, and she has been unable to find another job since then.	
Duncan loses his job as an investment banker after a financial crisis results in large job losses in the banking industry.	
Dorian left his job as a customer service officer in a bank to fulfil his lifelong dream of running his own restaurant. First, he needs to get experience in managing a restaurant, and it takes him three months of searching before he can find a suitable job.	
Francia used to be a commercial lawyer before being fired and stripped of her practising certificate for falsifying client records and stealing money. She is unable to find work in an office job because employers do not want to hire someone with her history.	
After looking for work for six months, Xiuying decides to give up finding a job after she was unable to secure a single job interview. She found the process of looking for a job too stressful, and decides instead to grow a large vegetable garden and buy some chickens.	

ca classactivity

Divide the class into two groups and let each group brainstorm either the costs, or benefits, associated with income inequality. Afterwards, bring the class together to debate whether inequality is desirable within an economy. Try to make sure that every person has a point to explain. You can use the following table as a guide.

You might also wish to see what other famous economists have thought about the costs and benefits of income inequality. Some economists you may wish to research include Adam Smith, Karl Marx, John Maynard Keynes, Friedrich Hayek and Thomas Piketty.

Benefits	Costs

11

The Changing Australian Labour Market

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

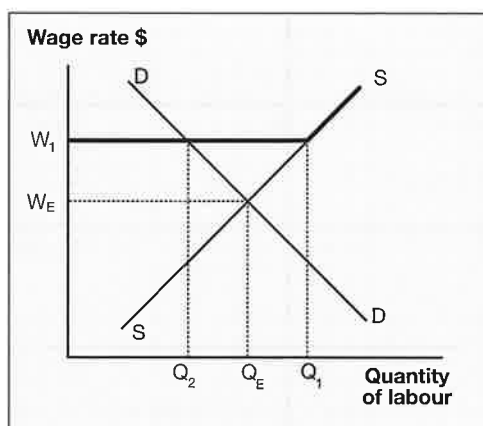
- 1 Which of the following best describes the industrial relations system?
 - A The organisation that sets minimum wages in Australia
 - B The system of laws, institutions and codes of conduct for industries that also regulates relationships between businesses and consumers
 - C The system of laws, institutions and processes that determines wages and conditions, and resolves conflict between employers and employees
 - D The government department that regulates Australian workplaces and sets standards for education and training.

☐

- 2 Which of the following best accounts for the decline in union membership in the Australian workforce?
 - A The movement towards a centralised wage determination system
 - B An increase in female participation across the workforce
 - C Changes in the nature of employment in recent decades
 - D The growth of public-sector employment

☐

- 3 Use the diagram below to answer question 3.



Which of the following reasons best accounts for why the supply curve would change from SS to W_1S ?

- A The Fair Work Commission introduces a new maximum wage at level W_1
- B An employer association successfully lobbies the government to increase immigration levels
- C A union exercises their bargaining power in negotiations with employers
- D Union membership falls in the public sector

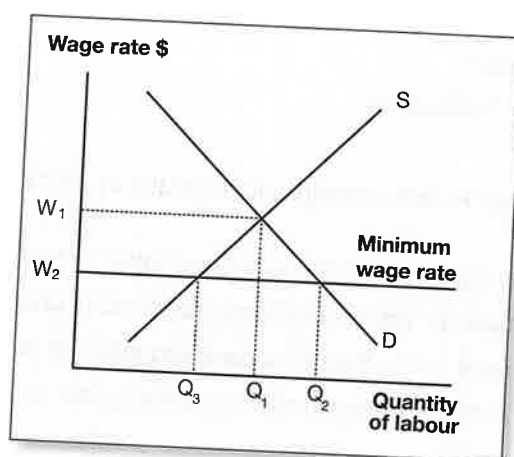


4 Which of the following best describes an enterprise agreement?

- A An agreement that sets out the pay and working conditions specific to an industry
- B An agreement that sets out pay and conditions for a firm's employees, and that complies with the National Employment Standards and the Better Off Overall Test
- C An individual agreement between an employer and employee that is part of the informal industrial relations system
- D An individual agreement between trade union representatives and employees that can offer pay and working conditions below the industry award rate if the employees agree



5 Use the diagram below to answer question 5.



Which of the following reflects the likely outcome if firms pay employees at the rate W_2 ?

- A Supply of labour is greater than demand
- B Demand for labour is greater than supply
- C The market is in equilibrium
- D Demand for labour is less than supply



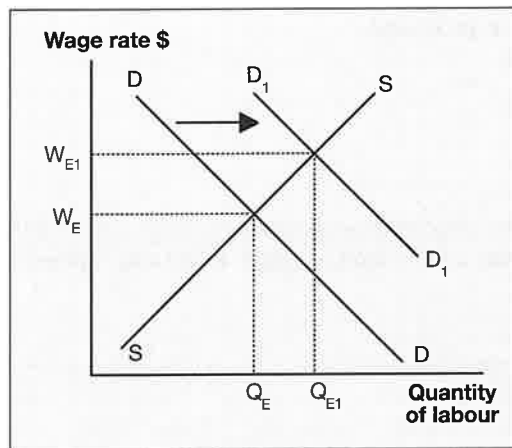
6 Which of the following is best classified as an informal method of wage determination?

- A Enterprise agreements
- B Common law contracts
- C Industrial awards
- D National Minimum Wage



- 7 Which of the following is an argument for why a lower minimum wage might lead to lower unemployment?
- A Wage reductions make hiring workers less expensive, encouraging employers to hire more workers
 - B Lower wages reduce consumer spending and therefore dampen economic growth, encouraging a lower rate of inflation
 - C Labour is a derived demand
 - D Lower wages make unemployment benefits more attractive
- 8 Which of the following best describes the likely effect of a trade union restricting the supply of labour?
- A The wage rate falls and the quantity of labour contracts
 - B The wage rate rises and the quantity of labour contracts
 - C The wage rate rises and the quantity of labour expands
 - D The wage rate falls and the quantity of labour expands
- 9 Which of the following organisations sets the minimum wage in Australia?
- A Australian Industrial Relations Commission
 - B Australian Minimum Wage Tribunal
 - C Fair Work Commission
 - D Australian Fair Pay Commission
- 10 Which of the following employment conditions is protected by the National Employment Standards?
- A The right to receive eight weeks' notice for termination of employment
 - B The right to take leave for voting in national, state and local elections
 - C The right to take leave on the days of cultural and religious festivals
 - D The right to request flexible working arrangements to care for a child
- 11 Which of the following measures is NOT undertaken by an employer association?
- A Assisting employers in negotiating wages with unions and employees
 - B Determining annual adjustments to the National Minimum Wage
 - C Representing employers before the Fair Work Commission
 - D Lobbying the government for changes to laws relating to workplace relations
- 12 Which of the following best describes an industrial award?
- A A set of minimum pay and conditions designed to apply to public sector employees
 - B A set of minimum pay and conditions designed to apply to an individual firm's employees
 - C A set of minimum pay and conditions that applies to workers in an industry
 - D A bonus paid to an employee for highly productive work practices

- 13 Use the diagram below to answer question 13.



Which of the following would result in the demand for labour in an industry shifting from DD to D_1D_1 ?

- A A government providing subsidies to firms within an industry
- B An increase in the minimum wage rate
- C An increase in the bargaining power of employer associations
- D A trade union successfully lobbying for stricter qualifications for trade workers

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- 14 Which of the following is an industry-based union?

- A Australian Medical Association
- B Australian Workers' Union
- C Electrical Trades Union
- D Finance Sector Union

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- 15 Which of the following is most likely to take action if a restaurant owner fails to pay employees their minimum entitlements?

- A A state government
- B The Australian Competition and Consumer Commission
- C The Fair Work Ombudsman
- D The Fair Pay Commission

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Short Answer Questions

Write your answer in the space provided.

Question 1

(10 marks)

- (a) Consider a hypothetical situation with an equilibrium wage rate of \$16 per hour. Identify how the introduction of a minimum wage of \$22 might affect the level of employment.

(1 mark)

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- (b) Discuss the impact of the minimum wage.

(2 marks)

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- (c) Describe ONE type of trade union and give an example of a union in that category.

(2 marks)

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- (d) Distinguish between the role of trade unions and employer associations.

(5 marks)

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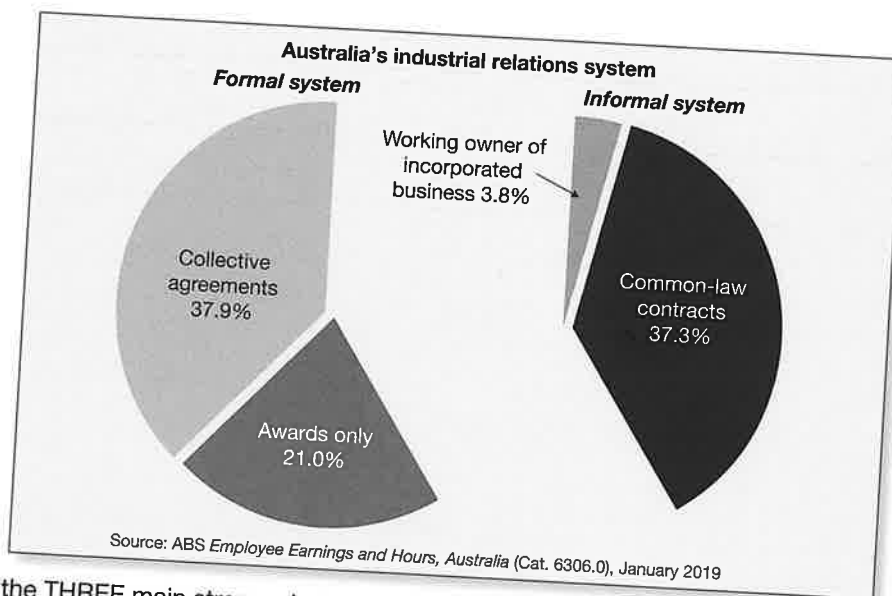
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Question 2

(10 marks)



- (a) Identify the THREE main streams in the labour market that determine the pay conditions of employees under the Fair Work system.

(1 mark)

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- (b) Outline TWO employment conditions guaranteed under the National Employment Standards.

(2 marks)

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- (c) Distinguish between the formal and informal parts of Australia's industrial relations system. (3 marks)

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- (d) Distinguish between industrial awards and individual contracts. (4 marks)

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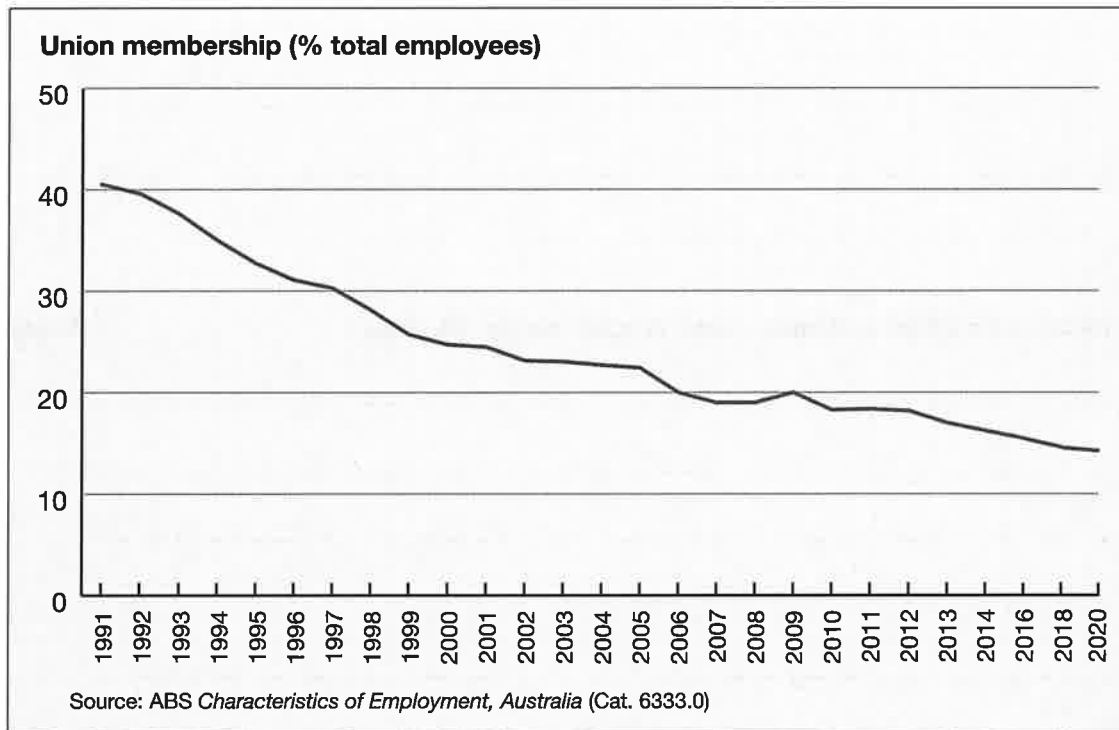
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Question 3

(10 marks)



- (a) Identify the main trend in the graph. (1 mark)

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- (b) Outline TWO reasons for the decline in union membership in Australia. (2 marks)

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- (c) Outline the reasons for conflict between unions and employers in the wage negotiation process. (2 marks)

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- (d)** Explain how trade unions can restrict the supply of labour. (2 marks)

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- (e)** Describe the influence of trade unions on labour market outcomes. (3 marks)

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er extended response

- 1** Describe the role of unions and employer associations in Australia's industrial framework and their impacts on labour market outcomes.
- 2** Examine the role of industrial tribunals in Australia's changing industrial relations system.
- 3** Discuss the different methods of establishing wages and working conditions in Australia.

sr skillsrevision

Activity 1 – Australia's industrial relations system

Over recent decades, Australia's industrial relations system has undergone major change, evolving from a centralised to a decentralised system. The pay and conditions of employees are predominately set by three main streams of wage determination. These methods of setting pay within Australia's industrial relations framework have varying effects on the outcomes reached in Australia's labour markets. Use the following table to examine the difference between awards, enterprise agreements and common law agreements. Based on these differences, discuss the costs and benefits of each type of wage determination.

	Awards	Enterprise agreements	Common law agreements
How are pay and conditions determined?			
To which type of workers does this apply? (individuals, group of employees at a firm, or in an industry)			
What role do unions play?			
How much flexibility do these arrangements allow?			
Role of government institutions			
Role of employer associations			
Recent trends in the proportion of the workforce covered by each type of agreement			
Labour market outcomes			

sr skillsrevision

Activity 2

Although their membership has declined substantially in recent decades, trade unions still play an important role in influencing labour market outcomes in Australia. In this exercise, you are presented with three scenarios relating to a change in the conduct of unions and employer associations in the labour market. Your task is to outline the effects of the change, and illustrate the change on a diagram.

Scenario	Effect of the scenario on the wage rate and quantity of labour	Illustrate the effect on a diagram
Many Australian airline workers are members of the Australian Services Union (ASU). During negotiations over wage increases in a new industrial award, they threaten a rolling airline strike. As a result, the Fair Work Commission agrees to a 7 per cent wage increase over the next two years.		
The Aged Care Industry Association persuades the Australian Government to include trained carers in the Government's skills shortage list for migrant workers, increasing the number of qualified carers migrating to Australia.		
The government decides to stop providing automotive manufacturing companies in Australia with subsidies for manufacturing vehicles domestically.		

sr skillsrevision

Activity 3

There are three main methods of setting wages in Australia's industrial relations framework: industrial awards, enterprise agreements and common law contracts. Your task below is to match each situation to the wage-setting method which is most likely to determine the wage and conditions of that employee.

Scenario	Wage-setting method
Freya is a school student who works on Saturdays at Bunnings Warehouse and is a member of a retail employees' union which recently secured a pay rise that increased her hourly rate of pay.	
Yusuf works as a partner in mergers and acquisitions for a major Australian commercial law firm. He has recently negotiated a new salary package that totals \$245,000, but requires Yusuf to work more than 50 hours per week on average.	
Wang Wei is an overseas student who works 20 hours per week as a cleaner for a business park near Castle Hill in Sydney.	
Emily works as a floor manager for a television production company, and enjoys annual wage increases of 4 per cent recently negotiated by her union.	
Astrid works for a locally-owned restaurant in the evenings as a chef, three nights per week.	
Victor is a farm labourer who works for Workfast, a Cowra-based labour hire company. He has never seen a written document spelling out his pay or conditions, and he has only recently entered the labour market. Victor is currently working on a dairy farm near Bathurst.	



Minimum Wage Case Hearing

Divide the class into three groups, representing unions, employer associations and the Minimum Wage Panel of the Fair Work Commission. The unions and employer associations should be roughly equal in size, and the number of students on the Minimum Wage Panel should be around three or four.

The setting of the minimum wage in Australia has historically been a great battleground between employers and employees. For many years, unions and employer associations would present their submissions to an industrial tribunal similar to the Fair Work Commission, with unions arguing for a larger wage increase and employers arguing for a smaller increase or no increase at all.

The three groups will simulate a wage case. Each group should take note of the following instructions:

Fair Work Commission

You will need to determine the current federal minimum wage. Information will be available at the Fair Work Commission's website. You will need to listen to the arguments of the unions and employer associations before making a decision. However, you should also undertake your own research before the wage case to examine the economic conditions in the economy. Collect information about recent minimum wage decisions and Australia's most recent:

- Economic growth rate
- Average weekly earnings
- Unemployment rate
- Inflation
- Outlook for the economy in the next twelve months.

When you make your decision at the end of the case, you should consider the arguments put forward by the unions and employer associations as well as your own research. Make a decision about whether to grant an increase and, if so, how much. It should be in between what is being asked by the unions and employer associations.

Unions and Employer Associations

You will need to first obtain from the Fair Work Commission the current federal minimum wage. You should then examine your proposed increase to the federal minimum wage. In arriving at the amount you will argue for, consider the role of your organisation in the labour market and the implications of a high or low increase in minimum wages. You should research recent changes in the cost of living and the submissions and publications of unions and employer associations to see what recent opinion has been.

You should prepare arguments to justify your proposed increase to the minimum wage. You may wish to prepare statistical evidence, present statements from workers or business owners, and predict the likely impact on employers and employees.

5

TOPIC

FINANCIAL MARKETS

Topic 5 syllabus outcomes tested

- ◆ **P1** demonstrates understanding of economic terms, concepts and relationships
- P2** explains the economic role of individuals, firms and government in an economy
- P3** describes, explains and evaluates the role and operation of markets
- P5** analyses the relationship between individuals, firms, institutions and government in the Australian economy
- P7** identifies the nature and causes of economic problems and issues for individuals, firms and governments
- P8** applies appropriate terminology, concepts and theories in economic contexts
- P9** selects and organises information from a variety of sources for relevance and reliability
- P10** communicates economic information, ideas and in appropriate forms
- P11** applies mathematical concepts in economic contexts

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Share Market Information

Australian Securities Exchange: www.asx.com.au
Bloomberg: www.bloomberg.com
New York Stock Exchange: www.nyse.com
London Stock Exchange: www.londonstockexchange.com
Japan Exchange Group: www.jpx.co.jp/english/
NASDAQ: www.nasdaq.com

Other Financial Markets

Investing in Bonds: www.investinginbonds.com
Bank of International Settlements: www.bis.org
International Monetary Fund: www.imf.org
Current Exchange Rates: www.xe.com

Financial Market Regulators

Reserve Bank of Australia: www.rba.gov.au
Australian Prudential Regulation Authority: www.apra.gov.au
Australian Securities and Investments Commission: www.asic.gov.au
Note Printing Australia: www.noteprinting.com
Royal Australian Mint: www.ramint.gov.au
US Federal Reserve: www.federalreserve.gov
European Central Bank: www.ecb.europa.eu
Bank of England: www.bankofengland.co.uk

Types of Financial Markets

12

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 Which of the following best describes the steps necessary for a firm to raise funds through the share market?
- A Incorporate as a company, apply for franking credits on dividends, issue shares in the company for sale through an initial public offering
 - B Incorporate as a proprietary limited company, list on the Australian Securities Exchange, issue shares in the company for sale
 - C Incorporate as a company, become a public company, float on a stock exchange, issue shares in the company for sale
 - D Incorporate as a company, list on a secondary financial market, issue shares in the company for sale
- 2 Which of the following financial products is likely to have the highest interest rate?
- A Housing loan
 - B Short-term money market loan
 - C Unsecured loan to a small business
 - D Bond issued by a blue-chip corporation
- 3 Use the following table to answer question 3.

Company name	Number of shares	Share price in 2021	Share price in 2022
OpenDoor Estates Ltd	15,000	\$130.75	\$111.05
Axelrod Services Ltd	3,000,000	\$5.50	\$9.90
West Street Brokers Ltd	630,000	\$49.45	\$55.25
MNP Mining Ltd	1,500,000	\$16.20	\$10.35

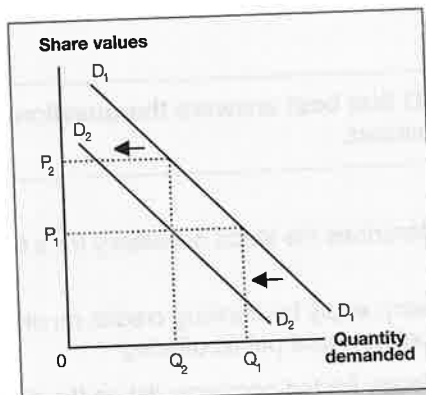
Which of these firms has experienced the largest increase or decrease in market capitalisation from 2021 to 2022?

- A OpenDoor Estates Ltd
- B Axelrod Services Ltd
- C West Street Brokers Ltd
- D MNP Mining Ltd

- 4 Which of the following best describes the role of the Australian Securities and Investments Commission?
- A To hold all term-deposit accounts for all Australian banks
 - B Prudential supervision and regulation of all deposit-taking, insurance, and superannuation institutions
 - C To advise the government on financial stability issues and the legislative and regulatory framework for the financial system
 - D Corporate regulation, consumer protection and oversight of financial service products

☐

- 5 The diagram below represents demand and supply for a company's shares.



Which of the following is likely to cause the movement in demand for shares as shown in the diagram?

- A Lower demand for the firm's product
 - B Lower interest rates on the company's loans
 - C Higher prices received for the firm's product
 - D Lower rates of unemployment in the economy
- 6 Which of the following is most likely if interest rates in an economy increase?
- A Commonwealth bonds become more valuable
 - B Commonwealth bonds become less valuable
 - C The face value of Commonwealth bonds decreases
 - D The face value of Commonwealth bonds increases
- 7 Which of the following is a disadvantage of global financial markets for Australia?
- A Competition in Australian financial markets decreases
 - B Australians have greater access to foreign capital for investment
 - C Disturbances in overseas markets can have a big influence in Australia
 - D Australian savers can invest more money overseas
- 8 Which of the following is a characteristic of a share?
- A The owner of the share receives regular interest payments
 - B It limits the responsibility of its holder to pay back the debts of the company
 - C It allows its holder to participate in the day-to-day management of the company
 - D It does not limit the responsibility of its holder to pay back the debts of the company

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☐

- 9** What is the role of the Reserve Bank of Australia in the economy?
- A Prudential supervision and regulation of all deposit-taking, insurance and superannuation institutions
 - B Corporate regulation, consumer protection and oversight of financial service products
 - C To hold all term-deposit accounts from Australian banks
 - D To conduct monetary policy, regulate the payment system and oversee the stability of the financial system ☐
- 10** Which of the following best explains volatility in share prices in the Australian share market?
- A Many share purchases are speculative
 - B Most Australian companies are highly unstable
 - C Companies listed on the ASX are better suited to debt financing than equity financing
 - D Most investors have little confidence in the Australian economy ☐
- 11** Which of the following best describes an advantage of debt financing over equity financing for a public company?
- A The existing owners of the company get the same returns
 - B Existing owners maintain control over the company
 - C Debt financing is cheaper for companies
 - D Debt financing is not subject to market regulations ☐
- 12** Which of the following best describes the relationship between share market performance and rates of economic growth?
- A Economic growth and changes in share market prices are always positive
 - B The share market is less volatile than economic growth
 - C The share market is independent of rates of economic growth
 - D The share market is more volatile than economic growth ☐
- 13** An investor buys shares during the initial public offering (IPO) of a company. Two years later, the share price has decreased below the IPO price and the investor decides to sell the shares. Which of the following best describes the investor's situation?
- A The investor has made a capital loss
 - B The investor has profited as the share price can never fall below its IPO price
 - C The investor has received a dividend
 - D The investor has made a capital gain ☐
- 14** Which of the following organisations is responsible for issuing Australian currency notes?
- A Commonwealth Treasury
 - B Reserve Bank of Australia
 - C Commonwealth Mint
 - D Australian Securities and Investments Commission ☐

15 Which of the following transactions would occur in a primary financial market?

- A The purchase of a life insurance policy
- B The purchase of a new high-definition TV from an electronics retailer
- C The purchase of shares from another stockbroker in the share market
- D The purchase of newly issued shares



Short Answer Questions

Write your answer in the space provided.

Question 1

(10 marks)

The Government's budget is in deficit in financial year 2021–22. To help finance this deficit, the Government issues a bond of \$2,000,000 that matures in 10 years with annual coupon payments to the bondholder of \$25,000. Using the above information to illustrate your answer, define and calculate the following terms.

(a) Face value

(1 mark)

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(b) Coupon rate

(1 mark)

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(c) The initial buyer of this bond subsequently decides to sell the bond on the bond market to another buyer at a price of \$2,100,000. Explain what this bond price means for the coupon rate and yield of the bond compared to what the coupon rate and yield of the bond were at the time the bond was issued.

(2 marks)

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(d) Outline ONE benefit and ONE cost of an investor's decision to invest their savings in bonds instead of shares issued by a public company.

(2 marks)

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- (e) Discuss how financial markets enable investment and affect consumption in the economy. (4 marks)

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Question 2

(10 marks)

"The financial and economic impact of the COVID-19 pandemic has underlined the importance not only of reinforcing a strong and sound financial system in stable times, but also a resilient one that can respond to and recover from adverse conditions. A robust financial system is able to weather such conditions, and continue to support households, businesses and the broader community throughout. To that end, APRA's primary focus in policy development in the period ahead is heavily weighted towards financial system resilience, and completing key reforms. For all industries, this includes the development of new prudential requirements for recovery and resolution, and enhanced requirements for operational resilience."

– Information Paper – APRA's Policy Priorities, APRA 1 February 2021

- (a) Identify the financial regulator responsible for the legislative and regulatory framework for the financial system.

(1 mark)

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- (b) Outline the different regulatory aims and objectives of the Reserve Bank of Australia (RBA) and the Australian Securities and Investments Commission (ASIC).

(2 marks)

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- (c) Outline the importance of the Australian Treasury to the Government.

(3 marks)

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- (d) Describe any TWO major regulatory changes that have occurred in the Australian financial system.

(4 marks)

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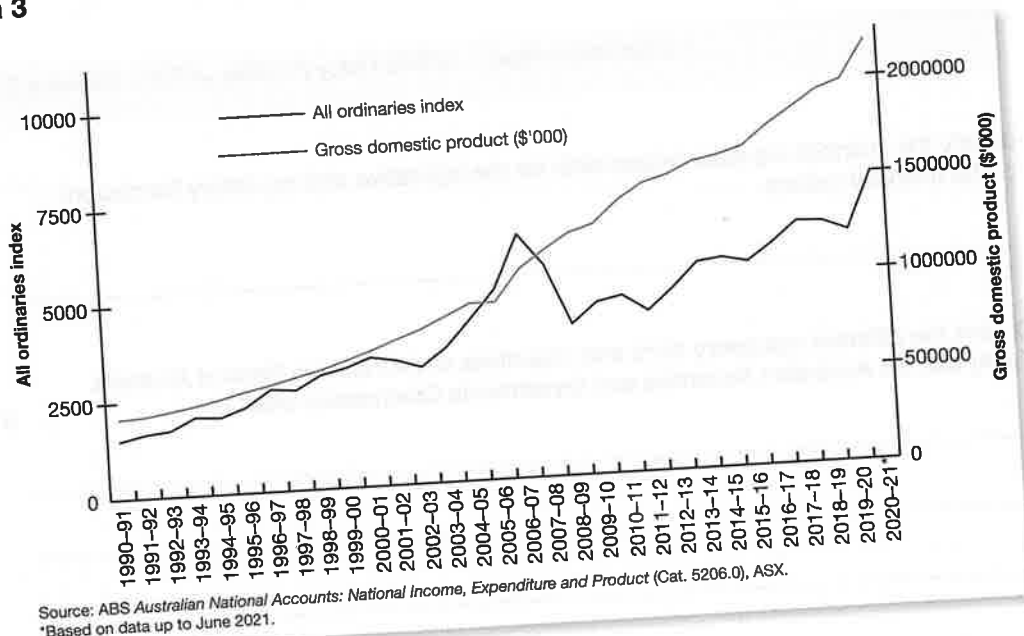
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(10 marks)

Question 3



- (a) Explain the difference between transactions in primary and secondary financial markets. (2 marks)

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- (b) With reference to the graph, explain the relationship between economic activity and the performance of the share market.

(2 marks)

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- (c) Explain the likely effects of a share price fall on both the shareholders and the management of a company.

(2 marks)

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- (d) Analyse the impact of global financial markets on Australian financial markets.

(4 marks)

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er extended response

- 1 Discuss the challenges faced by Australia's regulatory framework due to the greater integration of Australia's financial markets with global financial markets.
- 2 Analyse the role and functions of the main institutions that regulate Australia's financial markets.
- 3 Explain the role and function of the share market and discuss the effect of changes in the share market on the economy.



Activity 1 – Market Regulation Analysis

In this exercise, you will be presented with a scenario. You will need to identify which financial market regulator, that is, RBA, APRA, ASIC or Australian Treasury, would be responsible in maintaining financial stability in that scenario.

Scenario	Financial market regulator
The government seeks advice regarding strategies to counteract the impacts of volatility in global markets	
The economy experiences record high levels of inflation	
An investigative journalist accuses a company CEO of unethical behaviour because they took advantage of insider trading to make record profits on the share market	
The Australian dollar continues to rise, which places Australian exports at a disadvantage and undermines the financial stability of the economy	
Ensuring all deposit-holders can take back their deposit money when they want it	
New finance companies engaging in consumer credit activities must obtain licenses before commencing operations	
A financial institution defaults, leaving many deposit-holders anxious about losing their deposits	



Activity 2 – Economic Terms

Match the terms below to the correct definition. If you want to make this activity more difficult, try to write in the term without looking at the list below.

- ☐ All Ordinaries Index
 ☐ Bond
 ☐ Capital gains
 ☐ Credit
 ☐ Cryptocurrency
 ☐ Dividend
☐ Fintech
 ☐ Financial intermediaries
 ☐ Float
 ☐ Securities
 ☐ Speculation

Definition	Economic term
Loans to individuals, businesses and governments for spending on consumption and investment	
An index measuring changes in the overall value of companies listed on the Australian Securities Exchange	
The part of company profits distributed to the owner of a share	
A profit made from the sale of a financial asset above the price at which it was purchased	
The issuing of shares in a primary financial market	
Forms of financial instruments, including shares and bonds, that provide the holder of that instrument with a claim over real assets or a future income stream	
The purchase and sale of shares in a short period only for the intention of making a short-term profit	
Firms that receive funds from individuals or businesses, and then make loans to other businesses or individuals who can make use of them	
A type of finance company that uses technology to make more efficient lending decisions	
Longer-term securities for which lenders receive fixed payments from the issuer, as well as the principal value of the debt at the date of maturity	
A digital currency in which transactions are secured through a decentralised system	



Activity 3 – Economic Analysis

Outline how each of the scenarios below will affect demand and/or supply in financial markets.

Scenario	Effect on demand and/or supply
The Government introduces a law that requires employers to put a greater share of their employees' incomes into superannuation funds.	
An economic downturn forces the government to budget for a larger deficit than expected.	
Several large mining companies need a large amount of money to fund a new mining project.	
Banks decide to significantly reduce interest rates on credit card products.	
An economic upturn causes households to save a smaller percentage of their disposable income.	
A number of public companies decide to distribute less of their profits to shareholders through dividends and retain a greater share of their profits.	
A large Chinese bank decides to enter the Australian financial market for the first time.	

sr skillsrevision

Activity 4 – Comparative Analysis

Companies can raise new funds for investment and business expansion in two different ways: debt financing (by taking out loans or issuing corporate bonds) or equity financing (by listing on a stock exchange and issuing new shares to other investors). Each method has advantages and disadvantages.

Complete the table by identifying whether each consideration listed below is an advantage or disadvantage of each method of financing for a company.

Financing type	Advantages	Disadvantages
Equity financing		
Debt financing		

Possible advantages and disadvantages of each financing type

- The company owner's claim to the future profits of the business is diluted by other interests
- The company does not have to comply with complicated securities laws and regulation
- The company does not have to repay the financing with interest, freeing up more future funds for investment
- The company completely retains the power to make management decisions
- The company must directly repay the financing with interest, reducing the amount of future funds that can be used for investment
- The company is more vulnerable to changes in the level of interest rates
- The liability and risks of the company are shared with more people
- The company must deal with more public scrutiny
- The company does not have to share profits with other people.

ca classactivity

Financial Regulation

Divide the class into small groups. Each group should familiarise themselves with the role of the financial regulators in Australia (RBA, APRA, ASIC).

For each scenario, decide which regulator would be responsible. Imagine you are staff members of the regulator and write a short letter to the Chair of the regulator explaining the situation and why it is your organisation's area of responsibility.

	Regulator
Eastpac Bank is an authorised deposit-taking institution. It has recently increased lending in order to increase profits. However, in doing so it has reduced the amount of liquid cash reserves that it keeps on hand to meet the demand of depositors who wish to withdraw their funds. A rumour circulates that Eastpac does not have enough liquid reserves to honour its customers' deposits. This causes a mad panic with Eastpac customers rushing to withdraw their money. It does not take long for Eastpac to run down its stock of reserves.	
Sawjig Ltd is a company listed on the Australian Stock Exchange that manufactures jigsaw puzzles. To cut costs, the CEO orders that water-based paint be replaced with lead-based paint that the CEO knows poses a greater risk to children's health. To avoid scrutiny of her actions, the CEO moves overseas and progressively sells her shares in Sawjig Ltd and deposits the proceeds in a secret offshore bank account.	
A company establishes PayOnTheRun, a new mobile payment system that facilitates transactions from smartphones and tablets. It operates at a lower cost than other online and mobile payment systems by spending less on checking the identity and credit history of buyers and sellers. After several months of operation, the payment system is frozen because PayOnTheRun has exhausted its financial reserves and is going bankrupt. PayOnTheRun has been undertaking double transactions on customers' bank accounts (making the same withdrawal twice) and has not honoured its payments to retail chains.	



Superannuation

Divide the class into small research teams. Each research team will be expected to produce a short report about the economic role of the superannuation industry.

Research teams should assign each of the key points listed below to team members. Some of the points require statistics or factual information from sources such as textbooks, the internet or other media. Other points require an explanation of economic reasoning.

Superannuation funds receive the contributions of employees and employers and invest them in financial assets in order to provide retirement income for the contributors. The growth of superannuation once contributions became universal in the 1990s has resulted in a large funds management industry.

Key points of investigation about the superannuation industry:

- What is superannuation and what function does it serve?
- What are some of the most important superannuation funds in the Australian economy? (Identify a minimum of five funds.)
- What are some of the indicators of the significance of the superannuation industry?
- What role does government play in the superannuation industry?
- What factors affect the performance of the superannuation industry?
- How might changes in superannuation affect different parts of the economy?

Below is a list of some websites that may assist in your research task:

Association of Superannuation Funds of Australia: www.superannuation.asn.au

Australian Prudential Regulation Authority: www.apra.gov.au

Australian Securities and Investments Commission: www.asic.gov.au

Industry Super Funds: www.australiansuper.com

Australian Treasury: www.treasury.gov.au

Australian Government financial advice: moneysmart.gov.au

The Money Market

13

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

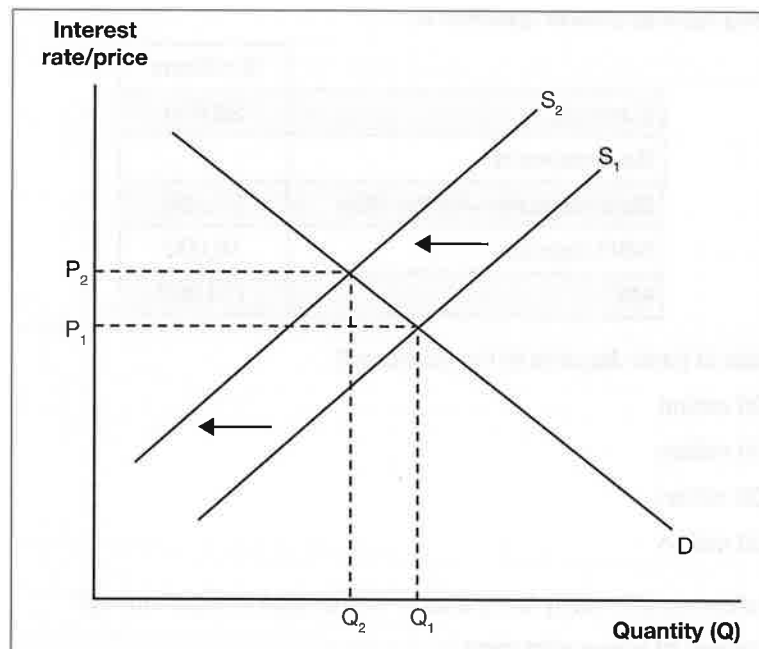
- 1 Which of the following would decrease the demand for funds in financial markets?
 - A A business issuing new shares
 - B A government reducing the size of the budget deficit
 - C A government increasing the size of the budget deficit
 - D A decrease in household savings☐
- 2 Ali decides to purchase \$25,000 of Bitcoin because he believes the price of Bitcoin will triple in the next month. What is Ali's motive for purchasing Bitcoin?
 - A Speculative motive
 - B Transactionary motive
 - C Precautionary motive
 - D Capital motive☐
- 3 How would the Reserve Bank of Australia (RBA) influence the cash rate to decrease consumption and investment, and how does this change monetary policy?
 - A Decrease the cash rate; tighten monetary policy
 - B Decrease the cash rate; loosen monetary policy
 - C Increase the cash rate; loosen monetary policy
 - D Increase the cash rate; tighten monetary policy☐
- 4 What interest rate does the Reserve Bank of Australia (RBA) pay to banks on funds held in exchange settlement accounts?
 - A No interest is paid on exchange settlement account balances
 - B 0.25 percentage points above the cash rate target
 - C An interest rate just below the cash rate target
 - D The same rate as the current cash rate target☐
- 5 Which of the following will occur if there is a decrease in funds in banks' exchange settlement accounts?
 - A An increase in the money supply and a decrease in the cash rate
 - B An increase in the money supply and an increase in the cash rate
 - C A decrease in the money supply and a decrease in the cash rate
 - D A decrease in the money supply and an increase in the cash rate☐

- 6 Use the following table to answer question 6.

	\$ millions
Currency	29,000
Bank deposits	?
Bank deposits with the RBA	21,000
NBFI deposits	16,000
M3	194,000

What is the value of bank deposits in the economy?

- A \$128,000 million
 B \$149,000 million
 C \$157,000 million
 D \$144,000 million
- 7 Which of the following will mostly likely lead to an increase in base money?
 A The discovery of a new gold mine
 B Greater demand for highly liquid assets
 C Banks offering bonus interest rates to attract more deposits
 D An increase in the price of government bonds in secondary markets
- 8 Scarlett has saved \$1000 in cash. A new online bank is offering a one-year term deposit account with an annual interest rate of 5 per cent. What is the opportunity cost to Scarlett of forgoing this offer and deciding to keep her money at home?
 A \$5
 B \$1050
 C \$1005
 D \$50
- 9 Recent data suggests that inflation is expected to rise in the economy. Which of the following best describes how the RBA will respond to this information?
 A RBA directly increases interest rates in the short-term money market
 B RBA sells securities
 C RBA directly decreases interest rates in the short-term money market
 D RBA buys securities
- 10 Which of the following best describes the borrowing rate?
 A The rate of interest offered to customers in return for depositing funds
 B The rate at which the Reserve Bank borrows in the overnight money market
 C The rate of interest charged to customers who seek a loan
 D The difference between the rate offered for lenders and the rate offered for borrowers
- 11 Which of the following will occur if the Reserve Bank buys second-hand Commonwealth Government Securities in the short-term money market?
 A Excess liquidity in the short-term money market causing the cash rate to rise
 B A shortage of liquidity in the short-term money market causing the cash rate to fall
 C Excess liquidity in the short-term money market causing the cash rate to fall
 D A shortage of liquidity in the short-term money market causing the cash rate to rise



- 12** The diagram above depicts the supply and demand for funds in the short-term money market. Which of the following scenarios could cause the change depicted in the above diagram?
- A An increase in interest rates in overseas financial markets
 - B A new online sharetrading business enters the Australian market
 - C The government imposes restrictions on initial public offerings
 - D Investors are willing to pay a higher price for bonds
- ☐
- 13** Which of the following would most likely increase the demand for liquid assets in an economy?
- A The Reserve Bank buying more second-hand Commonwealth Government Securities
 - B An increase in business and household confidence
 - C An increase in the cash rate
 - D Greater volatility in the global economy
- ☐
- 14** In order to raise the level of economic activity, the government decides to intervene in financial markets. Which of the following best describes what the government might do?
- A Increase taxes
 - B Increase lending through the financial sector
 - C Borrow money and increase spending
 - D Reduce expenditure
- ☐
- 15** Which of the following best describes the lending rate?
- A The difference between the rate offered for lenders and the rate offered to borrowers
 - B The rate of interest charged to customers who seek a loan
 - C The rate of interest offered to customers in return for depositing funds
 - D The cost of money
- ☐

Short Answer Questions

Write your answer in the space provided.

Question 1

(10 marks)

	\$ millions
Currency	?
Bank deposits	97,000
Bank deposits with the RBA	115,000
NBFI deposits	63,000
M3	333,000

- (a) Calculate the value of currency in the economy using the data in the table above. (1 mark)

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- (b) Discuss the different measures of money calculated by the Reserve Bank of Australia (RBA). (2 marks)

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- (c) Examine the effect of an increase in the level of global interest rates relative to domestic interest rates on the domestic money supply of an economy. (3 marks)

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- (d)** Explain how the Reserve Bank might decide whether cryptocurrencies such as 'Bitcoin' and 'Dogecoin' can be classified as 'money' in an economic sense. (4 marks)

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Question 2

(10 marks)

- (a) Discuss ONE factor that influences the general level of interest rates within an economy.

(2 marks)

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- (b) Outline TWO reasons why an individual might prefer to hold their surplus funds as money instead of as financial assets.

(2 marks)

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- (c) Explain the likely actions the Reserve Bank of Australia (RBA) would take in the short-term money market if the economy is experiencing high levels of inflation.

(3 marks)

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- (d) Describe how a decrease in the cash rate would affect the general level of economic activity.

(3 marks)

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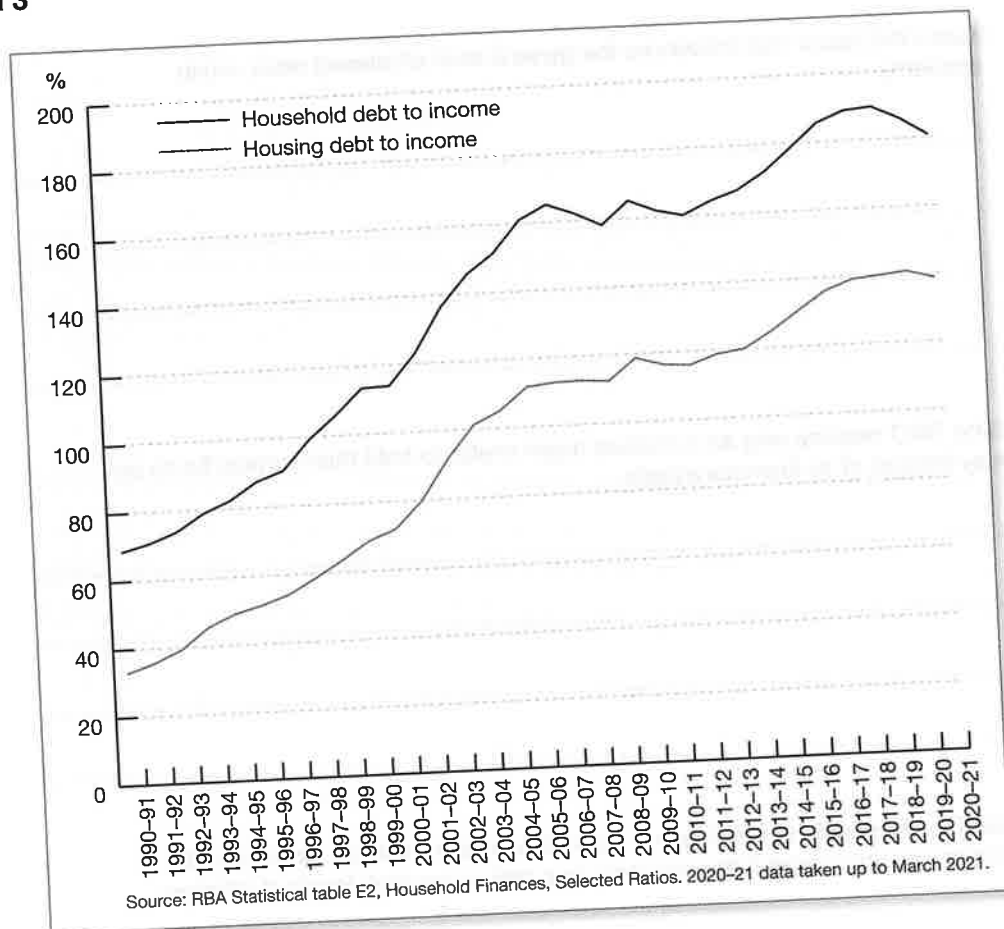
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(10 marks)

Question 3



- (a) Define the term *money supply*.

(1 mark)

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- (b) With reference to the graph, describe recent trends in household debt.

(1 mark)

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- (c) Explain how the level of interest rates can influence the level of household debt.

(2 marks)

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- (d) Outline THREE factors that have led to increased levels of household debt in Australia. (3 marks)

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- (e) Discuss THREE factors affecting the demand for borrowing by a government. (3 marks)

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er extended response

- 1 With reference to individuals, businesses and governments, discuss the reasons for borrowing and the reasons for lending.
- 2 Analyse the actions of the Reserve Bank of Australia in conducting domestic market operations to influence the level of economic activity in an economy.
- 3 Outline the factors affecting the general level of interest rates in an economy by referring to the supply and demand of funds, and the role of the Reserve Bank of Australia.



Activity 1

Complete the boxes below to explain how the Reserve Bank would use monetary policy to increase or reduce the level of economic activity in Australia.

	To INCREASE economic activity	To REDUCE economic activity
Tightening/loosening monetary policy		
Sell/buy securities		
Impact on borrowable funds (exchange settlement accounts)		
Cash rate		
Market interest rates		
Cost of borrowing		
Consumption and investment		

SR skillsrevision

Activity 2

State how each of the scenarios below will affect either the demand for or supply of funds.

Scenario	Demand/supply	Increase/decrease
Rio Tinto decides to open a new mine in Western Australia.		
The household savings ratio decreases by 5 per cent.		
The Commonwealth budget surplus increases from \$10 billion to \$35 billion.		
An Australian furniture manufacturer responds to an upturn in economic activity by increasing investment in new machinery.		
The government increases the income-tax-free threshold, leading to increased consumption.		
Uncertainty in the global economy reduces foreign investment in Australia.		
The government abolishes bank licensing laws, allowing any business to make loans to borrowers.		
Overseas interest rates decrease relative to Australian interest rates.		



Activity 3

Using the data provided in the tables below, calculate the money base, M3, and broad money, currency, and NBFi deposits for the two economies.

Economy A:

Currency	\$15,000
Bank deposits with RBA	\$8000
Bank deposits	\$4000
NBFi deposits	\$11,000
NBFi deposits in banks	\$3500

Calculate:

Money base:

M3:

Broad money:

Economy B:

M3	\$66,000
Bank deposits with RBA	\$12,000
Bank deposits	\$35,000
NBFi deposits	\$19,000
Broad money	\$78,000

Calculate:

Money base:

Currency:

NBFi deposits in banks:

GA classactivity

Financial Innovation

The development of digital currencies such as Bitcoin has created another means of completing electronic transactions. These payment systems are completely decentralised, and can operate without the need for intermediaries such as banks. Currently digital currencies are not widely used for making payments. However, they are an important development in payments and financial systems around the world, and are being carefully monitored and analysed by policymakers.

In small groups, research, write and present a short report about the payments function and potential economic impacts of digital currencies on modern economies.

Some key questions are listed below, and we have provided space for you to take notes.

What are digital currencies?	
How do digital currencies typically function?	
With reference to the four characteristics of money, are digital currencies actually a form of money?	
What are the economic advantages and disadvantages of digital currencies as payment instruments?	
Are there any other implications associated with the use of digital currencies?	
Should the government regulate and/or restrict the use of digital currencies?	

NOTES

Handwritten notes on lined paper.

6

TOPIC

GOVERNMENT AND THE MARKET ECONOMY

Topic 6 syllabus outcomes tested

- P1** demonstrates understanding of economic terms, concepts and relationships
- P2** explains the economic role of individuals, firms and government in an economy
- P3** describes, explains and evaluates the role and operation of markets
- P5** analyses the relationship between individuals, firms, institutions and government in the Australian economy
- P6** explains the role of government in the Australian economy
- P7** identifies the nature and causes of economic problems and issues for individuals, firms and governments
- P8** applies appropriate terminology, concepts and theories in economic contexts
- P9** selects and organises information from a variety of sources for relevance and reliability
- P10** communicates economic information, ideas and issues in appropriate forms
- P11** applies mathematical concepts in economic contexts

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Market Failure

Australia Competition and Consumer Commission: www.accc.gov.au

Australian Council of Social Service: www.acoss.org.au

National Centre for Social and Economic Modelling: www.governanceinstitute.edu.au/centres/national-centre-for-social-and-economic-modelling-natsem

Productivity Commission: www.pc.gov.au

NSW Office of Fair Trading: www.fairtrading.nsw.gov.au

Choice (Australian Consumers' Association): www.choice.com.au

Economic Policy

Commonwealth Budget: www.budget.gov.au

NSW Department of Treasury: www.treasury.nsw.gov.au

Commonwealth Department of Treasury: www.treasury.gov.au

Board of Taxation: www.taxboard.gov.au

Reserve Bank of Australia: www.rba.gov.au

Australian Policy Online: www.apo.org.au

The Limits of Markets

14

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 Which of the following best describes the concept of market failure?
 - A There are infinite wants but limited resources in the economy
 - B The operation of market forces creates unfavourable or inefficient outcomes
 - C Government intervention does not achieve its goals ☐
 - D Markets give priority to social interests over private economic interests

- 2 Which of the following best describes why a government might intervene in a market?
 - A To reduce positive externalities
 - B To improve resource allocation and economic stability
 - C To redistribute income to higher income earners ☐
 - D To reduce prices and competition

- 3 Which of the following are both examples of public goods?
 - A Public parks and the New Year's Eve fireworks display on Sydney Harbour
 - B Australia's armed forces and sporting stadiums
 - C Street lights and airports ☐
 - D Australia Post and public schools

- 4 Which of the following best describes the role of microeconomic policy?
 - A It aims to smooth out fluctuations in the business cycle
 - B It aims to influence the entire economy
 - C It aims to reduce economic growth ☐
 - D It aims to influence individual firms and industries

- 5 Which of the following is an example of a policy a government might use to limit market failure in the distribution of income?
 - A Taxes on economic activity that leads to negative externalities
 - B Providing the age pension to people in retirement
 - C Improving competition in an industry through limiting the abuse of market power ☐
 - D Reducing subsidies for childcare places

- 6** Which of the following is an example of a natural monopoly?
- A Sydney Water
 - B Commonwealth Bank
 - C Dodo Internet
 - D Qantas
- 7** Which of the following would involve a positive externality?
- A A decrease in the price of coal
 - B Research and development spending by companies
 - C A large, open-air 24-hour electronic dance music festival
 - D Fracking operations in the Liverpool Plains
- 8** An investigation finds that a major supermarket chain has been pressuring its fruit and vegetable suppliers not to sell to a rival supermarket chain. Which of the following best describes this type of market failure?
- A Price discrimination
 - B Exclusive dealing
 - C Collusion
 - D Misleading and deceptive conduct
- 9** Which of the following best explains the problem of instability in the business cycle?
- A Government policy fluctuates between fiscal and monetary policy
 - B Rapid economic growth results in increased negative externalities
 - C The economy fluctuates between boom periods of higher growth and bust periods of recession
 - D The economy levitates between domestic and overseas economic activity
- 10** Which of the following is an example of a negative externality?
- A Government subsidies for private health insurance
 - B The loss of biodiversity resulting from land clearing
 - C Free-rider who use public goods without paying for them
 - D Cartel behaviour in cardboard packaging industry
- 11** Which of the following best describes the concept of relative poverty?
- A Individuals not being able to afford necessities such as food and shelter
 - B A higher incidence of poverty among an individual's extended family
 - C Individuals having lower standards of living compared to the average for the economy as a whole
 - D Individuals in a certain country having substantially lower income levels and standards of living compared to other countries

☐
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- 12** If there is volatility in the business cycle and a government is concerned about the risk of recession, which of the following policies is it most likely to implement?
- A Stabilisation policies to stimulate economic growth
 - B Microeconomic policies to increase productivity
 - C Competition policies to stop the abuse of market power ☐
 - D Welfare state policies to improve the distribution of income
- 13** Which of the following best describes the economic concept of free-riding?
- A A person illegally avoiding payment for the use of a travel service
 - B Allowing all commuters to travel for free on public transport on weekends
 - C Requiring producers to pay for the externalities associated with the production process
 - D Not being able to exclude a person who does not pay for a good from enjoying its benefit ☐
- 14** Which of the following describes the likely effect of a tax on pollution from steel mills?
- A Decreased private costs of production, increased price of steel
 - B Decreased private costs of production, increased steel exports
 - C Increased private costs of production, increased price of steel ☐
 - D Increased private costs of production, decreased price of steel
- 15** Which of the following best describes the difference between relative poverty and absolute poverty?
- A Absolute poverty refers to poverty for an individual; relative poverty refers to an economy's overall level of inequality
 - B Relative poverty refers to individuals not being able to afford the basic necessities of life; absolute poverty refers to the living standards of the poor compared to the rest of the population
 - C Relative poverty refers to the living standards of the poor compared to the rest of the population, whilst absolute poverty refers to individuals not being able to afford the basic necessities of life
 - D Absolute poverty is the most common type of poverty in Australia, whereas fewer people are affected by relative poverty ☐

Short Answer Questions

Write your answer in the space provided.

Question 1

(10 marks)

- (a) Define the term *monopolisation*.

(1 mark)

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- (b) Define the term *exclusive dealing*.

(1 mark)

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- (c) Outline ONE method the government could use to reduce the abuse of market power by firms.

(2 marks)

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- (d) Consider a hypothetical economy that is experiencing a very high rate of economic growth and rising inflation. Discuss actions that the government could take in order to stabilise the economy.

(3 marks)

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- (e) Explain how the operation of the free market without government intervention might affect the distribution of income.

(3 marks)

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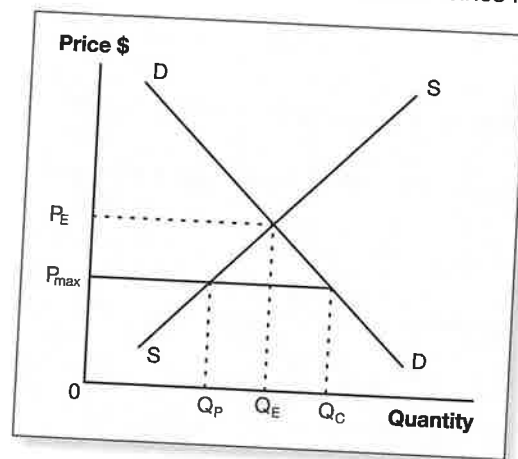
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Question 2

(10 marks)

The following graph represents the market for pharmaceutical medicines in a hypothetical economy.



- (a) From the information in the graph above, identify the price and quantity of the medicines provided by the free market.

(1 mark)

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- (b) Identify the form of government intervention represented by $P_{\max}$.

(1 mark)

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- (c) Outline the impact of the government intervention on the market for the pharmaceutical medicine. (2 marks)

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- (d) Explain why the government might intervene in the market for pharmaceutical medicines. (2 marks)

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- (e) Outline TWO policies the government might introduce to increase the production of merit goods in an economy. (4 marks)

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Question 3 (10 marks)

(a) Explain why governments intervene in the price mechanism. (2 marks)

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(b) Outline why governments provide public goods. (2 marks)

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(c) Explain ONE method available to a government to improve income distribution. (2 marks)

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(d) Distinguish between positive externalities and negative externalities, using at least ONE example of each. (4 marks)

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er extended response

- 1** Examine how the operation of the free market without government intervention can lead to negative externalities.
- 2** Discuss the limitations of a free market economy and outline the effects of market failure on individuals in the Australian economy.
- 3** Evaluate the actions the government could take to stabilise an economy during both a boom and recession.

ir independent research

Visit the website of the Australian Competition and Consumer Commission (ACCC). The ACCC is the government agency whose role is to protect consumers from the abuse of market power by businesses.

Research a recent activity of the ACCC in investigating or prosecuting an instance of anti-competitive conduct by a business. In about one page:

- a** Identify the market and the behaviour that prompted the ACCC to act
- b** Explain the market failure
- c** Outline the actions taken by the ACCC
- d** Discuss the reasons for intervention

SR skillsrevision

Activity 1

This Skills Revision exercise tests your knowledge of government intervention to reduce instability in market outcomes. In the table below, you will be presented with a scenario describing current economic conditions. For each scenario, identify the best policy action the government could take in order to correct market instability. You can choose from macroeconomic policies, such as fiscal or monetary, or microeconomic policies.

Scenario	Best government policy in order to stabilise the economy (i.e. fiscal, monetary, microeconomic)
To reduce the threat to people's lives from a global pandemic, the government requires the temporary closure of thousands of businesses. This causes an economic recession, threatening millions of jobs.	
A boom in economic activity is causing an increase in inflationary pressures in the economy.	
Even though electric vehicles are significantly cheaper to run than petrol and diesel vehicles, a lack of charging points across the country is holding consumers back from buying EVs.	
A government inquiry finds that there is a lack of competition in Australia's financial services sector, which is dominated by four large banks.	
The Reserve Bank is concerned that house prices are overvalued, due to borrowers taking out large mortgages at low interest rates	
The economy is growing at below its long-term average, because of weakening consumer and business confidence.	

SR skillsrevision

Activity 2

For each of the scenarios in the left-hand column, identify the type of market failure that is occurring, and propose a way that the government could respond.

	Type of market failure	How could the government respond?
A new nickel mine releases dangerous chemical runoff into the underground water supply	Negative externality (pollution)	Regulation, e.g. by imposing environmental standards
Two airline companies agree to raise airfare prices on the lucrative Sydney to Melbourne route		
The bankruptcy of a major Australian retail chain results in a fall in consumer confidence and a reduction in consumer spending		
There are no lighthouses to warn boats and ships of dangerous rocks in a coastal area		
An increase in public transport costs results in more people driving to work rather than catching the train		
A sharp fall in the prices Australia is receiving for iron ore exports results in a fall in economic activity and the risk of recession		
Retired people can barely afford the basic necessities of food and shelter		
A major pharmacy retail chain demands its suppliers do not sell specific medicines to its rival competitors		
The pricing managers in Australia's major supermarket chains make a private agreement to increase their prices for nut butters		
A sharp increase in the use of e-cigarettes among younger consumers is linked to increased lung disease and several unexplained deaths		
Private companies cannot afford to provide a national free-to-air television news outlet		

15 The Role of Government in Australia

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 Which of the following is NOT a role of local government in the economy?
 - A Local planning and development decisions
 - B Collection of rubbish and recycling
 - C Provision of local schools and hospitals
 - D Maintenance of community facilities such as local roads, parks and libraries☐
- 2 Which of the following is NOT a source of state government revenue?
 - A The goods and services tax
 - B Customs and excise duties
 - C Income from stamp duty
 - D Taxes on land ownership☐
- 3 The Reserve Bank of Australia increases its cash rate. What might be the objective of this change?
 - A Decrease the level of economic activity and aggregate demand in the economy
 - B Reduce government spending and aggregate demand in the economy
 - C Increase the level of economic activity and aggregate demand in the economy
 - D Decrease the level of economic activity to destabilise the economy☐
- 4 Which of the following is NOT the primary responsibility of state governments?
 - A Transport
 - B Education
 - C Health
 - D Social welfare☐

- 5 Why might a government decide to establish the National Broadband Network as a single wholesaler of fixed broadband services in Australia?
- A Because monopolies are more productive and innovative than other firms
 - B Because decreased levels of competition lead to higher prices and lower productivity
 - C Because the high costs of building broadband infrastructure create a barrier to entry to firms, making a single operator a more efficient option
 - D Because the government wants to extract monopoly profits in order to improve the budget outcome
- 6 Consider a market where there is a high level of competition between firms. Which of the following outcomes is most likely to occur in this market?
- A Higher prices, higher output
 - B Higher prices, lower output
 - C Lower prices, higher output
 - D Lower prices, lower output
- 7 Bamboo straws are a more environmentally friendly substitute for traditional plastic straws. Which of the following government policies will reallocate resources in an economy towards bamboo straw producers?
- A A ban on the use or sale of plastic straws
 - B A tax on the sale of bamboo straws
 - C A subsidy for plastic straw producers
 - D A ban on all straws
- 8 Which of the following best describes the difference between a direct and indirect tax?
- A A direct tax is collected by the Commonwealth Government, while an indirect tax is collected by a state or territory Government
 - B A direct tax is imposed on demand, while an indirect tax is imposed on supply
 - C A direct tax funds specific public goods and services, while an indirect tax funds overall costs of government
 - D A direct tax is paid by the individual or business on which it is levied, while an indirect tax is attached to a good or service and can be passed on to someone else
- 9 How might the Reserve Bank of Australia respond if the economy is in a downturn?
- A It would sell second-hand government securities in the overnight money market to increase interest rates
 - B It would buy second-hand government securities in the overnight money market to lower interest rates
 - C It would sell second-hand government securities in the overnight money market to lower interest rates
 - D It would buy second-hand government securities in the overnight money market to raise interest rates

- 10 If the average rate of taxation paid by an individual is higher than their marginal rate of tax, what type of taxation system is operating?
- A Regressive
 - B Progressive
 - C Proportional
 - D Not enough information to tell



- 11 Question 11 relates to the information in the table below.

Year	Total public sector outlays (% GDP)
Year 1	45
Year 2	44
Year 3	42

Which of the following might best explain the trend in government expenditure represented in the above table?

- A An ageing population
- B An increase in funding for health services following a pandemic
- C A deep recession that results in lower revenue collection
- D Increased means testing of welfare payments such as the age pension and family benefits



- 12 What is the largest component of federal government expenditure?

- A Social welfare
- B Defence
- C Health
- D Education



- 13 Use the table below to answer question 13.

Marginal tax rates for 2021-22	
Income level	Tax rate
\$0 – \$18,200	Nil
\$18,201 – \$45,000	19%
\$45,001 – \$120,000	32.5%
\$120,001 – \$180,000	37%
\$180,001 +	45%

How much tax would be paid by a person in this economy earning \$190,000 per year?

- A \$77,310
- B \$51,667
- C \$60,967
- D \$56,167



- 14 The seller of a faulty electric vehicle refuses to repair, refund or replace it after a consumer purchased it for \$55,000. After an investigation by the ACCC, penalties are imposed on that firm. Which of the following best describes this government role in the economy?
- A Environmental protection
 - B Macroeconomic policy
 - C Competition policy
 - D Consumer protection
- 15 A hypothetical government wants to give a higher priority to environmental policy goals. Which of the following options might help achieve this aim?
- A Reduce research and development funding for alternative energy sources
 - B Provide research grants to firms that invest in renewable energy technologies
 - C Provide more permits for coal industry exploration
 - D Reduce taxes for firms operating within carbon-intensive industries

Short Answer Questions

Write your answer in the space provided.

"An increase in inequality is almost certain. Yet the extent of this increase, and the speed with which it is reduced and greater equality achieved, is the choice of governments across the world ...if governments choose to act to reduce inequality by two percentage points annually, we could return to pre-crisis levels of poverty within three years."

– Oxfam (January 2021), *The Inequality Virus: Global Report*

Question 1 (10 marks)

- (a) Explain how the Constitution influences how the Australian economy functions. (1 mark)

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- (b) Outline ONE way the government can intervene in an economy to redistribute income. (2 marks)

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- (c) Consider a scenario where the Australian Government implements a new “COVID Recovery Levy” to cover the cost of the emergency policies implemented during the pandemic. Under this new policy, every Australian earning above \$10,000 per year must contribute \$2000 per year until 2030. Identify what type of tax this is, and explain the impact of this tax on the distribution of income in the economy. (3 marks)

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- (d) Discuss TWO major environmental policy concerns. (4 marks)

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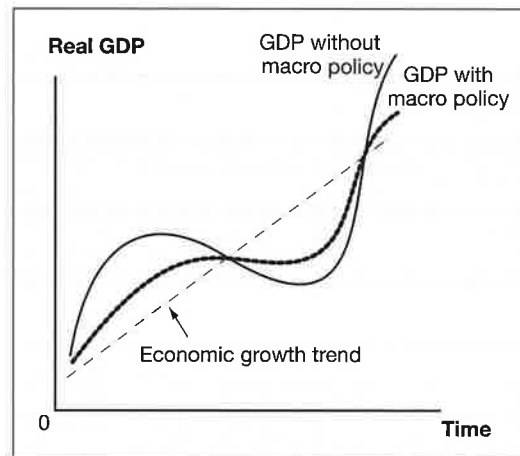
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Question 2**(10 marks)**

The following graph represents the impact of macroeconomic policies.



“Financial systems in Australia and internationally have been resilient to the enormous COVID-19 health and economic shock. This has enabled them to cushion the economic impact of the pandemic, supporting the recovery through new lending and measures such as loan repayment deferrals ... Substantial policy support from governments, central banks and other regulators has also underpinned the resilience of the financial system over the past year. Fiscal support has sustained economic activity and improved the finances of borrowers, and so loan performance, and central banks have eased monetary policy and maintained market liquidity in key debt markets.”

– *Financial Stability Review, Reserve Bank of Australia (RBA), April 2021*

- (a) With reference to the graph showing economic growth over time, outline the role of macroeconomic policy in influencing the business cycle. (2 marks)

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- (b) Explain how monetary policy would respond to a period of very strong economic growth. (4 marks)

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- (c) Outline the relationship between the Commonwealth and state governments in managing the Australian economy. (4 marks)

Question 3 (10 marks)

“The purpose of merger control is to ensure that relevant transactions are assessed, and anticompetitive mergers are prevented so that consumers benefit from the lower prices, higher quality products and services, greater choice and innovation that effective competition brings. Competition increases consumer trust in markets and drives the functioning of market economies and economic prosperity.”

– Joint statement on merger control enforcement, Competition and Markets Authority (CMA), Australian Competition and Consumer Commission (ACCC) and Bundeskartellamt, 20 April 2021

- (a) Outline ONE reason in favour of a government implementing competition policy. (2 marks)

- (b)** Explain the importance of government business enterprises in the Australian economy. (4 marks)

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- (c)** Describe TWO trends in the public sector's role in the Australian economy. (4 marks)

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er extended response

- 1** Outline the economic functions of the three levels of government in Australia.
- 2** Describe the policies available to a government to stabilise the economy and the impacts of stabilisation policies on the level of economy activity.
- 3** Examine the policies available to the government to reallocate resources in the economy and their impacts on resource allocation.

sr skillsrevision

Activity 1

Use each of the following tax tables for a hypothetical economy to answer the questions.

Taxable income	Tax
\$0–\$20,000	Nil
\$20,001–\$50,000	10c for every dollar above \$20,000
\$50,001–\$100,000	\$3000 plus 15c for every dollar above \$50,000
\$100,001 and over	\$10,500 plus 20c for every dollar above \$100,000

Identify the tax-free threshold

For an income of \$55,000, calculate:

Marginal rate of tax

Total tax paid

Average rate of tax

For an income of \$145,000, calculate:

Marginal rate of tax

Total tax paid

Average rate of tax

Taxable income	Marginal rate of tax
\$0–\$15,000	Nil
\$15,001–\$70,000	20%
\$70,001–\$111,000	40%
\$111,001 and over	50%

Identify the tax-free threshold

For an income of \$25,000, calculate:

Marginal rate of tax

Total tax paid

Average rate of tax

For an income of \$120,000, calculate:

Marginal rate of tax

Total tax paid

Average rate of tax

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skillsrevision

Activity 2

Classify the following taxation systems as regressive, progressive or proportional

(a)

Income	Marginal rate of tax
\$0 – \$10,000	0%
\$10,001 – \$40,000	20%
\$40,001 – \$80,000	25%
\$80,001 and over	35%

(b)

The government introduces a tax on imported motor vehicles equal to 15% of the purchase price. This tax applies to all consumers.

(c)

Income	Marginal rate of tax
\$120,000 and over	10%
\$119,999 – \$90,000	23%
\$89,999 – \$30,000	25%
Below \$30,000	30%

(d)

	Vito	Sonny	Fredo
Taxable income	\$240,000	\$120,000	\$60,000
Tax paid	\$60,000	\$40,000	\$30,000

(e)

Tax return for Jungkook	
Marginal rate of tax payable	Average rate of tax payable
45%	35%

(f)

Mining companies are required to pay 35 cents in each dollar of profit in company tax. No tax-free threshold exists.

(g)

Income quartile	Lowest 25%	Second 25%	Third 25%	Highest 25%
Private income	5	10	30	55
Taxes	4	9	28	59
Benefits	45	25	20	10
Final income	15	15	25	45

Private income, taxes, benefits and final income, by quartile.



Prepare a report on a recent policy change involving competition policy, consumer protection or environmental protection. Your report should do the following:

1. Describe the recent policy issue and why this issue has arisen.
2. Explain the aims of a policy change implemented by the government or a government agency.
3. Analyse how policy achieved these aims.
4. Describe the benefits and losses from the policy change, and analyse who received these benefits and losses.
5. Discuss any further action that could be taken and by whom.

OR

Prepare a report on the sale of ONE of the following former government business enterprises (GBEs):

- Medibank Private
- Commonwealth Bank
- Telstra
- Qantas
- TAB
- Sydney Airport

Your report should do the following:

1. Define *government business enterprise* and explain how it differs from private businesses.
2. Briefly outline the history of the chosen GBE and its operations.
3. Identify the year when the GBE was privatised (or the period over which it was privatised).
4. Discuss the perspectives of stakeholders who were for or against the sale.
5. Describe how the business operates today, and how this compares to prior to the sale.

Government in Action

16

Multiple Choice

Select the alternative A, B, C or D that best answers the question.
Write your answer in the box provided.

- 1 Which of the following best describes fiscal policy?
- A A microeconomic policy that involves coordination between Commonwealth and state or territory governments to achieve their economic objectives
 - B A microeconomic policy that involves the use of government borrowing and debt to influence the investment behaviour of individuals and firms
 - C A macroeconomic policy that involves the use of taxation and spending powers through the Budget in order to achieve economic objectives ☐
 - D A macroeconomic policy that involves the use of interest rates and management of the currency to achieve economic objectives
- 2 Which of the following scenarios demonstrates an expansionary fiscal policy stance?
- A The budget surplus increases from Year 1 to Year 2
 - B The budget deficit decreases from Year 1 to Year 2
 - C The budget deficit remains the same from Year 1 to Year 2 ☐
 - D The budget surplus decreases from Year 1 to Year 2
- 3 Which of the following contributes most to Commonwealth Government revenue?
- A Goods and services tax
 - B Income tax on individuals
 - C Excise and customs duty ☐
 - D Income tax on superannuation
- 4 If the government were to increase the highest marginal rate of tax from 45 per cent to 50 per cent, how might this action best be described?
- A A contractionary budget stance
 - B A discretionary change to fiscal policy
 - C An expansionary budget stance ☐
 - D A non-discretionary change to fiscal policy

Use the information below based on a hypothetical economy to answer questions 5 and 6.

	Expenditure (\$bn)	Revenue (\$bn)
2022	630	490
2023	550	510

- 5 What is the budget outcome in 2022?
- A Budget deficit of \$140 billion
 - B Budget surplus of \$80 billion
 - C Budget deficit of \$80 billion
 - D Budget surplus of \$140 billion
- 6 Which of the following best describes the fiscal policy stance in Year 2?
- A Expansionary
 - B Contractionary
 - C Neutral
 - D Surplus
- 7 For which of the following reasons might the government argue in favor of adopting a contractionary fiscal policy stance?
- A The economy is experiencing inflationary pressures because of its level of economic growth
 - B The economy is experiencing a shortage of skilled labour
 - C Consumer confidence has fallen sharply
 - D The government's budget has a substantial surplus of funds
- 8 Which of the following best describes the influence of financial markets on government policies related to economic management?
- A Government policies attempt to increase the value of the Australian dollar through intervention in financial markets
 - B Financial markets generally support government policies that increase intervention in the economy
 - C Governments attempt to maintain the confidence of financial markets by implementing policies generally supported by financial markets
 - D Government policy is indifferent to developments in financial markets
- 9 Which of the following would be most likely to lobby the Federal Government to reduce taxation on companies in order to increase investment?
- A Welfare agencies
 - B The media
 - C Environmental organisations
 - D Peak business groups

- 10 Which of the following reflects the operation of automatic stabilisers in times of high economic growth?
- A Increasing government expenditure on unemployment benefits
 - B Changes to the rate of personal income tax applied to low income households
 - C Increased income levels and therefore decreased government revenue
 - D Decreased government spending on transfer payments
- ☐

- 11 What is meant by a balanced budget?
- A Government revenue and spending levels remain the same from the previous year
 - B The amount of government expenditure equals the amount of revenue earned
 - C The budget is not biased towards any particular industry, state or interest group
 - D The benefits of budget policies are spread evenly between different parts of the Australian economy
- ☐

- 12 If a government's planned revenue exceeds planned expenditure, how might this be reflected in the budget outcome?
- A It depends on the level of economic activity
 - B It depends on the stance of monetary policy
 - C A budget surplus
 - D A budget deficit
- ☐

- 13 Which of the following best describes how the political process influences economic policy in Australia?
- A Economics and politics are unaffected by each other, since policy decisions are made by the Treasury Secretary, not the Treasurer
 - B The government usually has a majority in the Senate and can usually pass its economic policy legislation
 - C The government usually does not have a majority in the Senate and must often amend policies to secure the support of other political parties to pass its legislation
 - D The government usually does not have a majority in the parliament so it asks state governments to implement policies on its behalf
- ☐

- 14 Which of the following best describes international influences on economic policy in Australia?
- A The government is not concerned with international developments because Australia is a closed, isolated economy
 - B International influences have a significant influence on government policy because Australia is integrated into the global economy, and maintaining international confidence is important to economic stability
 - C International influences have a significant influence on government policy because the annual Commonwealth Budget must be approved by the International Monetary Fund
 - D International influences have minimal influence on government policy because Australia has a floating exchange rate
- ☐

- 15 Imagine a hypothetical economy that enters a recession, resulting in the closure of firms and a large increase in the level of unemployment. Which of the following is most likely to occur?
- A A budget surplus
 - B Fiscal policy will be made more contractionary
 - C Fiscal policy will be made more aggressive
 - D Fiscal policy will be made more expansionary



Short Answer Questions

Write your answer in the space provided.

Question 1

(10 marks)

"The stronger-than-expected economic recovery has improved the budget position. The underlying cash balance is now expected to be a deficit of \$161.0 billion in 2020-21, compared with \$213.7 billion at the 2020-21 Budget and \$106.6 billion in 2021-22. The budget position is expected to improve over the forward estimates to an expected deficit of \$57.0 billion in 2024-25. Net debt is now expected to peak as a share of GDP at 40.9 per cent, compared with the 43.8 per cent peak projected at the 2020-21 Budget."

– Commonwealth of Australia, Budget Strategy and Outlook, Budget Paper No.1, 2021-22

- (a) Distinguish between fiscal policy and the budget.

(1 mark)

- (b) Outline the Australian government's 2021-22 budget outcome and fiscal policy stance set out in the statement above.

(2 marks)

- (c) Explain the concept of automatic stabilisers and how they influence budget outcomes and the economy during an increase in economic activity. (3 marks)

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- (d) Discuss the role of ONE source of Commonwealth Government revenue and ONE item of expenditure in the overall Commonwealth Budget. (4 marks)

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(10 marks)

Question 2

The following questions refer to the information in the table below. The information relates to a hypothetical economy.

Revenue	\$bn	Expenditure	\$bn
Income tax	235	Social security and welfare	180
Excise duty	17	Health	85
Customs duty	23	Education	60
Other taxes	48	Defence	30
Non-tax revenue	12	Other	50
Total	335	Total	405

- (a) Identify the size of the budget outcome in this hypothetical economy. (1 mark)

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- (b) Identify which expenditure item comprises the largest share of expenditure, and which revenue item comprises the largest share of revenue. (2 marks)

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- (c) In the previous year, the government had a budget deficit of \$90 billion. Explain what is the current stance of fiscal policy, and give ONE reason why a government might adopt this stance. (3 marks)

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- (d) Discuss the limitations imposed by political parties on the process of making government policy. (4 marks)

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Question 3**(10 marks)**

“Improving the economy’s competitiveness and enabling business to lift productivity and drive economic growth will require removing impediments and increasing the incentives for individuals and businesses to engage in economic activity and be innovative ...

ACCI’s submission to the 2021-22 Budget provides actions and policies for Government to consider [that] will enable business to deliver the productivity gains that will help lift the economy’s growth and real wages. Our recommendations aim to:

- Remove, or at least reduce, distortions and barriers that impose unnecessary regulatory and tax burdens on business activity.
- Promote efficient public and private sector investment.
- Enable business to benefit from innovation, including new technology and better business practices.
- Provide the necessary skills along with a more mobile and flexible work force to maximise participation in the economy.”

*– Australian Chamber of Commerce and Industry (January 2021),
Pre-Budget Submission 2021–22*

- (a)** Identify TWO business groups that aim to influence government economic policy in Australia.

(2 marks)

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- (b)** Analyse the influence of businesses on economic policy in Australia, with reference to TWO recent examples of policy decisions that business groups have sought to influence. **(4 marks)**

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- (c) Analyse how different interest groups influence government policy in Australia. (4 marks)

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er extended response

- 1 Outline the major sources of revenue and expenditure for governments. Analyse the likely impact of an economic recession (decrease in economic activity) on the Federal Budget.
- 2 With reference to the most recent Commonwealth Budget, identify the impact of fiscal policy on the business cycle, income inequality and the environment in the Australian economy.
- 3 Describe the process of how governments make economic policy, including the role of parliament, political parties, and international factors, with reference to a recent policy change.



Activity 1

Identify the Budget outcome and stance in each of the years below from Year 2 onwards.

Year	Revenue (\$bn)	Expenditure (\$bn)	Outcome (\$bn)	Outcome	Stance
1	400	432	-32	Deficit	N / A
2	424	440			Contractionary
3	448	440			
4	444	448			
5	448	452			
6	452	452			
7	462	480			
8	480	476			
9	484	480			
10	496	490			
11	500	492			
12	490	510			
13	488	518			
14	508	518			
15	526	524			
16	530	530			



Activity 2

The Commonwealth Budget contains a number of policies that respond to changes in the business cycle to smooth out that cycle. Use the table below to illustrate the effects of automatic stabilisers on different aspects of the Budget when an economy is either in an economic upturn or downturn.

Effect of automatic stabilisers	Economic upturn	Economic downturn
Effect on a budget outcome	Lower deficit or higher surplus	Higher deficit or lower surplus
Effect on the total cost of unemployment benefits		
Effect on revenue from progressive income tax		
Effect on the overall level of government expenditure		
Effect on leakages and injections in the circular flow of income		
Effect on the overall level of government taxation revenue		



Research activity

Question 1: The Commonwealth Budget

Go to www.budget.gov.au to find information relating to the most recent Commonwealth Government budget. Identify the following information for the latest Budget:

	\$ billion
Total revenue	
Total income tax revenue	
Total excise and customs duties	
Total expenditure	
Total expenditure on health	
Total expenditure of social security and welfare	

What is the budget outcome?

What is the current stance of fiscal policy? (Remember that the fiscal stance is determined by this year's budget outcome compared to last year's budget outcome.)

Question 2: Influences on government policy

When the Government announces the new policies detailed in the Budget, those announcements often attract media coverage and commentary. Sometimes those new policies are announced on the night of the Budget, and other times they are announced before the Budget but the financial details relating to the policies are set out in the Budget.

In the table below:

- Identify three new policies announced in the most recent Commonwealth Government budget.
- Describe each of the new policies announced, including what will change and who is likely to be affected by the policy.
- Identify two relevant interest groups that have commented on the policy, such as business groups, unions, environmental groups, or welfare agencies.
- Describe the views of the interest groups on the new policy. Do they support it? Why or why not?

New policy	Policy description	Relevant interest groups	Response of interest groups to the policy

NOTES

Preliminary Practice Exam

Name:

General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black or blue pen
- Board-approved calculators may be used

Section I *Pages 2–7*

Total marks (20)

- Attempt Questions 1–20
- Allow about 35 minutes for this section

Section II *Pages 8–13*

Total marks (40)

- Attempt Questions 21–24
- Allow about 1 hour and 15 minutes for this section

Section III *Pages 14–15*

Total marks (20)

- Attempt Question 25 or Question 26
- Allow about 35 minutes for this section

Section IV *Page 16*

Total marks (20)

- Attempt Question 27 or Question 28
- Allow about 35 minutes for this section

Answer sheet

PRACTICE PRELIMINARY EXAMINATION

Section I

Total marks (20)

Attempt Questions 1–20

Allow about 35 minutes for this section

Use the multiple-choice answer sheet on page 17 of this section.

Select the alternative A, B, C or D that best answers the question. Fill in the response oval completely.

Sample $2 + 4 =$ (A) 2 (B) 6 (C) 8 (D) 9

If you think you have made a mistake, put a cross through the incorrect answer and fill in the new answer.

(A) ○ (B) ● (C) ~~○~~ (D) ○

If you change your mind and have crossed out what you consider to be the correct answer, then indicate this by writing the word “correct” and drawing an arrow as follows:

(A) ○ (B) ~~○~~ ^{correct} (C) ○ (D) ○

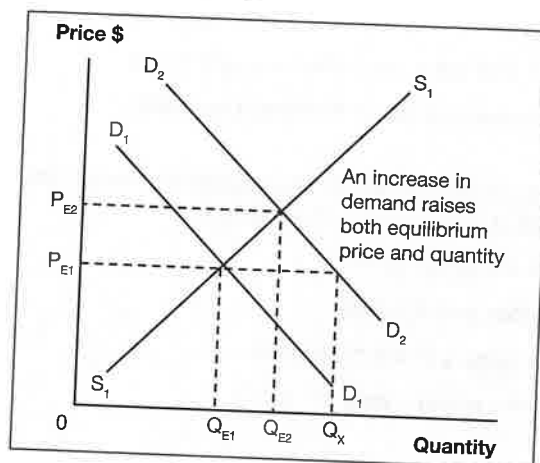
- 1 The following table is the income taxation schedule in Australia for 2021-22. Use the rates to answer question 1.

Taxable income (\$)	Marginal tax rate (%)
0–18,200	Nil
18,201–45,000	19%
45,001–120,000	32.5%
120,001–180,000	37%
180,000+	45%

In financial year 2021–22, Erica earns \$145,000. What is Erica's tax payable?

- A \$33,624
- B \$53,650
- C \$42,775
- D \$38,716

- 2 Question 2 relates to the following diagram.



Which of the following situations could have caused the change in the diagram above?

- A A fall in the price of garden furniture
- B The demand for unleaded fuel after an increase in the fuel tax
- C The demand for tennis balls during the Australian Tennis Championships
- D The demand for sweaters during summer

- 3 The following table shows information for the hypothetical economy of Tanzi. Use the table to answer question 3.

Tanzi economy	
Year	Budget outcome (\$bn)
1	-20
2	30
3	10

Which of the following best describes the budget outcome and fiscal stance in Year 3?

- A Budget surplus and expansionary fiscal policy
- B Budget deficit and expansionary fiscal policy
- C Budget surplus and contractionary fiscal policy
- D Budget deficit and neutral fiscal policy

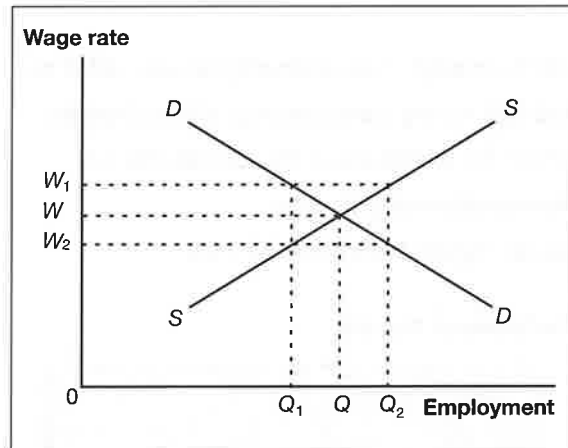
- 4 The table below shows information on population and the labour force for the hypothetical economy of Astrolabe.

Total population	107,000,000
Employed persons	63,500,000
Working-age population	91,000,000
Unemployed persons	21,500,000

What is the unemployment rate in the Astrolabe economy?

- A 33.9%
- B 25.3%
- C 23.6%
- D 20.1%
- 5 Which of the following best describes the likely impacts of higher Australian economic activity and business profits on the share market?
- A Lower share prices and increased dividend payments
- B Higher share prices and decreased dividend payments
- C Lower share prices and decreased dividend payments
- D Higher share prices and increased dividend payments
- 6 If a government intervenes in the market for dairy milk by setting a minimum price that is above the equilibrium price, which of the following is likely to occur?
- A A shortage of milk available for sale
- B A decrease in the demand for milk
- C An increase in the price and supply of milk
- D A decrease in the price and supply of milk
- 7 Consider a situation where the Australian economy moved into a recession. Which of the following best describes the likely impact on the Australian Government's budget outcome?
- A The budget will move into surplus due to decreased government spending and increased taxation revenue
- B The budget will move into deficit due to increased government spending and decreased taxation revenue
- C The budget will move into deficit due to decreased government spending and increased taxation revenue
- D The budget will move into deficit due to increased government spending and increased taxation revenue
- 8 Which of the following terms refers to a firm using its dominant market position to eliminate existing competition?
- A Monopolisation
- B Price discrimination
- C Exclusive dealing
- D Collusion

- 9 Which of the following best describes monetary policy?
- A The use of government revenue and expenditure to influence total spending in the economy
 - B Policies aimed at influencing the cost and availability of money
 - C Specific Reserve Bank policies aimed to achieve stability of the exchange rate
 - D Rules governing consumer credit products
- 10 Question 10 relates to the following diagram.



- Which of the following best describes what is happening in the economy shown in the diagram?
- A At a wage rate of W_2 there is a shortage of workers
 - B At a wage rate of W_1 the demand for workers is equal to supply
 - C At a wage rate of W there is a surplus of workers
 - D At a wage rate of W_1 there is market equilibrium
- 11 Which of the following best describes how the Reserve Bank of Australia (RBA) influences interest rates?
- A Printing more currency for use in the economy
 - B Buying and selling second-hand securities to achieve the cash rate target
 - C Reducing expenditure and increasing taxation rates
 - D Issuing new Commonwealth Government Securities

- 12 Use the following tables to answer question 12.

Tractors (million units)	30	20	10	0
Roof tiles (million units)	0	100	200	300

Economy's production possibility frontier for 2022

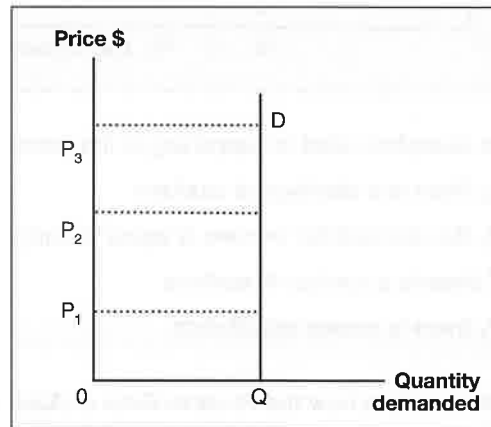
Tractors (million units)	60	40	20	0
Roof tiles (million units)	0	200	400	800

Economy's production possibility frontier for 2023

What could have caused the change in the economy between 2022 and 2023?

- A Increased demand for housing construction and infrastructure
- B Lower unemployment for employees in the roof tile industry
- C Reduced costs for manufacturing tractors
- D Policies to encourage higher levels of immigration

- 13 Question 13 relates to the following diagram.



Which of the following best explains the above diagram?

- A Perfectly infinite demand
 - B Perfectly inelastic demand
 - C Perfectly inelastic supply
 - D Perfectly elastic supply
- 14 Which of the following has the greatest influence on a firm's demand for labour?
- A The level of economic growth in the economy
 - B The firm's human resources policy
 - C The firm's level of output
 - D Minimum wage decisions made by the Fair Work Commission
- 15 What is privatisation?
- A Buying private assets for the operation by the government
 - B A method of regulating private enterprise in an economy
 - C A joint venture between the government and private enterprises
 - D Selling government enterprises to private shareholders

- 16 Which of the following best accounts for the decline in union membership in Australia over recent decades?
- A The increase in public-sector employment
 - B The increase in women in full-time employment
 - C The move towards a more centralised system of setting wages and conditions
 - D The increase in casual, part-time and temporary employment

- 17 The following table illustrates the share price and dividend payout per year from 2021 to 2023 for a company, LiquidGold Ltd. Anouk owns 109,000 shares in LiquidGold Ltd. Use the table to answer questions 17 and 18.

Year	Share price	Dividend
2021	\$1.85	\$0.27
2022	\$2.65	\$0.73
2023	\$4.30	\$0.49

What is Anouk's capital gain from 2021 to 2023 following the change in share price for LiquidGold Ltd?

- A \$670,350
 - B \$959,000
 - C \$267,050
 - D \$179,850
- 18 What is the total dividend payout Anouk receives for 2022?
- A \$194,946.50
 - B \$29,430
 - C \$53,410
 - D \$79,570
- 19 Use the table below to answer question 19.

Savings	\$53 billion
Investment	\$63 billion
Government budget deficit	\$17 billion
Exports	\$24 billion
Imports	?

If the economy is in equilibrium, what is the value of imports?

- A \$51 billion
- B \$17 billion
- C \$123 billion
- D \$27 billion

- 20 Question 20 relates to the information in the table, which shows the number of employees and laptops that DesignX, a graphic design company, requires to produce different amounts of design products.

Employees	Laptops	Design products
2	2	2
4	4	5
6	6	8
8	8	9
10	10	10

Between which levels of output does DesignX begin to experience diseconomies of scale?

- A From 6 to 8 employees
- B From 6 to 8 laptops
- C From 8 to 9 design products
- D From 9 to 10 design products

Section II

Total marks (40)

Attempt Questions 21–24

Allow about 1 hour and 15 minutes for this section

Answer the questions in the spaces provided.

Question 21

(10 marks)

- (a) State the difference between leakages and injections within the economy. (1 mark)

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- (b) A young person saves \$220 each week and has a marginal propensity to consume (MPC) of 0.4. Calculate their weekly income and weekly consumption amounts. (2 marks)

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- (c) Outline THREE factors that influence an individual's consumer choice. (3 marks)

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- (d) Distinguish between a monopoly and an oligopoly.

(4 marks)

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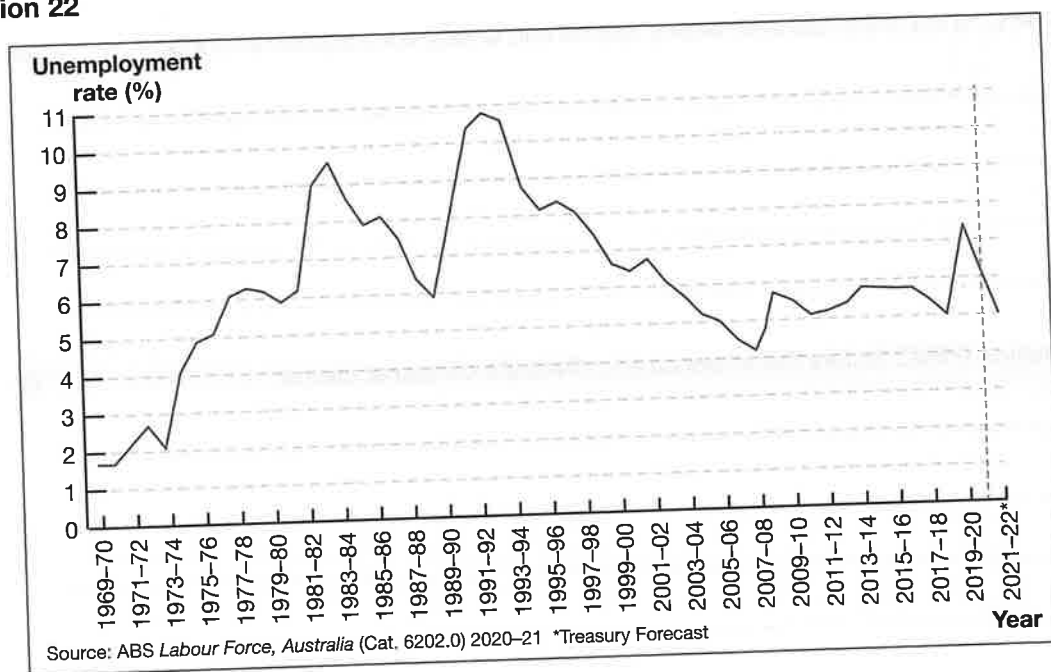
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Question 22

(10 marks)



- (a) Define the term *structural change*.

(1 mark)

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- (b)** Describe why the demand for labour is a derived demand. (2 marks)

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- (c)** Outline what is meant by underemployment. (2 marks)

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- (d)** Explain how changes in the level of GDP growth can affect the level of an economy's unemployment rate. (2 marks)

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- (e)** Analyse the relationship between the level of labour productivity and demand for labour. (3 marks)

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Question 23

(10 marks)

	Indonesia	Poland	China	Egypt	Brazil	USA
Population (millions, 2020)	274	38	1402	102	213	329
Gross Domestic Product (current \$USbn, 2020)	1058	594	14,773	363	1445	20,937
GNI per capita (current international dollar, PPP, 2020)	11,142	31,255	16,055	11,579	13,791	63,841
Population below \$US1.90 per day (%) (2019, *2018, ^2017, **2016)	2.7	0.2*	0.5**	3.8^	4.6	1*
Gini Index (2019, *2018, ^2017, **2016)	38.2	30.2*	38.5**	31.5^	53.4	41.4*
Mean years of schooling (2019)	8.2	12.5	8.1	7.4	8.0	13.4
Life expectancy at birth (1990, 2019)	63.3, 71.7	70.9, 78.7	69.3, 76.9	64.6, 72.0	65.3, 75.9	75.2, 78.9
Human Development Index (Rank) (2019)	0.718 (107)	0.880 (35)	0.761 (85)	0.707 (116)	0.765 (84)	0.926 (17)

Sources: World Bank 2021; Human Development Report 2020

- (a) State TWO ways a government can intervene in a market economy. (2 marks)

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- (b) Consider a market economy where the price is set above the equilibrium. Explain how the price mechanism will operate to return to market equilibrium. (3 marks)

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- (c) Compare the features of the Australian economy with at least ONE other economy in the Asian region. (5 marks)

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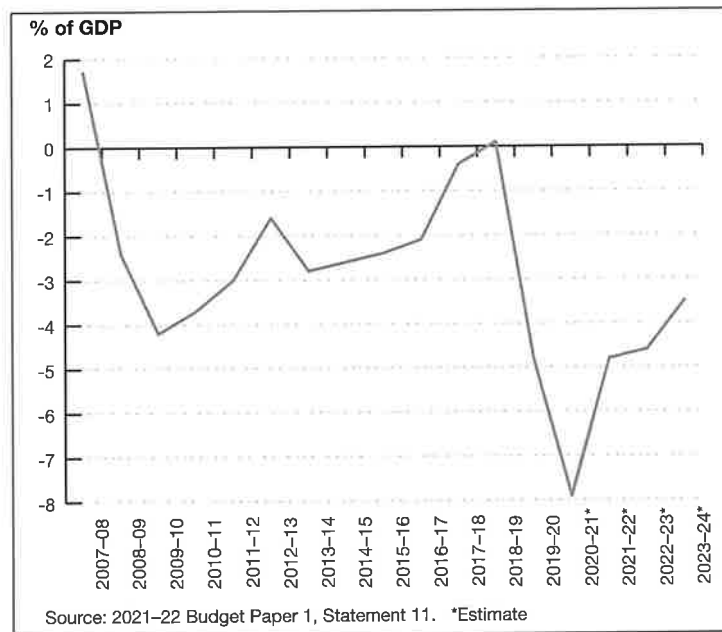
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Question 24

(10 marks)



Budget outcomes (fiscal balance) since 2008

- (a)** Identify the TWO main ways a government can influence the allocation of resources. (2 marks)

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- (b)** Explain how a government might use monetary policy to stimulate economic activity. (2 marks)

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- (c)** With reference to the data in the above table, analyse the likely impact of the budget on the economy from 2020–21 to 2023–24. (3 marks)

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- (d)** Identify THREE influences of government policies in Australia and explain how they might influence policies. (3 marks)

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Section III

Total marks (20)

Attempt either Question 25 or Question 26

Allow about 35 minutes for this section

Answer the question in a writing booklet.

In your answer you will be assessed on how well you:

- use your knowledge and the economic information provided
- apply economic terms, concepts, relationships and theory
- present a sustained, logical and well-structured answer to the question.

Question 25

(20 marks)

Industry	Business exits (no.)
Agriculture, forestry and fishing	13,374
Mining	912
Manufacturing	9527
Electricity, gas, water and waste services	931
Construction	56,272
Wholesale trade	10,335
Retail trade	18,202
Accommodation and food services	15,410
Transport, postal and warehousing	36,338
Information media and telecommunications	3547
Financial and insurance services	19,388
Rental, hiring and real estate services	22,907
Professional, scientific and technical services	38,977
Administrative and support services	15,456
Public administration and safety	1286
Education and training	4474
Health care and social assistance	12,221
Arts and recreation services	3917
Other services	13,157
Currently unknown	1190
All industries	297,821

Source: ABS Counts of Australian Businesses, including Entries and Exits (Cat. 8165.0)

Business exits June 2019 – June 2020

"How well our businesses, governments and workforce keep pace with changes in technology and the digital frontier will define Australia's future prosperity. The potential benefits to the Australian economy through digitalisation have been estimated to be as much as \$315 billion over the next decade, with the potential to create up to a quarter of a million new jobs by 2025. With other countries investing heavily in their digital futures, our actions over the next 10 years will determine whether we lead or fall behind our global competitors.

COVID-19 accelerated the take up of digital technology and highlighted the role it can play to support and enhance business operations across every sector of the economy, improve the delivery of government services and make life easier for Australians. From telehealth and electronic prescriptions to online sales, cloud computing and remote working, COVID-19 has driven a huge leap forward in our digital capability and our appetite for data. Australia must maintain this momentum to secure our future prosperity and protect our national interests."

– Digital Economy Strategy 2030

Published in 2021 by the Commonwealth of Australia

Discuss how the structure of the economy can change over time and the role of technology in stimulating change.

(20 marks)

Question 26



Labour force participation rate by gender, 1978–2021

“Labour force participation has been trending up since the middle of the previous decade and is currently around its record high. This upward trend was unexpected, coming after a decade of broadly sideways movement and the ageing of the population. The increase has been particularly large for women. There has also been a rise in participation by Australians older than 55.

This recent trend reflects a mix of factors, including: the wider availability of flexible and part-time work; changes to child care arrangements; improved health outcomes for older Australians; and changes in the pension age. It is possible that higher debt levels and the decline in asset values during the financial crisis have also played a role...

Underemployment has become a much more prominent feature of the Australian labour market over the past couple of decades. Today, over 7 per cent of the labour force report that they are underemployed – more than double the rate in the 1980s. Most of these people work part time and, on average, are looking for an extra 14 hours per week. In aggregate, these extra hours amount to around 3 per cent of total hours available to be worked in the economy.”

– Philip Lowe, Governor, Reserve Bank of Australia
Speech: *The Labour Market and Monetary Policy*
8 July 2021

Define what is meant by unemployment and labour force participation. Discuss the factors affecting the demand and supply for labour and how these have changed in recent years in Australia.

Section IV

Total marks (20)

Attempt Question 27 or Question 28

Allow about 35 minutes for this section

Answer the question in a writing booklet.

In your answer you will be assessed on how well you:

- use economic data
 - apply economic terms, concepts, relationships and theory
 - present a sustained, logical and well-structured answer to the question.
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Question 27

(20 marks)

Describe the factors that influence the level of interest rates in the economy.

OR

Question 28

(20 marks)

Explain what is meant by market failure and examine the role of government in dealing with instances of market failure.

PRELIMINARY PRACTICE EXAMINATION

Section I Answer Sheet

Student Name:

Total marks (20)

Attempt Questions 1–20

Allow about 35 minutes for this section

Ensure you read the instructions section in your examination booklet before answering any questions.

Question	Answer	Question	Answer
1	(A) ☐ (B) ☐ (C) ☐ (D) ☐	11	(A) ☐ (B) ☐ (C) ☐ (D) ☐
2	(A) ☐ (B) ☐ (C) ☐ (D) ☐	12	(A) ☐ (B) ☐ (C) ☐ (D) ☐
3	(A) ☐ (B) ☐ (C) ☐ (D) ☐	13	(A) ☐ (B) ☐ (C) ☐ (D) ☐
4	(A) ☐ (B) ☐ (C) ☐ (D) ☐	14	(A) ☐ (B) ☐ (C) ☐ (D) ☐
5	(A) ☐ (B) ☐ (C) ☐ (D) ☐	15	(A) ☐ (B) ☐ (C) ☐ (D) ☐
6	(A) ☐ (B) ☐ (C) ☐ (D) ☐	16	(A) ☐ (B) ☐ (C) ☐ (D) ☐
7	(A) ☐ (B) ☐ (C) ☐ (D) ☐	17	(A) ☐ (B) ☐ (C) ☐ (D) ☐
8	(A) ☐ (B) ☐ (C) ☐ (D) ☐	18	(A) ☐ (B) ☐ (C) ☐ (D) ☐
9	(A) ☐ (B) ☐ (C) ☐ (D) ☐	19	(A) ☐ (B) ☐ (C) ☐ (D) ☐
10	(A) ☐ (B) ☐ (C) ☐ (D) ☐	20	(A) ☐ (B) ☐ (C) ☐ (D) ☐

NOTES